



GROUP AND COMPANY AUDITED FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2026

Contents

The reports and statements set out below comprise the financial statements presented to shareholders:

Index	Page
Approval of the annual financial statements	1
Preparation and presentation of the annual financial statements	1
Chief Executive and Chief Financial and Value Enhancement Officer responsibility statement	2
Company Secretary's certification	2
Independent auditor's report	3
Report of the Audit and Risk and Opportunity Committee	10
Directors' report	14
Group statement of financial position	19
Group statement of comprehensive income	20
Group statement of cash flows	21
Group statement of changes in equity	22
Group segment analysis	24
Notes to the Group annual financial statements	26
Company statement of financial position	80
Company statement of comprehensive income	81
Company statement of cash flows	82
Company statement of changes in equity	83
Notes to the Company annual financial statements	84
Shareholders information	111
Corporate information	112

Approval of the annual financial statements

To the shareholders of Araxi Limited

RESPONSIBILITY FOR AND APPROVAL OF THE GROUP AND COMPANY FINANCIAL STATEMENTS

The Board of Araxi Limited accepts responsibility for the integrity, objectivity and reliability of the Group and Company financial statements of Araxi Limited. Adequate accounting records have been maintained. The Board endorses the principle of transparency in financial reporting.

The responsibility of the external auditors is to express an independent opinion on the fair presentation of the financial statements based on their audit of Araxi Limited ("company financial statements") and its subsidiaries ("Group financial statements").

The Board has confirmed that adequate internal financial control systems are being maintained. Any deficiencies in design and operational effectiveness of the internal financial controls have been adequately addressed and mitigated. The Board is satisfied that the financial statements fairly present the financial position, the results of the operations and cash flows in accordance with relevant accounting policies, based on International Financial Reporting Standards as issued by the International Accounting Standards Board and the Companies Act.

The Board is of the opinion that the Group and Company is financially sound and operates as a going concern. The financial statements have accordingly been prepared on this basis.

The financial statements were authorised for issue and publication by the Board and signed on its behalf by:

Michael Pimstein

Executive Chairman

Bradley Sacks

Chief Executive Officer

8 June 2026

Sjoerd Douwenga

Chief Financial and Value Enhancement Officer

Preparation and presentation of the annual financial statements

The Group Finance Executive Ms L Tshoagong CA (SA) prepared the financial statements which was supervised by the Chief Financial and Value Enhancement Officer ("CFVO") of Araxi Limited, Mr S Douwenga, CA(SA).

Chief Executive and Chief Financial and Value Enhancement Officer responsibility statement

Each of the directors, whose names are stated below, hereby confirm, that:

- (a) the annual financial statements set out on pages 19 to 111, fairly present in all material respects the financial position, financial performance and cash flows of Araxi Limited in terms of IFRS;
- (b) to the best of our knowledge and belief, no facts have been omitted or untrue statements made that would make the annual financial statements false or misleading;
- (c) internal financial controls have been put in place to ensure that material information relating to the issuer and its consolidated subsidiaries have been provided to effectively prepare the financial statements of the issuer;
- (d) the internal financial controls are adequate and effective and can be relied upon in compiling the annual financial statements, and we have fulfilled our role and function as executive directors with primary responsibility for implementation and execution of controls;
- (e) where we are not satisfied, we have disclosed to the audit committee and the auditors any deficiencies in design and operational effectiveness of the internal financial controls, and have taken steps to remedy the deficiencies; and
- (f) we are not aware of any fraud involving directors.

Bradley Sacks

Chief Executive Officer

Sjoerd Douwenga

Chief Financial and Value Enhancement Officer

8 June 2026

Company Secretary's certification

I, the Company Secretary, certify that the Company has lodged with the Registrar of Companies all such returns as are required of a public company, in terms of the Companies Act, No. 71 of 2008, as amended, and that all such returns are true, correct and up to date.



Peter Katz

Consultant

PKF Octagon

Johannesburg

8 June 2026

Independent Auditor's Report To the Shareholders of Araxi Limited

Report on the audit of the Consolidated and Separate financial statements

Opinion

We have audited the consolidated and separate financial statements of Araxi Limited and its subsidiaries (the group and company) set out on pages 19 to 110, which comprise the group and company statements of financial position as at 31 March 2026, and the group and company statements of comprehensive income, the group and company statements of changes in equity and the group and company statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including material accounting policy information.

In our opinion, the consolidated and separate financial statements present fairly, in all material respects, the consolidated and separate financial position of Araxi Limited and its subsidiaries as at 31 March 2026, and its consolidated and separate financial performance and consolidated and separate cash flows for the year then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board and the requirements of the Companies Act of South Africa.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements* section of our report. We are independent of the group and company in accordance with the Independent Regulatory Board for Auditors' *Code of Professional Conduct for Registered Auditors* (IRBA Code), as applicable to audits of financial statements of public interest entities, and other independence requirements applicable to performing audits of financial statements in South Africa. We have fulfilled our other ethical responsibilities in accordance with the IRBA Code and in accordance with other ethical requirements applicable to performing audits in South Africa. The IRBA Code is consistent with the corresponding sections of the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)*. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

In terms of the IRBA Rule on Enhanced Auditor Reporting for the Audit of Financial Statements of Public Interest Entities, published in the Government Gazette No.49309 dated 15 September 2023 (EAR Rule) we report:



Managing Partner: ML Tshabalala

A full list of partners and directors is available on request

B-BBEE rating: Level 1 contribution in terms of the DTI Generic Scorecard as per the amended Codes of Good Practice

Associate of Deloitte Africa, a Member of Deloitte Touche Tohmatsu Limited

**Independent Auditor's Report
To the Shareholders of Araxi Limited (continued)**

Final Materiality

We define materiality as the magnitude of misstatement in the consolidated and separate financial statements that makes it probable that the economic decisions of a reasonably knowledgeable person would be changed or influenced. We use materiality both in planning the nature and extent of our audit work and in evaluating the results of our work.

Based on our professional judgement, we determined materiality for the consolidated and separate financial statements as a whole as follows:

	Financial statements - group	Financial statements - company
<i>Overall materiality</i>	<i>R18.0 million (2025: R18.6 million)</i>	<i>R14.1 million (2025: R14.4 million)</i>
<i>How we determined it</i>	<i>Based on 6.5% of profit before tax adjusted for certain once-off items in 2026 (2025: 6.25% of profit before tax)</i>	<i>Based on 1% of total assets for 2026 and 2025.</i>
<i>Rationale for benchmark applied</i>	<i>A key judgement in determining materiality is the appropriate benchmark to select, based on our perception of the needs of shareholders. We considered which benchmarks and key performance indicators have the greatest bearing on shareholder decisions. We determined that profit before tax is the key benchmark. The profit before tax for 2026 was adjusted for certain once off costs including acquisition and retrenchment costs.</i>	<i>A key judgement in determining materiality is the appropriate benchmark to select, based on our perception of the needs of shareholders. We considered which benchmarks and key performance indicators have the greatest bearing on shareholder decisions. We determined total assets is the key benchmark as the Company holds and manages investments in subsidiaries and other entities.</i>

Scope of our audit

Our Group audit was scoped by obtaining an understanding of the Group and its environment, including the structure and organisation of the Group, and assessing the risks of material misstatement at the Group level.

We selected components at which audit work in support of the group audit opinion needed to be performed to provide an appropriate basis for undertaking audit work to address the risks of material misstatement. Our selection was informed by taking into account the component's contribution to relevant classes of transactions, account balances or disclosures.

Based on our assessment, we performed work at 8 components (2025: 8 components) representing the Group's most material operations and assets, as follows:

- 5 components (2025: 5 components) were subject to an audit of financial information;
- We audited one or more classes of transactions, account balances or disclosures at 3 components (2025: 3 components), where the extent of our testing was based on our assessment of the risk of material misstatement of certain financial balances and/or processes and of the materiality of the Group's balances at those locations; and
- As part of group scoping, 8 components (2025: 8 components) form part of the residual values that were addressed by risk assessment and analytical procedures performed at a group level.

**Independent Auditor's Report
To the Shareholders of Araxi Limited (continued)**

Scope of our audit (continued)

Further specific audit procedures over central functions, the group consolidation and areas of significant judgement, including impairment considerations over goodwill and the valuation of convertible loan receivables were directly led by the group team.

Residual values were addressed by risk assessment and analytical procedures performed at a group level. The 8 components subject to audit of financial information or classes of transactions, account balances or disclosures account for 99% (2025: 100%) of the Group's profit before tax and 97.5% (2025: 97%) of the Group revenue.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

In terms of the EAR Rule, we are required to report the outcome of audit procedures or key observations with respect to the key audit matters and these are included below:

Key Audit Matter	How the matter was addressed in the audit
Valuation of goodwill (Group)	
The Group's goodwill amounted to R840.3 million and represent 46% of total assets. The disclosures related to the valuation of goodwill are included in note 6 to the consolidated financial statements. The directors perform an annual impairment test in line with the requirements of IAS 36: Impairments of Assets ("IAS 36") to assess the recoverability of the carrying value of the relevant cash generating units ("CGU's"). Judgement is required by the directors in identifying the relevant CGU's and in assessing the recoverable amount of the GCUs, which is determined as the higher of fair value less cost to sell ("FVLCTS") or the value-in-use ("VIU") based on the cash flow forecast for each CGU. The discounted cash flow model used to determine the recoverable amounts of the CGU's is detailed, complex and contains estimation uncertainty. The key assumptions and inputs into the model include the following: • Estimation in earnings growth (including estimated margins, forecasted revenue and operating cost); • Terminal growth rates applied in determining the terminal value; and • The discount rate, which is based on the weighted average cost of capital ("WACC").	Our work focused on assessing the group's impairment models, with particular focus on the key assumptions and inputs with the most significant impact. We performed various procedures, including the following: • Assessed the appropriateness of the CGUs identified; • Gained an understanding of the models used to determine the VIU for each CGU; • Assessed the logic and arithmetic accuracy applied in each VIU model; • Tested the design and implementation of the key controls relating to the preparation of the impairment models and the review of the cash flows forecasts including the key assumptions and inputs; • Assessed the methodology and approach to the valuation and model based on appropriate valuation principles; • Considered the directors' ability to accurately forecast, based on a comparison of the historical actual performance against previous respective forecasts; • Performed sensitivity analysis on the assumptions to determine the key sensitive assumptions; • Evaluated the cash flow projections, including assumptions relating to revenue growth and gross profit margin, against historical performance, current year results and in comparison, to the directors' strategic plans and approved budgets;

**Independent Auditor's Report
To the Shareholders of Araxi Limited (continued)**

Key Audit Matters (continued)

Key Audit Matter	How the matter was addressed in the audit
Valuation of goodwill (Group) (continued)	
The complexity of the models, significance of the judgements and estimation used in determining the inputs into the models and the magnitude of the goodwill balance at year end resulted in the determination of this as a key audit matter.	• With the assistance of our internal valuation specialists, assessed the WACC for each CGU considering the size risk premium, firm specific risk premium, risk-free rate, the appropriate capital structure for each CGU and the mechanics used in the determination of the relevant WACC rates; • Determined an independent range of reasonable enterprise values based on appropriate model assumptions, including the revenue and terminal growth rates, for each CGU model and compared this to the carrying amount of each CGU; and • Assessed the disclosure included in the consolidated financial statements related to the impairment considerations and relevant estimation and judgement involved. We found the assumptions used in the calculations of the VIU of each CGU to be appropriate and disclosures in respect of the impairment assessment of goodwill are consistent with the requirements of the IFRS Accounting Standards.

Key Audit Matter	How the matter was addressed in the audit
Valuation of Loans granted with equity conversion rights (Group and Company)	
The Group and Company have granted loans to associates and joint ventures (specifically "Lay-Up Technologies Proprietary Limited") as disclosed in note 8 in the consolidated financial statements and note 4 in the separate financial statements and to other parties (specifically "Asset Pool Proprietary Limited") as disclosed in note 9 in the consolidated financial statements and note 5 in the separate financial statements amounting to R126 million. These loans provide Araxi Limited with the option to require the counterparty to settle the loan either in cash (comprising the loan amount plus accrued interest) or in equity shares of the counterparty ("convertible loan"). This equity conversion option constitutes an embedded derivative resulting in these loans being measured as financial assets at fair value through profit and loss. Significant judgement is required by the directors in determining the fair value of the equity conversion option. The key input in determining the fair value is the equity value of the borrower.	Our procedures included the following: • Engaged our valuation specialists to assess the reasonability and appropriateness of the directors' valuation of the equity value of each entity to which a convertible loan was granted, as well as the fair valuation of each of the convertible loan instruments. This involved assessing the valuations provided by management's expert as follows: ○ The key assumptions assessed in the equity value included the following: ▪ The valuation methodology adopted; and ▪ The venture capital discount rates and the terminal growth rates applied; ○ Reviewed the arithmetic accuracy of the discounting formula and the calculation of the equity value.

**Independent Auditor's Report
To the Shareholders of Araxi Limited (continued)**

Key Audit Matters (continued)

Key Audit Matter	How the matter was addressed in the audit
Valuation of Loans granted with equity conversion rights (Group and Company) (continued)	
The key assumptions and inputs used to determine the equity value include: ○ Estimates of future cash flows; ○ Venture capital discount rate and terminal growth rate applied; and ○ Market multiples. The key assumptions in the valuation of the convertible loan include: ○ Relevant swap, interest and bond curves; ○ Credit spreads; and ○ Volatility assumptions. We identified the valuation of the convertible loans as a key audit matter due to the complexity of the models used, the significant judgements and estimates used in determining the inputs into the valuation models and the potential magnitude of the fair value impact on the consolidated and separate financial statements.	• Engaged our valuation specialists to recalculate the value of each convertible loan using an appropriate valuation model based on the equity value as the key input along with other market assumptions including: ○ Relevant swap, interest and bond curves; ○ Credit spreads; and ○ Volatility assumptions. • Obtained latest agreements or amendments to existing agreements and assessed the impact on the accounting and measurement of the relevant loan. • Evaluated the disclosure in the consolidated and separate financial statements related to the significant accounting judgements, the fair value and related significant assumptions of each convertible loan. We found that the inputs and key assumptions used in the valuation, classification, and disclosure of the convertible loans in the consolidated and separate financial statements were appropriately applied in accordance with the relevant IFRS Accounting Standards.

Other Information

The directors are responsible for the other information. The other information comprises the information included in the document titled "Group and Company Audited Financial Statements for the year ended 31 March 2026" which includes the Directors' report, the Report of the Audit and Risk and Opportunity Committee and the Company Secretary's certification as required by the Companies Act of South Africa. The other information does not include the consolidated or the separate financial statements and our auditor's reports thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

**Independent Auditor's Report
To the Shareholders of Araxi Limited (continued)**

Responsibilities of the Directors for the Consolidated and Separate Financial Statements

The directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements, in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board and the requirements of the Companies Act of South Africa, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the group and company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the group and/or company or to cease operations, or have no realistic alternative but to do so.

Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the group or company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the group and/or company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the group and/or company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the consolidated financial statements. We are responsible for the direction, supervision and review of the audit work performed for the purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Independent Auditor's Report To the Shareholders of Araxi Limited (continued)

Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements (continued)

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report, unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

Audit Tenure

In terms of the IRBA Rule published in Government Gazette No. 39475 dated 4 December 2015, we report that Deloitte & Touche has been the auditor of Araxi Limited for two years.

Signed by:



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Deloitte & Touche

Registered Auditor

Per: Andrew Kilpatrick CA(SA); RA

Partner

8 June 2026

5 Magwa Crescent
Waterfall City
Waterfall
2090
Johannesburg
South Africa

Report of the Audit and Risk and Opportunity Committee

DUTIES AND RESPONSIBILITIES

The Audit and Risk and Opportunity Committee ("the committee") is satisfied that it has executed its role and responsibilities in keeping with the requirements of the Companies Act, the requirements of the JSE Listings Requirements and the recommendations of King IV™, as well as the responsibilities assigned to it as set out in the Audit and Risk and Opportunity Committee terms of reference, which has been endorsed by the Board of Directors.

MEMBERS OF THE AUDIT AND RISK AND OPPORTUNITY COMMITTEE

The committee members are all independent, non-executive directors of the Group:

Member	Appointment date	Qualifications
V Sekese (Chairman)	15 September 2015	BComm (Wits), BAcc (Wits), CA(SA)
B Bulu	15 September 2015	BBusSc (UCT), PGDA (UCT), CA(SA)
K Dlamini	11 April 2022	BA (Hons)(UKZN), MPhil (Oxford)

The Board is satisfied that the members of the committee have the required knowledge and experience as set out in section 94(5) of the Companies Act, 71 of 2008 and Regulation 42 of the Companies Regulation, 2011.

ATTENDANCE OF MEETINGS

The committee performs the duties set out in section 94(7) of the Companies Act, 71 of 2008, holding sufficient scheduled meetings to discharge its duties, subject to a minimum of two meetings per year. Five committee meetings were held from 1 April 2025 to the date of this report. Unrestricted access was granted to the external auditors.

Committee members	Number of Audit Committee meetings held	Number of Audit Committee meetings attended	Number of Risk Committee meetings held	Number of Risk Committee meetings attended
V Sekese (Chairman)	5	5	1	1
B Bulu	5	5	1	1
K Dlamini	5	4	1	1
Directors' attendance by invitation				
M Pimstein	5	5	1	1
B Sacks	5	4	1	–
M Shapiro	5	5	1	1
S Douwenga	5	5	1	1

EXTERNAL AUDIT AND INDEPENDENCE

The committee has satisfied itself through enquiry and written representation that the external auditors, Deloitte & Touche, are independent as defined by the Companies Act, 71 of 2008 and as per the standards stipulated by the auditing profession.

Requisite assurance was sought in terms of the Companies Act, 71 of 2008 that internal governance processes within the audit firm support and demonstrate their claim to independence.

The committee, in consultation with executive management, agreed to the terms of the engagement. The audit plan and budgeted audit fee for the external audit was considered and approved taking into consideration such factors as the audit risks, the timing of the audit and scope of the work required.

The committee ensured that there is a formal policy in place to govern the process whereby the external auditors of the Group are considered and appointed to provide non-audit services. The external auditors provided non-audit services during the year related to the Category 1 transaction as mentioned in the Directors Report.

The designated Deloitte & Touche partner is Mr Andrew Kilpatrick, whose appointment was approved by the Board. This is Mr Kilpatrick's second year as designated partner.

This is the second year that Deloitte & Touche have been external auditors of the Group.

Report of the Audit and Risk and Opportunity Committee continued

The committee has assessed the accreditation documents including inspection documents from the Independent Regulatory Board for Auditors ("IRBA") submitted by Deloitte & Touche for the purpose of conducting the suitability assessment of Deloitte & Touche and the designated partner in terms of the JSE Listings Requirements.

ACCOUNTING POLICIES AND JUDGEMENTS

Consistent with processes usually adopted in such circumstances of auditor transition, a comprehensive review of the Group's disclosures and Accounting policies was undertaken. As a result, certain policies and judgements have been revisited and where recommended, have been amended.

KEY AUDIT MATTERS

The committee has applied its mind to the key audit areas and key audit matters identified by the external auditors:

- Impairments of Assets ("IAS 36") to assess the recoverability of the carrying value of the relevant cash generating units ("CGU's").
- The valuation of the convertible loan investments. Significant judgement is required by the directors in determining the fair value of the equity conversion option.

The committee is satisfied that these have been adequately addressed and disclosed.

STATEMENT OF INTERNAL FINANCIAL CONTROLS

The opinion of the Board on the effectiveness of the Group's internal control environment is informed by the conclusion reached by the Audit Committee. BDO South Africa Proprietary Limited ("BDO") was appointed as the internal audit service provider for the 2026 financial year. The committee and board have approved the appointment of BDO as internal auditor for the financial year ending 31 March 2027.

The Audit Committee assessed the results of the internal audits conducted by BDO, as well as the external audit provided by Deloitte & Touche and other identified assurance providers in terms of the evolving combined assurance model of the Group's system of internal financial controls and risk management, including the design, implementation and the effectiveness of the internal financial controls. The results of the reviews indicate that based on the scope of work and approach followed, specific improvements are needed within the internal control environment of the group which were reported to the Audit Committee on a regular basis during the year. Plans taken or to be taken by management to remediate the improvement areas were noted and will continue to be monitored for implementation.

The Board's assessment therefore, when considered with the specific areas of improvement, information and explanations given by management combined with mitigations implemented where appropriate and discussions with the internal auditors on the results of their audits, concludes that the Board believes the Group's system of internal financial controls and risk management are effective and that the internal financial controls form a sound basis for the preparation of reliable financial statements.

GOVERNANCE OF RISK

The committee is responsible for reviewing the effectiveness of the system of internal controls, financial reporting and financial risk management and considering the major findings of any internal investigations into control weaknesses, fraud or misconduct and managements response thereto. We have considered and relied on the work of the various committee's on the non-financial related risk areas.

Risks are identified, assessed and managed as part of the day-to-day operations across the divisions of the Group and various levels of management.

The Audit Committee is responsible for ensuring that information technology ("IT") forms an integral part of the Group's risk management.

The Group continues to focus on maturing its IT governance, as the Group operates in a decentralised environment, resulting in each division being responsible for monitoring and managing IT risk.

REGULATORY COMPLIANCE AND CODE OF ETHICS

The Committee monitored and reviewed the ongoing compliance with applicable legislation, requirements of regulatory authorities and the Group's code of ethics.

The Audit Committee has taken into account all of the comments from the JSE proactive monitoring publications.

An anonymous ethics line is in place which is managed independently of the Group. All calls reported are in total anonymity and without fear of discrimination. Monthly reports are provided by the independent service provider. There were no incidents reported during the year.

Report of the Audit and Risk and Opportunity Committee continued

INSURANCE

The Group reviews its insurance coverage annually. The review is prepared by divisional and senior management and the CFVO. Where necessary, due to significant changes in circumstances *ad hoc* changes to insurance cover may be made between annual reviews.

COMBINED ASSURANCE

The Audit Committee is of the view that the framework in place for combined assurance is adequate and is achieving the objective of an effective, integrated approach across the disciplines of risk management, compliance and audit.

EXPERTISE OF THE FINANCIAL DIRECTOR AND FINANCE FUNCTION

The committee has reviewed the current performance and future requirements for the financial management of the Group and concluded that the current team has the appropriate skills, experience and expertise required to fulfil the finance function. In compliance with the JSE Listings Requirements, the committee satisfied itself with the appropriateness of the expertise and experience of the CFVO, Mr S Douwenga, and the financial management team as a whole.

GOING CONCERN

The committee reviewed the documents prepared by management in which they assessed the going concern status of the Group and its subsidiaries at year-end and for the foreseeable future. Management has concluded that the Group and Company is a going concern.

The projections and analyses for the Group and Company have been prepared, covering its future performance, capital and liquidity for a period of 12 months from the reporting date.

RECOMMENDATION OF THE FINANCIAL STATEMENTS FOR APPROVAL BY THE BOARD

The Audit Committee has assessed the Group's and Company's accounting policies and the Group and Company financial statements for the year ended 31 March 2026 and is satisfied that they comply in all material aspects with IFRS Accounting Standards as issued by the International Accounting Standards Board, the requirements of the Companies Act and the JSE Listings Requirements.

The committee recommended the Group financial statements and the Company financial statements for approval by the Board.

CONTINGENT LIABILITIES

No additional contingent considerations, other than those disclosed in note 20, have been identified for the current financial year.

POST-YEAR-END EVENTS

In February 2026, the Group entered into agreements that will result in its wholly-owned subsidiary, African Resonance Proprietary Limited, acquiring 80% of Pay At Holdings Proprietary Limited ("Pay@") and its affiliate International Payment Holdings Limited ("IPHL"), which includes all of their respective subsidiaries (collectively the "Pay@ Group"), for an aggregate consideration of R1 billion. The transaction closed in May 2026 following the completion of all conditions precedent. The purchase price allocation was incomplete by the date of issue of these financial statements. Accordingly, the group could not disclose the fair value of the identifiable assets and liabilities, including the factors that make up goodwill. This information will be disclosed in the next reporting period.

The significant estimates, judgments and assumptions made in preparing the Group's results have remained consistent. The Group is currently exposed to minimal credit risk and at the time of reporting, no significant change in this credit risk position has been noted. Management will, however, continue to actively monitor this. At this stage, no significant impairments of the Group's assets are expected to arise. Further assessment of this will be conducted as the new financial year unfolds.

On behalf of the Audit and Risk and Opportunity Committee

Victor Sekese

Chairman

Johannesburg

8 June 2026

Composition of other committees

MEMBERS OF THE SOCIAL AND ETHICS COMMITTEE

The members of the Social and Ethics Committee are all non-executive directors of the Group:

Members

K Dlamini (*Chairman*) – Independent

V Sekese – Independent

R Maqache – Non-independent

	Number of Social and Ethics Committee meetings held	Number of Social and Ethics Committee meetings attended
Committee members		
K Dlamini (<i>Chairman</i>)	1	1
V Sekese	1	1
R Maqache	1	1
A Dambuzza	1	1
Directors' attendance by invitation		
M Pimstein	1	1
B Sacks	1	–
S Douwenga	1	1
M Shapiro	1	1

MEMBERS OF THE NOMINATIONS AND REMUNERATION COMMITTEE

The members of the Nominations and Remuneration Committee are all non-executive directors of the Group:

Members

K Dlamini (*Chairman*) – Lead Independent director

V Sekese – Independent

R Maqache – Non-independent

	Number of Nominations and Remuneration Committee meetings held	Number of Nominations and Remuneration Committee meetings attended
Committee members		
K Dlamini (<i>Chairman</i>)	1	1
V Sekese	1	1
R Maqache	1	1
Directors' attendance by invitation		
M Pimstein	1	1
B Sacks	1	1

MEMBERS OF THE INVESTMENT COMMITTEE

Members

M Pimstein (*Executive Chairman*) – Non-independent

B Bulu – Independent

A Dambuzza – Independent

	Number of Investment Committee meetings held	Number of Investment Committee meetings attended
Committee members		
B Bulu	3	3
A Dambuzza	3	3
Directors' attendance by invitation		
K Dlamini	3	3
B Sacks	3	3
S Douwenga	3	3

Directors' report

ABOUT ARAXI LIMITED

Araxi Limited is a holding company with investments in businesses which operate in the Fintech and Financial Services Sector. The Group has three business segments – Payments and Payment Infrastructure and Services (Payments), Software and Services (Software) and an International segment.

The Company maintains a listing on the Main Board of the JSE and a Secondary listing on the A2X market, in the Technology: Software and Computer Services.

PAYMENTS

The Payments segment comprises three businesses. African Resonance, and Dashpay and Halo Dot (Halo). African Resonance is a leading direct and indirect provider of payment infrastructure, technical support and payment technology solutions to established financial enterprises, emerging payment service providers and corporate customers. Dashpay develops software products for use on and with payment acceptance devices by retailers, merchants and financial institutions. Halo was originally developed as a software product, however has since matured into a soft point of sale solution.

In May 2026, the Group concluded the acquisition of 80% of Pay At Holdings Proprietary Limited ("Pay@") and its affiliate International Payment Holdings Limited ("IPHL"), which includes all of their respective subsidiaries (collectively the "Pay@ Group"). Pay@ will form part of the payment segment.

The integration of the Pay@ acquisition represents a significant strategic milestone for Araxi, positioning the group to accelerate innovation and expand its footprint across digital payments and fintech-enabled services. Looking ahead, Araxi expects the combined capabilities of Pay@'s established payment infrastructure and distribution network, together with Araxi's technology platform and growth strategy, to unlock new revenue streams, enhance operational efficiencies, and strengthen customer value propositions.

Management anticipates that the integration will drive synergies through cross-selling opportunities, broader merchant reach, and the development of scalable, integrated payment solutions tailored to evolving market needs. In addition, Araxi plans to leverage Pay@'s local market expertise to deepen its presence in key regions while supporting the rollout of new products and services across its ecosystem.

While the integration process is proceeding in line with expectations, the realisation of anticipated benefits remains subject to execution complexity, regulatory developments, competitive dynamics, and broader macroeconomic conditions. Araxi remains focused on disciplined integration, strong governance, and sustainable growth as it works to deliver long-term value to stakeholders.

SOFTWARE

The Software segment comprises three businesses: Synthesis Software Technologies Proprietary Limited, Rethink and Dariel Software. The businesses are highly specialised software and systems developers, offering consulting, integration services and technology-based product solutions to banking, financial services, retail, telecommunications, healthcare and other enterprises in South Africa and other international markets. Synthesis is uniquely positioned in Africa, given its Amazon Web Services (AWS) Premier Consulting Partner Accreditation for a broad range of specialist competencies.

AUTHORISED AND ISSUED SHARE CAPITAL

At 31 March 2026, the authorised share capital of the Group comprises 10 000 000 000 ordinary shares of no par value and 4 000 constituent ordinary shares of no par value. The issued share capital of the Group comprises 1 291 960 171 ordinary shares of no par value (2025: 1 310 000 000) and nil constituent ordinary shares of no par value (2025: Nil).

MOVEMENT IN TREASURY SHARES

In terms of the general authority granted to the Company to repurchase its ordinary shares, the latest being the shareholder authority obtained at the AGM of shareholders held on 3 September 2025, the Company purchased 28 901 704 treasury shares (2025: 32 045 855 treasury shares), costing R39 635 235 (2025: R41 867 000) at an average price of R1.37 per share (2025: R1.31 per share).

The Company sold 5 447 193 treasury shares (2025: 4 642 453), realising R9 614 000 (2025: R7 290 000) relating to the settlement of vested share options in terms of the share option scheme. During financial year, the Company allotted 7 618 735 treasury shares for the settlement of the warranty consideration of the Dariel Group and the allotment of 11 513 587 treasury shares for the vesting of conditional share awards to executives. The Company also cancelled 18 039 829 ordinary shares. The total number of treasury shares at year-end amounted to 143 168 769 (2025: 138 846 580).

CHANGE IN DIRECTORATE

The Board of Directors of the Group were deeply saddened by the sudden passing of Errol Melville Kruger. Errol Kruger was an extraordinary and distinguished corporate leader, with an impeccable record of sound judgement and governance, always faithfully directed by the most noble of principles. He will be sadly missed.

Directors' report continued

DIVIDENDS

Dividends paid during the year

A dividend of 7.50 cents per ordinary share was declared on 24 June 2025 amounting to R85.8 million.

A dividend of 4.50 cents per ordinary share was declared on 2 December 2025 amounting to R52.4 million. The total dividends paid during the year amounted to R138.2 million, 12.00 cents per ordinary share (2025: R134.2 million, 10.25 cents per ordinary share).

Dividends declared

The Board has pleasure in announcing that a final dividend of 7.50 cents (2025: 7.50 cents) per ordinary share has been declared, bringing the total dividend for the year ended 31 March 2026 to 12.00cents per ordinary share (2025: 12.00 cents per ordinary share).

We note the following:

- Dividends are subject to dividends withholding tax.
- The payment date for the dividend is Monday, 3 August 2026.
- Dividends have been declared out of profits available for distribution.
- Local dividends withholding tax is 20%.
- Gross dividend amount is 7.50 cents per ordinary share which is 6.00cents net of withholding tax.
- Araxi Limited has 1 291 960 171 ordinary shares in issue at the declaration date.
- Araxi Limited's Income Tax Reference number is 9591281176.

The salient dates relating to the dividend are as follows:

- Last day to trade cum dividend: Tuesday, 28 July 2026.
- Shares commence trading ex-dividend: Wednesday, 29 July 2026.
- Dividend record date: Friday, 31 July 2026.
- Dividend payment date: Monday, 3 August 2026.

Share certificates for ordinary shares may not be dematerialised or rematerialised between Wednesday, 29 July 2026 and Friday, 31 July 2026, both days inclusive.

Material resolutions

The following material resolutions were passed during the year:

Board ordinary resolutions

- 23 June 2025, a dividend of 7.50 cents per share payable to shareholders on 8 July 2025.
- 23 June 2025, approval of the Group and Company financial statements for the year ended 31 March 2025.
- 30 July 2025, approval of 2025 Integrated Report.
- 2 December 2025, a dividend of 4.50 cents per share payable to shareholders on 5 January 2026.
- 19 March 2026, approval of the cancellation of 18 039 829 ordinary shares.
- 30 March 2026, approval for the acquisition of the Pay@ Group of companies.

Shareholders' ordinary resolutions

- 3 September 2025, appointment and confirmation of appointment of S Douwenga as director.
- 3 September 2025, retirement, re-election and re-appointment as directors: M Shapiro, K Dlamini and VM Sekese.
- 3 September 2025, retirement, re-election and re-appointment as member and Chairman of the Audit and Risk and Opportunity Committee: V Sekese.
- 3 September 2025, retirement, re-election and re-appointment as members of the Audit and Risk and Opportunity Committee: B Bulu and K Dlamini.
- 3 September 2025, appointment of Deloitte & Touche as external auditors of the Group.
- 3 September 2025, approval of the general authority to issue shares for cash.
- 3 September 2025, approval of the remuneration policy.
- 3 September 2025, approval of the remuneration implementation report.

Directors' report continued

Shareholders' special resolutions

- 3 September 2025, retirement, re-election and re-appointment of the Social and Ethics Committee members and the Chairman.
- 3 September 2025, retirement, re-election and re-appointment of K Dlamini as member and Chairman of the Social and Ethics Committee.
- 3 September 2025, retirement, re-election and re-appointment of VM Sekese as a member of the Social and Ethics Committee.
- 3 September 2025, retirement, re-election and re-appointment of RT Maqache as a member of the Social and Ethics Committee.
- 3 September 2025, retirement, re-election and re-appointment of A Dambuza as a member of the Social and Ethics Committee.
- 3 September 2025, approval of non-executive directors' remuneration for the period from the 2025 AGM to the date of the 2026 AGM.
- 3 September 2025, approval of the authority to the repurchase of the Company's ordinary shares.
- 3 September 2025, authority granted to provide financial assistance to subsidiaries and other related and interrelated entities.
- 3 September 2025, approval of the change of Company name.
- 3 September 2025, approval of amendment of Memorandum of Incorporation.

DIRECTORATE

The names of the directors and the number of meetings attended by each of the directors up until the date of this report, are as follows:

Directors	Appointment date	Number of Board meetings held	Number of Board meetings attended
Non-executive			
B Bulu ²	15 September 2015	5	5
K Dlamini ³	9 May 2018	5	5
E Kruger (deceased 28 April 2025) ²	9 May 2018	5	1
R Maqache ¹	4 December 2020	5	5
V Sekese ²	15 September 2015	5	5
A Dambuza ²	4 December 2023	5	5
Executive			
M Pimstein	3 March 2015	5	5
B Sacks	19 March 2015	5	5
M Shapiro	12 June 2019	5	5
S Douwenga	31 December 2024	5	5

¹ Non-independent

² Independent

³ Lead independent

Directors' and prescribed officers' shareholding

The individual direct interests declared by the Directors and Prescribed Officers held in the Group share capital as at 31 March, are as follows:

	2026		2025	
	Number of ordinary shares		Number of ordinary shares	
	Direct	Indirect	Direct	Indirect
Beneficial directors				
M Pimstein	67 864 363	–	65 881 913	–
B Sacks*	11 681 792	70 833 333	9 699 342	70 833 333
A Salomon (retired 31 December 2024)	–	–	62 516 457	–
M Shapiro	27 074 507	–	26 727 970	–
D Engelbrecht**	1 884 528	–	893 303	–
Total	108 505 190	70 833 333	165 718 985	70 833 333

* The shareholding held by B Sacks is held indirectly through Centric Capital Ventures LLC.

** Considered Prescribed Officer at Group only.

Directors' report continued

There have been no changes in the Directors' shareholding held in the Group and Company from 31 March 2026 to 8 June 2026, being the date that the Group and Company Financial Statements have been approved by the Board.

DIRECTORS' REMUNERATION

The remuneration paid to directors while in office in the Group during the years ended 31 March was as follows:

	2026 R	2025 R
Executive directors		
M Pimstein	9 535 339	12 110 189
B Sacks*	10 077 006	12 110 189
A Salomon (retired 31 December 2024)	–	11 660 189
M Shapiro	6 133 303	5 769 800
S Douwenga**	7 141 667	2 833 000
Total	32 887 315	44 483 367
Non-executive directors' fees		
B Bullo	675 500	315 100
K Dlamini	675 500	384 600
E Kruger (deceased 28 April 2025)	67 500	173 600
R Maqache	294 200	203 200
V Sekese	709 700	417 800
A Dambuza	410 200	127 300
Total	2 832 600	1 621 600

* Remuneration paid to B Sacks and Centric Capital Ventures LLC.

** S Douwenga's salary is from his appointment date of 1 August 2024. He was appointed as a director on 31 December 2024. Refer to note 34 for detailed analysis of executive directors' remuneration and non-executive directors' fees.

DIRECTORS' AND OFFICERS' DISCLOSURE OF INTEREST IN CONTRACTS

During the current and prior financial year, no contracts were entered into which the Directors and Prescribed Officers of the Group had an interest in, and would significantly affect the business of the Group. The directors have no interest in any third-party contract or company responsible for managing any of the business activities of the Group.

SHAREHOLDERS

Shareholders with a holding greater than 5% in the Company share capital as at 31 March were as follows:

	% held	
Shareholder	2026	2025
Government Employees Pension Fund	25,65	25,01
Capital Appreciation Empowerment Trust	5,81	5,73
B Sacks (Held in Centric Capital Ventures LLC)	5,48	5,87
M Pimstein	5,25	5,03

Directors' report continued

SHARE OPTION PLAN AND CONDITIONAL SHARE PLAN

Share option plan

During the year, 12.1 million share options (2025: 9.4 million) were granted and 7.7 million share options (2025: 11.5 million) were forfeited under the Araxi Limited Share Option Scheme, bringing the total allocated share options to 61.6 million. (2025: 73.7 million). During the year, 16.5 million vested share options were exercised (2025: 9.1 million). These vested share options were sold out of treasury shares and realised R9.6 million (2025: R7.0 million).

Conditional share plan

During the current year, 8.6 million conditional share awards (2025: 10.7 million) were granted and none were forfeited under the Araxi Conditional Share Option Scheme bringing the total allocated conditional share awards to 28.2 million (2025: 28.9 million). During the year, 9.3 million vested share awards were exercised (2025: 13.0 million).

YEAR-END

The Group's year-end is 31 March.

GOING CONCERN

The financial statements have been prepared on the basis of accounting policies applicable to a going concern.

DATE OF ISSUE OF GROUP FINANCIAL STATEMENTS

The audited Group and Company financial statements were approved by the Board on 8 June 2026.

AUDITORS

Deloitte & Touche were re-appointed as auditors at the AGM held on 3 September 2025 and will continue in office in accordance with section 90 of the Companies Act, 71 of 2008.

FORWARD-LOOKING STATEMENTS

This report contains forward-looking statements with respect to the economy and the results of the operations of the Group, which by their nature, involve risk and uncertainty in economic circumstances that may or may not occur in the future. Any forward-looking statements have not been audited or reviewed by our external auditors.

Group statement of financial position

AT 31 MARCH 2026

Figures in R'000	Notes	2026	2025
ASSETS			
Property, plant and equipment	3	55 053	67 450
Intangible assets	4	122 566	122 603
Right-of-use assets	5	21 809	20 396
Goodwill	6	840 252	840 252
Investment in associates and joint ventures	7	*	*
Loans to associates and joint ventures	8	9 658	9 811
Other financial assets	9	2 252	41 336
Finance lease receivable	10	53 819	44 359
Trade and other receivables	11	9 959	13 101
Deferred tax assets	12	7 473	8 408
Non-current assets		1 122 841	1 167 716
Inventories	13	91 967	45 333
Trade and other receivables	11	138 597	193 000
Taxation receivable		7 507	9 447
Loans to associates and joint ventures	8	60 495	35 157
Other financial assets	9	65 902	–
Finance lease receivable	10	13 289	8 058
Cash and cash equivalents	14	327 567	402 312
Current assets		705 324	693 307
Total assets		1 828 165	1 861 023
EQUITY AND LIABILITIES			
Capital and reserves		1 539 264	1 533 376
Share capital	15	936 074	976 455
Share-based payment reserve	16	32 387	20 519
Foreign currency translation reserve		(647)	(815)
Retained income		571 450	537 217
Non-controlling interest		1 933	1 588
Total equity		1 541 197	1 534 964
Contract liabilities	18	2 531	6 920
Lease liability	19	18 615	18 540
Deferred tax liabilities	12	45 240	39 779
Non-current liabilities		66 386	65 239
Contingent consideration liability	17	–	23 828
Contract liabilities	18	15 640	10 900
Lease liability	19	9 201	7 957
Provision for share repurchase	20	–	32 331
Trade and other payables	21	118 756	94 326
Other financial liability	22	70 282	71 892
Taxation payable		6 703	19 586
Current liabilities		220 582	260 820
Total equity and liabilities		1 828 165	1 861 023

* Amounts are less than R1 000.

Group statement of comprehensive income

FOR THE YEAR ENDED 31 MARCH 2026

Figures in R'000	Notes	2026	2025
Revenue	23	1 166 157	1 250 733
Cost of sales		(640 218)	(636 016)
Gross profit		525 939	614 717
Other income	24	7 299	1 329
Other fair value gains	25	34 308	36 701
Operating expenses		(341 129)	(367 374)
Operating profit before items noted below	26	226 417	285 373
Finance income	27	35 773	33 480
Finance costs	28	(13 104)	(16 733)
Finance costs: lease liabilities	28	(3 086)	(3 311)
Expected credit loss raised	8	–	(1 064)
Profit before taxation		246 000	297 745
Taxation	29	(80 701)	(90 840)
Profit after taxation		165 299	206 905
Other comprehensive income			
Items that will be reclassified subsequently to profit and loss net of tax			
Foreign currency translation reserve adjustments		168	238
Total comprehensive income for the year		165 467	207 143
Profit after tax attributable to:			
Shareholders of the Company		164 954	207 064
Non-controlling interest		345	(159)
		165 299	206 905
Total comprehensive income attributable to:			
Shareholders of the Company		165 122	207 143
Non-controlling interest		345	(159)
		165 467	206 984
Basic earnings per share (cents)	36	14.38	17.58
Diluted earnings per share (cents)	36	14.12	16.80

Group statement of cash flows

FOR THE YEAR ENDED 31 MARCH 2026

Figures in R'000	Notes	2026	2025
Cash generated from operations	30	258 999	207 948
Finance income received		32 773	33 408
Finance costs paid		(17 928)	(8 006)
Dividends paid		(138 165)	(120 748)
Taxation received		1 169	–
Taxation paid		(89 358)	(67 794)
Net cash inflow from operating activities		47 490	44 808
Cash flows from investing activities			
Acquisition of property, plant and equipment	3	(9 902)	(18 461)
Proceeds on disposal of property, plant and equipment and intangible assets		1 261	1 243
Capitalisation of intangible assets	4	(23 751)	(37 431)
Loans to associates and joint ventures	8	(16 982)	(10 667)
Repayment of loans to associates and joint ventures	8	4 507	–
Other financial assets loans granted	9	(1 000)	(5 000)
Net cash outflow from investing activities		(45 867)	(70 316)
Cash flows from financing activities			
Repayment of lease liability	19	(8 067)	(6 402)
Contingent consideration settlement	17	(14 159)	–
Purchase of treasury shares		(39 635)	(41 867)
Proceeds from sale of treasury shares in settlement of vested share options		9 614	6 963
Repayment of other financial liabilities	22	(1 610)	–
Settlement of share repurchase liability	20	(21 467)	–
Net cash outflow from financing activities		(75 324)	(41 306)
Net decrease in cash and cash equivalents		(73 701)	(66 814)
Cash and cash equivalents at beginning of year		402 312	468 151
Net foreign exchange difference		(1 044)	975
Cash and cash equivalents at end of year	14	327 567	402 312

Group statement of changes in equity

FOR THE YEAR ENDED 31 MARCH 2026

	Ordinary share capital	Share-based payment reserve
Figures in R'000		
Balance at 1 April 2024	984 495	26 789
Profit for the year	–	–
Other comprehensive income	–	–
Total comprehensive income	–	–
Share-based payment expense	–	16 898
Settlement of vested conditional share awards and share option awards	–	(23 168)
Allotment of conditional share awards 15 518 650 treasury shares	26 537	–
Purchase of treasury shares (32 045 855 shares)	(41 867)	–
Exercised share options out of treasury shares (4 642 453 shares)	7 290	–
Cash dividends paid	–	–
At 31 March 2025	976 455	20 519
Profit for the year	–	–
Other comprehensive income	–	–
Total comprehensive income	–	–
Share-based payment expense	–	16 238
Remeasurement of provision for share repurchase	(2 345)	–
Allotment of 7 618 735 shares to settle contingent consideration	13 714	–
Settlement of vested conditional share awards and share option awards	(43 375)	(4 370)
Allotment of conditional share awards 11 513 587 treasury shares	21 646	–
Purchase of treasury shares (28 901 704 shares)	(39 635)	–
Exercised share options out of treasury shares (5 447 193 shares)	9 614	–
Cash dividends paid	–	–
Balance at 31 March 2026	936 074	32 387

Foreign currency translation reserve	Retained income	Total equity attributable to shareholders of the Company	Non- controlling interest	Total equity
(1 053)	460 107	1 470 338	1 747	1 472 085
–	207 064	207 064	(159)	206 905
238	–	238	–	238
238	207 064	207 302	(159)	207 143
–	–	16 898	–	16 898
–	–	(23 168)	–	(23 168)
–	(11 055)	15 482	–	15 482
–	–	(41 867)	–	(41 867)
–	–	7 290	–	7 290
–	(118 899)	(118 899)	–	(118 899)
(815)	537 217	1 533 376	1 588	1 534 964
–	164 954	164 954	345	165 299
168	–	168	–	168
168	164 954	165 122	345	165 467
–	–	16 238	–	16 238
–	–	(2 345)	–	(2 345)
–	–	13 714	–	13 714
–	7 444	(40 301)	–	(40 301)
–	–	21 646	–	21 646
–	–	(39 635)	–	(39 635)
–	–	9 614	–	9 614
–	(138 165)	(138 165)	–	(138 165)
(647)	571 450	1 539 264	1 933	1 541 197

Group segment analysis

FOR THE YEAR ENDED 31 MARCH 2026

	Payments Segment		Software Segment	
Figures in R'000	2026	2025	2026	2025
Revenue received from all customers*	647 816	689 215	500 176	549 015
Revenue received from all customers	647 816	689 215	514 680	570 863
Less: Revenue received from inter segmental customers	–	–	(14 503)	(21 848)
Cost of sales	(328 575)	(347 985)	(302 734)	(283 364)
Employee costs relating to operating expenses	(28 798)	(31 079)	(110 474)	(145 882)
EBITDA**	288 422	297 840	32 578	61 300
Operating profit/(loss)	259 164	264 511	8 922	45 180
Expected credit loss raised	–	–	–	–
Segment assets	1 059 289	1 014 054	489 510	446 969
Segment liabilities	100 551	66 037	73 264	88 022
Net assets	958 738	948 017	416 246	358 947
Geographical information				
Revenue	647 816	689 215	500 176	549 015
South Africa	642 816	687 177	470 953	478 920
Rest of Africa and Indian Ocean Islands	3 282	2 038	17 426	22 555
Asia Pacific	–	–	2 796	38 201
United States of America	–	–	4 174	3 037
United Kingdom and Europe	1 719	–	4 827	6 302
Segment assets	1 059 289	1 014 054	489 510	446 969
South Africa	1 059 289	1 014 054	489 510	446 969
Europe	–	–	–	–
Segment liabilities	100 551	66 037	73 264	88 022
South Africa	100 551	66 037	73 264	88 022
Europe	–	–	–	–

* Refer to note 23 for a breakdown of the description of Revenue.

** Earnings before interest, tax, depreciation and amortisation ("EBITDA").

For management purposes, the Group is organised into business units based on its products and services and has three reportable segments, as follows:

- The Payments segment generates revenue from the sale of terminals, the rental of terminals, maintenance and support service fees from terminals, and terminal license fees and related services.

The Payments segment is an aggregation of African Resonance, Dashpay and Halo as they all generate revenue from similar types of transactions.

- The Software segment generates revenue from services and consultancy fees, licence and subscription fees and sale of security hardware and third party license fees.

The Software segment is an aggregation of Synthesis, the Responsive group and the Dariel group as they all generate revenue from similar types of transactions.

- The international segment consists of an offshore company in the Netherlands, Synthesis Labs B.V, which is a wholly-owned subsidiary of Synthesis Europe B.V. The International segment has a similar transaction profile with the South African Software segment.

No reliance is placed on one major customer.

Corporate is not a reportable Segment. However it provides the Group with strategic direction; regulatory compliance and governance; administrative, financial and secretarial services; management of insurance; internal audit and Group treasury management.

CAET, an empowerment trust deemed to be under the control of Araxi in terms of IFRS 10, and its related entities have been included in both the current year and the prior year.

International Segment		Corporate		Group	
2026	2025	2026	2025	2026	2025
18 164	12 503	–	–	1 166 157	1 250 733
18 331	15 387	–	–	1 180 827	1 275 465
(167)	(2 884)	–	–	(14 670)	(24 732)
(8 909)	(4 667)	–	–	(640 218)	(636 016)
(7 446)	(8 399)	(14 772)	(11 853)	(161 491)	(197 213)
(24)	(3 048)	(41 656)	(22 159)	279 320	333 933
(66)	(3 119)	(41 603)	(21 199)	226 417	285 373
–	–	–	(1 064)	–	(1 064)
10 928	8 482	268 438	391 518	1 828 165	1 861 023
3 114	3 333	110 039	168 667	286 968	326 059
7 814	5 149	158 399	222 851	1 541 197	1 534 964
18 164	12 503	–	–	1 166 157	1 250 733
157	7	–	–	1 113 926	1 166 104
103	13	–	–	20 811	24 606
6 463	–	–	–	9 259	38 201
2	1	–	–	4 176	3 038
11 439	12 482	–	–	17 985	18 784
10 928	8 482	268 438	391 518	1 828 165	1 861 023
–	–	268 438	391 518	1 817 237	1 852 541
10 928	8 482	–	–	10 928	8 482
3 114	3 333	110 039	168 667	286 968	326 059
–	–	110 039	168 667	283 854	322 726
3 114	3 333	–	–	3 114	3 333

Notes to the Group financial statements

FOR THE YEAR ENDED 31 MARCH 2026

Material accounting policies

1. PRESENTATION OF FINANCIAL STATEMENTS

All policies stated in the financial statements relate to the Group and the companies within the Group. The Group financial statements for the year ended 31 March 2026 were prepared in accordance with IFRS® Accounting Standards as issued by the International Accounting Standards Board, the SAICA Financial Reporting Guides as issued by the Accounting Practice Committee, International Financial Reporting Pronouncements (FRP) as issued by the Financial Reporting Standards Council (FRSC) and the interpretations issued by the International Financial Reporting Interpretations Committee (IFRIC), effective at the time of preparing these financial statements and in compliance with the JSE Listings Requirements and the Companies Act of South Africa. These accounting policies have been revised and have been amended where necessary. The amounts presented are rounded to the nearest Rand thousands.

The Directors take full responsibility for the financial statements. The Group Finance Executive Ms L Tshoagong (CA (SA)) prepared the financial statements which was supervised by the Chief Financial and Value Enhancement Officer ("CFVO") of Araxi Limited, Mr S Douwenga, CA(SA).

Basis of consolidation

The consolidated financial statements comprise the financial statements of the Company and its subsidiaries as at 31 March 2026. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Generally, there is a presumption that a majority of voting rights results in control. To support this presumption, and when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- the contractual arrangement(s) with the other vote holders of the investee;
- rights arising from other contractual arrangements; and
- the Group's voting rights and potential voting rights.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the Group financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income are attributed to the equity holders of the parent of the Group and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies in line with the Group's accounting policies. All intra-Group assets and liabilities, equity, income, expenses and cash flows, relating to transactions between members of the Group, are eliminated in full, on consolidation.

1.1 Significant judgements and sources of estimation uncertainty

In preparing the Group and Company financial statements, management is, from time to time, required to make certain estimates and assumptions that affect the amounts represented in the financial statements and related disclosures. Use of available information and the application of judgement is used in the formation of estimates. Actual results in the future could differ from these estimates, which may be material to the Group financial statements.

Operating segments

The Group's operating segments have been identified based on the internal reports regularly reviewed by the Chief Operating Decision Maker ("CODM") for regular reporting, performance evaluation and decision-making. In determining these segments, management has exercised significant judgement by considering both qualitative factors – such as the nature of products, services, and risks – and quantitative thresholds to assess materiality. Operating components that exhibit similar economic characteristics and are subject to similar risks have been aggregated to avoid obscuring material information, in line with the requirements of IAS 1: *Presentation of Financial Statements* ("IAS 1"). A materiality assessment is applied to each segment to determine whether individual line items are presented separately or aggregated. This judgement is made by evaluating both the magnitude and the nature of the items, ensuring that only information which could reasonably be expected to influence the decisions of users of the financial statements is separately disclosed. This approach ensures that the disclosed segment information faithfully reflects the internal performance measures and decision-making processes of the Group.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

1. PRESENTATION OF FINANCIAL STATEMENTS continued

1.1 Significant judgements and sources of estimation uncertainty continued

Operating segments continued

The Group's operating segments are reported in the manner consistent with the internal reporting provided to the CODM. The CODM, who is responsible for allocating resources and assessing the performance of the operating segments, has been identified as the Executives of Araxi Limited, being the Executive Chairman, Chief Executive Officer and CFVO ("Executives"). Segment results include revenue and expenses directly attributable to a segment. Segment results are determined before any adjustment for minority interest. Segment assets and liabilities comprise those operating assets and liabilities that are directly attributable to the segment. The Group primarily uses EBITDA as a profit measure to assess performance of the segments.

Non-financial assets

The Group assesses, at each reporting date, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's (or Cash Generating Unit's ("CGUs")) fair value less costs of disposal and its value-in-use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

The fair value less costs of disposal calculation is based on available data from binding sales transactions, conducted at arm's-length, for similar assets or observable market prices less incremental costs for disposing of the asset. In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators. The value-in-use calculation is based on a discounted cash flow ("DCF") model. In assessing value-in-use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the asset's performance of the CGU being tested. The identification of the CGUs, is a judgement made by management based on the nature of the operations and risks within the businesses. The recoverable amount is sensitive to the discount rate used for the DCF model as well as the expected future cash-inflows, cash-outflows and the growth rate used for extrapolation purposes. These estimates are most relevant to goodwill and other intangibles recognised by the Group. The key assumptions used to determine the recoverable amount for the different CGUs, including a sensitivity analysis, are further recorded below in note 6.

Impairment losses of continuing operations are recognised in the statement of profit or loss in expense categories consistent with the function of the impaired asset, refer to note 3, 4, 5, 6 and 7 for further details.

Residual values and useful lives of tangible and intangible assets

Residual values and useful lives of tangible and intangible assets are assessed on an annual basis. Estimates and judgements in this regard are based on historical experience and expectations of the manner in which assets are to be used, together with expected proceeds likely to be realised when assets are disposed of at the end of their useful lives.

Such expectations could change over time and therefore impact both depreciation charges and carrying values of tangible and intangible assets in the future. Further details are given in notes 3, 4, 5 and 6.

Deferred tax assets

Deferred tax assets are recognised to the extent that future taxable profits will be available against which temporary differences can be utilised. Future taxable profits are estimated based on business plans which include estimates and assumptions regarding economic growth, inflation, taxation rates and competitive forces. Refer to note 12 for details.

Fair value of convertible loans

The convertible loans are valued as a single instrument, comprising a debt component and the equity component. The debt component is valued using a discounted cash flow using a market rate for comparable non-convertible debt; while the equity component (the option to convert the loan into shares) is valued using option pricing models. The inputs into these models use risk-adjusted discount rates and assessments of share volatility, which contain significant judgement and inherently uncertain assumptions (detailed in note 8 and 9). The most important input is the equity value of the borrowing entity.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

1. PRESENTATION OF FINANCIAL STATEMENTS continued

1.1 Significant judgements and sources of estimation uncertainty continued

Fair value of share allocations

In calculating the amount to be expensed as a share-based payment, the Group was required to calculate the fair value of the equity instruments granted to participants.

IFRS 2 requires a “fair value” to be placed on employee share options. Fair value is measured as the market price of the entity’s share options adjusted for the terms and conditions applicable to the option. Since employee share options are not traded there is no market price available. For this reason, the fair value is required to be determined with the use of an option-pricing model (detailed in note 16).

Investment in associates and joint ventures

The Group does not have any associates and joint ventures that are, in aggregate, material in the context of the Group and accordingly detailed disclosure, in terms of IFRS 12: *Disclosure of Interests in Other Entities*, is assessed on an annual basis. In determining whether or not any individual associate is material, the Group considers a combination of the share of the individual associate or joint venture interest in the consolidated profits as well as total assets of the Group. If any of these contributions exceed 10%, it is concluded as individually material.

Provision

The Group recognised provisions based on managements best estimate of the outflow of resources. From time to time the Group may have disputes or claims in the ordinary course of business. As part of managements assessment of any potential provision it also relies on legal counsel to advise on such matters on a case-by-case basis. A provision is inherently uncertain, and the estimates and assessments by management and external advisors on the merits and probability of success of legal matters contain significant judgement. The provision is measured at its fair value plus interest, accrued at the prime rate. See note 20 for further detail.

Contingent consideration liability

The consideration relating to past acquisitions that is contingent on a target EBITDA and is ultimately payable in cash and a variable number of shares, is treated as a financial liability and measured at fair value. There is uncertainty in estimating whether the EBITDA will be met and in measuring the liability at its fair value. The fair value is measured with reference to the number of shares expected to be issued and the market price of the shares and a cash consideration that has been present valued at prevailing prime interest rate.

Revenue

The Group applied judgement in recognising revenue on certain revenue streams as set out below:

Sales of goods and related services

The Group enters into contracts with customers which include goods that are delivered to the customer and an ongoing service relating to the goods for a specific period as set out in the contracts. The Group has applied its judgement and views these arrangements, in most instances, as separate performance obligations that needs to be met. The revenue on these contracts is recognised based on the separate performance obligations identified. Revenue from terminal sales at a point in time as well as revenue from the maintenance and support services associated with the sale of goods is recognised over time when the performance obligation is satisfied (as the maintenance and support is provided). This reflects the continuous nature of the service. This is because the customer simultaneously receives and consumes the benefit of the service as it is provided.

Software, cloud services and related licences

The Group provides cloud related services to its customers. The Group has applied judgement to determine whether it acts as an agent or principal in these arrangements in accordance with the principles of IFRS 15 – *Revenue from Contracts with Customers* (“IFRS 15”). One of the judgements made is whether control passes to the Group prior to passing to the customer. The Group is the principal in a transaction with its customers if it obtains control of the specified good or service before it is transferred to the end customer, and is an agent if it does not control the specified good or service before it is transferred to the end customer. The Group determines whether it is a principal or agent for each specified good or service promised to the customer by assessing the nature of its promise to determine whether the entity is:

1. primarily responsible for fulfilling the promise,
2. the entity has inventory risk,
3. whether the entity has discretion in establishing the price. When the Group concludes that control does not pass, it acts as an agent in these arrangements as the vendor has the primary obligation to fulfil the services to the customers.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

1. PRESENTATION OF FINANCIAL STATEMENTS continued

1.1 Significant judgements and sources of estimation uncertainty continued

Software, cloud services and related licences continued

Within software licence revenue generated by the Group, the Group applies judgement to determine whether the access to the licence and updates are a separate performance obligations by assessing if delivered updates are significant to the core functionality of the software. Where the Group sells on-premise software licences with the right to updates and where such updates are not significant to the functionality of the software, the Group applied judgement to conclude if these arrangements consist of two performance obligations, being a licence to the current version of the software product and an entitlement to future updates. This conclusion is based on the fact that the Group controls delivery of such licences to the customers, the performance obligations being separately identifiable, and that the customer can benefit from the two performance obligations separately. A "right to use" license in the context of software under IFRS 15 refers to a type of licensing agreement where the customer is granted the right to use a specific version of the software as it exists at the time the license is granted, without the expectation of receiving future updates or modifications (or where updates are not critical to the value of the license). The Group has recognised revenue at a point in time when control of the asset has transferred to the customer, with the transfer of control being the key indicator for recognising revenue at a point in time. This is applicable where the granting of the specific version of a license is a distinct offering from any further service offerings, the license granted can be immediately activated and used independently of any further services and the substantial portion of the benefit of the license is derived from its current functionality. Minor modifications to the licences recognised at a point in time are not considered significant to the value of the license, while major modifications are considered separate performance obligations and would require separate revenue recognition when provided.

Group as a lessor

To distinguish between operating leases and finance leases, management have applied judgement. Leases are generally classified as operating leases unless the lease term is for the major part of the economic life of the underlying asset (even if title is not transferred) and where the present value of the lease payments amounts to at least substantially all of the fair value of the underlying asset. In such cases, leases have been classified as finance leases.

Certain lease contracts include an option to renew the lease for a further period or allow for an earlier termination date. The majority of these contracts allow for extension or earlier termination to be determined by the Group and not the lessee. The Group applies judgement in assessing whether extension or termination options will be exercised, and these options are only included in the lease term if the lease is reasonably certain to be extended (or not terminated). In performing its assessment, management considers all facts and circumstances that create an economic incentive to exercise an extension option, or not exercise a termination option aligned with the Group's business plan and future outlook. The assessment is reviewed if a significant event or a significant change in circumstances occurs which affects this assessment and that is within the control of the lessee.

1.2 Property, plant and equipment

Property, plant and equipment are tangible assets which the Group holds for its own use and which are expected to be used for more than one period.

An item of property, plant and equipment is recognised as an asset when it is probable that future economic benefits associated with the item will flow to the Group, and the value of the item can be measured reliably.

Property, plant and equipment are initially measured at cost. Cost includes all of the expenditure that is directly attributable to the acquisition. They are subsequently measured at cost less accumulated depreciation and accumulated impairment. Depreciation of an asset commences when the asset is available for use as intended by management. Depreciation is charged to reduce the asset's carrying amount over its estimated useful life to its estimated residual value, using a method that best reflects the pattern in which the asset's economic benefits are consumed by the Group. Depreciation of an asset ceases at the earlier of the date that the asset is classified as held for sale or derecognised.

The useful lives of property, plant and equipment have been assessed as follows:

Item	Average useful life
Office equipment	3–5 years
Computer equipment	3–5 years
Furniture and fixtures	3–6 years
Motor vehicles	3–5 years
Leasehold improvements	5 years
Rental terminals	5 years

Such assets are depreciated using the straight-line method, with no residual value.

Impairment tests are performed on property, plant and equipment when there is an indication for such impairment. When the carrying amount of an item of property, plant and equipment is assessed to be higher than the estimated recoverable value, an impairment loss is recognised immediately in profit and loss to bring the carrying amount in line with the recoverable value.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

1. PRESENTATION OF FINANCIAL STATEMENTS continued

1.2 Property, plant and equipment continued

Derecognition of property, plant and equipment

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss in the year the asset is derecognised.

1.3 Intangible assets

An intangible asset is recognised when:

- it is probable that the expected future economic benefits that are attributable to the intangible asset will flow to the entity; and
- the cost of the intangible asset can be measured reliably.

Intangible assets are initially recognised at cost. Intangible assets are carried at cost less accumulated amortisation and/or any accumulated impairment losses. The amortisation period and the amortisation method for intangible assets are reviewed at the date of every reporting period.

Save for any need for impairment, amortisation applied to the intangible assets, on a straight-line basis, is as follows:

Item	Average useful life
Computer software	3 – 5 years
Customer relationships and brands	6 – 10 years

Derecognition of intangible assets

An intangible asset is derecognised on disposal or when no future economic benefits are expected from its use.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in profit or loss when the asset is derecognised.

1.4 Impairment of non-financial assets

The Group assesses, at the end of each reporting period, whether there is any indication that an asset may be impaired. If any such indication exists, the Group estimates the recoverable value of the asset.

If there is any indication that an asset may be impaired, the recoverable value is estimated for the individual asset.

The Group assesses at each reporting date whether there is any indication that an impairment loss, recognised in prior periods for assets, may no longer exist or may have decreased. If any such indication exists, the recoverable values of those assets are estimated.

The increased carrying value of an asset arising from a reversal of an impairment loss does not exceed the carrying value that would have been determined had no impairment loss been recognised for the asset in prior periods.

A reversal of an impairment loss in assets carried at cost less accumulated depreciation is recognised immediately in profit and loss.

1.5 Business combinations and goodwill

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, which is measured at acquisition date fair value, and the amount of any non-controlling interests in the acquiree which is determined at either the fair value or at the proportionate share of the acquiree's identifiable net assets.

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date. This includes the separation of embedded derivatives in host contracts by the acquiree.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

1. PRESENTATION OF FINANCIAL STATEMENTS continued

1.5 Business combinations and goodwill continued

Any contingent consideration to be transferred by the acquirer will be recognised at fair value at the acquisition date. Contingent consideration classified as equity is not remeasured, and its subsequent settlement is accounted for within equity. Contingent consideration classified as an asset or liability that is a financial instrument and within the scope of IFRS 9 – *Financial Instruments: Recognition and Measurement* ("IFRS 9"), is measured at fair value with the changes in fair value recognised in profit or loss in accordance with IFRS 9. Other contingent consideration that is not within the scope of IFRS 9 is measured at fair value at each reporting date with changes in fair value recognised in profit or loss.

Goodwill is initially measured at cost (being the excess of the aggregate of the consideration transferred and the amount recognised for non-controlling interests and any previous interest held over the net identifiable assets acquired and liabilities assumed). If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the Group reassesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed, and reviews the procedures used to measure the value of the net assets to be recognised at the acquisition date.

If the reassessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognised in profit and loss.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's CGUs that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units. Where goodwill has been allocated to a CGUs and part of the operation within that unit is disposed of, the goodwill associated with the disposed operation is included in the carrying amount of the operation when determining the gain or loss on disposal. Goodwill disposed of in these circumstances is measured based on the relative values of the disposed operation and the portion of the CGUs.

1.6 Investment in associates and joint ventures

An associate or joint venture is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but with no control over those decisions. The existence of significant influence is usually evidenced in one or more of the following ways:

- representation on the Board of Directors or equivalent governing body of the investee;
- participation in policy-making processes, including participation in decisions about dividends or other distributions;
- material transactions between the entity and its investee;
- interchange of managerial personnel; or
- provision of essential technical information.

The Group's investments in its associates are accounted for using the equity method.

Under the equity method, the investment in an associate is initially recognised at cost. The carrying amount of the investment is adjusted to recognise changes in the Group's share of net assets of the associate since the acquisition date. Goodwill relating to the associate is included in the carrying amount of the investment and is not tested for impairment separately.

The Statement of Comprehensive Income reflects the Group's share of the results of operations of the associate. Any change in other comprehensive income of those investees is presented as part of the Group's other comprehensive income. In addition, when there has been a change recognised directly in the equity of the associate, the Group recognises its share of any changes, when applicable, in the Statement of Changes in Equity.

Unrealised gains and losses, resulting from transactions between the Group and the associate, are eliminated to the extent of the interest in the associate.

The aggregate of the Group's equity accounted profit/loss in associates is shown on the face of the Statement of Comprehensive Income, outside operating profit, and represents profit or loss after tax of the associate.

The financial statements of the associate are prepared for the same reporting period as the Group. When necessary, adjustments are made to bring the accounting policies in line with those of the Group.

After application of the equity method, the Group determines whether it is necessary to recognise an impairment loss on its investment in its associate. At each reporting date, the Group determines whether there is objective evidence that the investment in the associate is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable value of the associate and its carrying value, and then recognises the loss in profit or loss.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

1. PRESENTATION OF FINANCIAL STATEMENTS continued

1.7 Financial instruments

Initial recognition and measurement

Financial instruments held by the Group are classified in accordance with the provisions of IFRS 9.

Broadly, the classification possibilities, which are adopted by the Group, as applicable, are as follows:

Financial assets which are equity instruments:

Mandatorily at fair value through the Statement of Comprehensive Income.

Financial assets which are debt instruments:

Amortised cost. This category applies only when the contractual terms of the instrument give rise, on specified dates, to cash flows that are solely payments of principal and interest on such principal amounts, and where the instrument is held under a business model whose objective is met by holding the instrument to collect contractual cash flows.

Financial liabilities:

Amortised cost.

Note 37 Financial instruments and risk management presents the financial instruments held by the Group based on their specific classifications.

The specific accounting policies for the classification, recognition and measurement of each type of financial instrument held by the Group are presented below:

Loans receivable at amortised cost

Classification

Loans to employees (note 11), enterprise development loans (note 11) and loans to subsidiaries (Company note 5) and loans to associates with no convertible option (note 8) are classified as financial assets and subsequently measured at amortised cost.

Loans have been classified in this manner because the contractual terms of these loans give rise, on specified dates, to cash flows that are solely payments of principal and interest on the principal outstanding, and the Group's business model is to collect the contractual cash flows on these loans.

Recognition and measurement

Loans receivable are recognised when the Group becomes a party to the contractual provisions of the loan. The loans are measured, at initial recognition, at fair value plus transaction costs, if any.

They are subsequently measured at amortised cost.

The amortised cost is the amount recognised on the loan initially, minus principal repayments, plus cumulative amortisation (interest), using the effective interest rate method of any difference between the initial amount and the maturity amount, adjusted for any loss allowance.

Impairment

The Group recognises a loss allowance for expected credit losses on all financial assets measured at amortised cost, which include loans receivable (notes 8 and 9). The amount of expected credit losses is updated at each reporting date to reflect changes in credit risk since initial recognition of the respective receivables, when there is no reasonable expectation of recovery.

For the purposes of impairment assessment, the receivables are considered to have low credit risk. Accordingly, for the purpose of impairment assessment for these financial assets, the loss allowance is measured at an amount equal to 12-month Expected Credit Loss ("ECL"). In determining the expected credit losses for these assets, the Group have taken into account the historical default experience, the financial position of the counterparties, as well as various external sources of actual and forecast economic information, as appropriate, in estimating the probability of default of each of these financial assets occurring within their respective loss assessment time horizon, as well as the loss upon default in each case.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

1. PRESENTATION OF FINANCIAL STATEMENTS continued

1.7 Financial instruments continued

Trade and other receivables

Classification

Trade and other receivables, excluding, when applicable, VAT receivable and prepayments, are classified as financial assets subsequently measured at amortised cost (note 11).

They have been classified in this manner because their contractual terms give rise, on specified dates, to cash flows that are solely payments of principal and interest on the principal outstanding. A receivable represents the Group's right to an amount of consideration that is unconditional (i.e. only the passage of time is required before payment of the consideration is due).

Recognition and measurement

Trade and other receivables are recognised when the Group becomes a party to the contractual provisions of the receivables. They are measured, at initial recognition, at fair value plus transaction costs, if any.

They are subsequently measured at amortised cost using the effective rate method.

The amortised cost is the amount recognised on the receivable initially, minus principal repayments, plus cumulative amortisation (interest), using the effective interest rate method of any difference between the initial amount and the maturity amount, adjusted for any estimated credit losses.

Impairment

The Group recognises a loss allowance for expected credit losses on trade and other receivables, excluding VAT receivable and prepayments. The Group assesses ECLs using a range of quantitative and qualitative indicators, including credit ratings, days past due, deterioration in customer financial metrics, and forward-looking macroeconomic data. A significant increase in credit risk is presumed when a financial asset is more than 30 days past due or when other indicators, such as requests for extensions to credit terms, negative sector outlooks, or internal credit downgrades, are present. The ECL assumptions incorporate forward-looking variables including interest rate forecasts, unemployment trends, and industry-specific risks.

The amount of expected credit losses is updated at each reporting date.

Generally, trade receivables are written-off if past due for more than one year and are not subject to enforcement activity. The amount of expected credit losses is updated at each reporting date.

Interest on financial assets at amortised cost

Interest income, calculated on the effective interest method, is included in profit and loss (note 27). They are subsequently measured at amortised cost using the effective interest rate method.

The effective interest method is a method of calculating the amortised cost of a financial asset and of allocating interest income over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash receipts (including all fees and points received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial asset, or (where appropriate) a shorter period, to the amortised cost of a financial asset.

Cash and cash equivalents

Cash and cash equivalents are stated at carrying amount, which is deemed to be fair value.

Financial assets at fair value through profit or loss ("FVTPL")

Financial assets are classified as FVTPL, when the financial asset is (i) held for trading, or (ii) it is designated as FVTPL.

A financial asset is classified as held for trading if:

- it has been acquired principally for the purpose of selling it in the near term; or
- on initial recognition it is part of a portfolio of identified financial statements that the Group manages together and has a recent actual pattern of short-term profit-taking; or
- it is derivative that is not designated and effective as a hedging instrument.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

1. PRESENTATION OF FINANCIAL STATEMENTS continued

1.7 Financial instruments continued

Financial assets at fair value through profit or loss ("FVTPL") continued

Financial assets at FVTPL are stated at fair value, with any gains or losses arising on re-measurement recognised in profit and loss. The net gain or loss recognised in profit or loss incorporates any dividend or interest earned on the financial asset and is recognised in profit and loss.

The Group's assets measured at FVTPL include loans to associates with convertible options (note 8), other financial assets (note 9) and foreign exchange forward contracts (note 11 and 21) which are derivative financial instruments. The Group does not apply hedge accounting in terms of IFRS 9 and IAS 39.

Convertible Loan Assets ("CLA") Measured at Fair Value Through Profit or Loss ("FVTPL")

Classification

Convertible loan instruments are 'hybrid' contracts that contain an embedded derivative (conversion option) and a non-derivative host agreement. Hybrid contracts that are financial assets and are not split into their separate components. The entire contract is treated as a single unit of account for the purposes of IFRS 9 classification and measurement.

Recognition and measurement

These instruments are initially recognised at fair value, reflecting the sum of its fixed income and embedded conversion option features. The convertible loans are subsequently measured at FVTPL. The valuation is performed using market inputs, including comparable instruments, the issuer's credit rating, and assumptions regarding the underlying share price, volatility and equity conversion ratios.

The conversion feature within the asset is not bifurcated for accounting purposes because it is closely related to the host debt instrument. Instead, the fair value of the entire instrument is reassessed at each reporting date.

Any changes to the contractual terms – such as adjustments to interest rates or the conversion ratio – are remeasured in accordance with IFRS 9. The effect of such modifications is recognised in the period in which they occur.

The key assumptions used to determine the fair value amounts for the different CLA's including a sensitivity analysis, are further recorded in note 8 and 9.

FINANCIAL LIABILITIES

Borrowings

Borrowings, net of transaction costs, are recognised initially at fair value. Borrowings are subsequently stated at amortised cost using the effective interest rate method. Any difference between proceeds and the redemption value is recognised in the statement of comprehensive income over the period of the borrowing using the effective interest rate method. Preference shares, which are redeemable on a specific date or at the option of the shareholder or which carry non-discretionary dividend obligations, are classified as borrowings. The dividends on these preference shares are recognised in the statement of comprehensive income as interest expense. Dividends are subject to a 20% withholdings tax. Borrowings are derecognised when they are extinguished (i.e. when the obligation specified in the contract is discharged, cancelled or expires). Borrowings are classified as current liabilities unless the Company has an unconditional right to defer settlement of the liability for at least 12 months after the statement of financial position date (note 22).

Trade and other payables

Classification

Trade and other payables (note 21), excluding VAT payable and amounts received in advance, are classified as financial liabilities subsequently measured at amortised cost.

Recognition and measurement

Trade and other payables are recognised when the Group becomes a party to the contractual provisions, and are measured, at initial recognition, at fair value less transaction costs, if any.

They are subsequently measured at amortised cost using the effective interest rate method.

The effective interest rate method is a method of calculating the amortised cost of a financial liability and of allocating the interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial liability, or (where appropriate) a shorter period, to the amortised cost of a financial liability.

Financial liabilities at FVTPL

Financial liabilities, including contingent consideration liability (see note 17) are stated at fair value, with any gains or losses arising on re-measurement recognised in profit and loss.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

1. PRESENTATION OF FINANCIAL STATEMENTS continued

1.8 Tax

Current income tax

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date in the countries where the Group operates and generates taxable income.

Current income tax relating to items recognised directly in equity is recognised in equity and not in profit or loss. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Deferred tax

Deferred tax is provided using the liability method on temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax liabilities are recognised for all taxable temporary differences, except:

- When the deferred tax liability arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.
- In respect of taxable temporary differences associated with investments in subsidiaries and associates, when the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognised for all deductible temporary differences, the carry forward of unused tax credits and any unused tax losses. Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised, except:

- When the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.
- In respect of deductible temporary differences associated with investments in subsidiaries and associates, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are re-assessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax relating to items recognised outside profit or loss is recognised outside profit or loss. Deferred tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Tax benefits acquired as part of a business combination, but not satisfying the criteria for separate recognition at that date, are recognised subsequently if new information about facts and circumstances change. The adjustment is either treated as a reduction in goodwill (as long as it does not exceed goodwill) if it was incurred during the measurement period or recognised in profit or loss.

The Group offsets deferred tax assets and deferred tax liabilities if, and only if, it has a legally enforceable right to set off current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities which intend either to settle current tax liabilities and assets on a net basis, or to realise the assets and settle the liabilities simultaneously, in each future period in which significant amounts of deferred tax liabilities or assets are expected to be settled or recovered.

Value added taxes

Revenues, expenses and assets are recognised net of the amount of value added tax except:

- When the value added tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case, the value added tax is recognised as part of the cost of acquisition of the asset or as part of the expense item, as applicable.

The net amount of value added tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

1. PRESENTATION OF FINANCIAL STATEMENTS continued

1.9 Leases

In terms of IFRS 16 *Leases* ("IFRS 16"), the Group assesses whether a contract is or contains a lease, at inception of the contract.

AS LESSEE

The Group leases various properties. Lease agreements are typically entered into for fixed periods but may have extension options included. Lease terms are negotiated on an individual basis and contain a range of different terms and conditions.

Leases are recognised as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Group. Each lease payment is allocated between the liability and finance cost. The finance cost is charged to profit or loss over the lease period to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

Assets and liabilities arising from a lease are initially measured at the net present value of the minimum lease payments. The net present value of the minimum lease payments is calculated as follows:

- fixed payments, less any lease incentives receivable;
- variable lease payments that are based on an index or a rate;
- amounts expected to be payable by the lessee under residual value guarantees;
- the exercise price of a purchase option if the lessee is reasonably certain to exercise that option; and
- payments of penalties for terminating the lease, if the lease term reflects the lessee exercising that option.

The lease payments are discounted using the interest rate implicit in the lease, where this rate cannot be determined, the Group's incremental borrowing rate is used. Generally, the Group uses its incremental borrowing rate as the discount rate. The Group determines its incremental borrowing rate by obtaining interest rates from various external financing sources and makes adjustments, where necessary, to reflect changes in financing conditions.

The lease liability is subsequently increased by the interest cost on the lease liability and decreased by lease payments made. Interest costs are charged to the statement of profit or loss and other comprehensive income over the lease period to produce a constant periodic rate of interest on the remaining balance of the liability for each period. The carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments or a change in the assessment of an option to extend the lease term.

Right-of-use assets are measured at cost comprising the following:

- the net present value of the minimum lease payments;
- any lease payments made at or before the commencement date less any lease incentives received;
- any initial direct costs; and
- restoration costs.

The right-of-use assets are subsequently measured at cost less any accumulated depreciation and impairment losses and adjusted for certain remeasurements of the lease liability.

The right-of-use assets are depreciated over the shorter of the assets' useful lives and the lease terms on a straight-line basis. The Group presents right-of-use assets as well as lease liabilities separately in the statement of financial position and is disclosed in note 5 and note 19.

Payments associated with short-term leases and leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss. Short-term leases are leases with an expected lease term of 12 months or less. Low-value assets comprise IT-equipment and small items of office furniture.

Lease and non-lease components

A number of lease contracts include both lease and non-lease components. The Group has not elected the practical expedient to account for non-lease components as part of its lease liabilities and right-of-use assets. Therefore, non-lease components are accounted for as operating expenses and are recognised in profit or loss as they are incurred. The Group allocates the consideration in the contract to each lease and non-lease component based on their relative stand-alone selling prices.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

1. PRESENTATION OF FINANCIAL STATEMENTS continued

1.9 Leases continued

AS LESSOR

Finance leases

The Group, as a lessor enters into finance lease arrangements with customers in respect of the sales of certain goods. A finance lease asset is recognised when substantially all of the risks and rewards of ownership have transferred to the customer and a sale of the good is recognised.

Finance leases are capitalised at inception of the lease agreement at the lower of the fair value of the goods transferred or the present value of the future minimum lease payments including the present value of the unguaranteed residual value of the asset. The finance lease receivable is recognised and subsequently measured at amortised cost and adjusted for any loss allowance. The loss allowance is recognised for ECL and is updated at each reporting date to reflect changes in credit risk. In determining the ECL for these assets, the Group have taken into account the historical default experience, the financial position of the counterparties, as well as various external sources of actual and forecast economic information, as appropriate, in estimating the probability of default of each of these financial assets occurring within their respective loss assessment time horizon, as well as the loss upon default in each case.

Lease payments included in the measurement of the net investment in the lease comprise the following:

- fixed lease payments, including in-substance fixed payments, less any lease incentives payable;
- the amount expected to be receivable by the Company from the lessee, a party related to the lessee or a third party
- Unguaranteed residual value

The Group recognises finance income over the lease term, based on a pattern that reflects a constant periodic rate of return on the net investment in the lease. Finance income recognised on finance leases is included as net investment in rental assets in profit or loss (note 27).

The Group applies the impairment provisions of IFRS 9 to lease receivables. Refer to the accounting policy for trade and other receivables as lease receivables are impaired on a consistent basis with that accounting policy.

Each lease payment received from the customer is allocated between the finance lease asset and finance lease interest income. The finance lease interest income is recognised in profit or loss over the lease period to produce a constant periodic rate of interest on the remaining balance of the asset for each period.

Operating leases

Rental income from operating leases, net of any incentives given to the lessees is recognised on a straight-line basis over the lease term

The payments segment enters into operating rental agreements for point of sale terminals with the following salient terms:

- The term for each rental agreement is three years.
- Rental fees has an annual escalation, based on CPI.
- At the end of the term, the lessee has a responsibility to return the terminal to the lessor in good, working condition, fair wear and tear accepted.
- The lessee is not allowed to acquire any title to the terminal, and the lessor will retain ownership of the terminal at all times.

1.10 Inventories

Inventories are stated at the lower of cost and estimated net realisable value in the ordinary course of business, on the first-in-first-out basis. The estimated net realisable value is the estimated selling price in the ordinary course of business.

1.11 Share capital and equity

All shares are classified as equity. Incremental costs directly attributable to the issue of shares are recognised as a deduction from equity, net of any tax effects, if applicable.

1.12 Treasury shares

Shares in the Company, held by Capparec Management Services Proprietary Limited as well as CAET are classified in the Group's shareholder interest as treasury shares. These treasury shares are treated as a deduction from the issued and weighted average number of shares. The cost price of the treasury shares is presented as a deduction from total equity. Distributions received on treasury shares are eliminated on consolidation.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

1. PRESENTATION OF FINANCIAL STATEMENTS continued

1.13 Employee benefits

Short-term employee benefits

The cost of short-term employee benefits, which consists of salaries and wages, is recognised in the period in which the service is rendered and are not discounted.

The expected cost of compensated absences is recognised as an expense as the employees render services that increase their entitlement or, in the case of non-accumulating absences, when the absence occurs.

The expected cost of bonus payments is recognised as an expense when there is a legal or constructive obligation to make such payments as a result of past performance.

Long-term employee benefits

Share-based payments

Share incentive scheme

In terms of the Group's share incentive scheme, employees of the Group receive remuneration in the form of share-based payments, whereby employees render services as consideration for equity instruments (equity-settled transactions).

The cost of equity-settled transactions is determined by the fair value at the date when the grant is made, using an appropriate valuation model, further details of which are given in note 16.

The cost of equity-settled transactions is recognised in the employee benefits expense (note 26), together with a corresponding increase in the share-based payment reserve, over the period in which the service and, where applicable, the performance conditions are fulfilled (the vesting period).

The cumulative expense recognised for equity-settled transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the Group's best estimate of the number of equity instruments that will ultimately vest. The expense in the Statement of Comprehensive Income for a period represents the movement in cumulative expense recognised as at the beginning and end of that period.

Service and non-market performance conditions are not taken into account when determining the grant date fair value of awards, but the likelihood of the conditions being met is assessed as part of the Group's best estimate of the number of equity instruments that will ultimately vest. Market performance conditions are reflected within the grant date fair value. Any other conditions attached to an award, but without an associated service requirement, are considered to be non-vesting conditions. Non-vesting conditions are reflected in the fair value of an award and lead to an immediate expensing of an award unless there are also service and/or performance conditions.

No expense is recognised for awards that do not ultimately vest because non-market performance and/or service conditions have not been met. Where awards include a market or non-vesting condition, the transactions are treated as vested, irrespective of whether the market or non-vesting condition is satisfied, provided that all other performance and/or service conditions are satisfied.

When the terms of an equity-settled award are modified, the minimum expense recognised is the grant date fair value of the unmodified award, provided the original terms of the award are met. An additional expense, measured as at the date of modification, is recognised for any modification that increases the total fair value of the share-based payment transaction, or is otherwise beneficial to the employee. Where an award is cancelled by the entity or by the counterparty, any remaining element of the fair value of the award is expensed immediately through profit or loss.

The dilutive effect of outstanding options is reflected as additional share dilution in the computation of diluted earnings per share (note 36).

Conditional share plan

In terms of the Group's conditional share plan scheme, a conditional right to a share is awarded to executive directors and senior management, subject to performance and vesting conditions. The fair value of services received in return for the conditional share awards has been determined by multiplying the number of conditional share awards expected to vest, by the share price of the award less discounted anticipated future distribution flows.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

1. PRESENTATION OF FINANCIAL STATEMENTS continued

1.14 Provisions and contingencies

Provisions are recognised when:

- the Group has a present obligation as a result of a past event;
- it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation; and
- a reliable estimate can be made of the obligation.

The amount of a provision is the present value of the expenditure expected to be required to settle the obligation (note 20).

Where some or all of the expenditure required to settle a provision is expected to be reimbursed by another party, the reimbursement shall be recognised when, and only when, it is virtually certain that the reimbursement will be received if the entity settles the obligation.

1.15 Revenue

Revenue recognition

Revenue is recognised based on the completion of performance obligations and an assessment of when control is transferred to the customer. The following indicators are used by the Group in determining when control has passed to the customer:

- the Group has a right to payment for the product or service;
- the customer has legal title to the product;
- the Group has transferred physical possession of the product to the customer;
- the customer has the significant risk and rewards of ownership of the product; and
- the customer has accepted the product.

The Group principally generates revenue from providing the following goods and services:

Payments segment

- sales and rental of hardware;
- maintenance and support services;
- other transactional services (comprising monthly application licence fees and SIM fees per terminal); and
- project related revenue.

Software Segment

- software, cloud services and related licenses; and
- software application and development.

The segmental revenue analysis presents the nature and amount of Group revenue streams and therefore, fulfils the disaggregation disclosure requirement of IFRS 15.

Revenue from contracts with customers

Revenue is measured based on the consideration specified in a contract with a customer and excludes amounts collected on behalf of third parties. The Group recognises revenue when it transfers control over a product or services to a customer.

Contracts are assessed individually to determine whether the products and services are distinct i.e. the product or service is separately identifiable from the other promises in the contract with the customer and whether the customer can benefit from the goods or services either on its own or together with other resources that are readily available.

The consideration is allocated between the goods and services in a contract based on management's best estimate of the standalone selling prices of the respective goods and/or services.

When a contract results in payments received from customers in advance of fulfilling the performance obligation, a contract liability is recognised, similarly, when the performance obligation has been fulfilled and the customers have not been invoiced, a contract asset is recognised.

The Group evaluates the following control indicators amongst others when determining whether it is acting as a principal or agent in transactions with customers and recording revenue on a gross, or net, basis:

- the Group is primarily responsible for fulfilling the obligation to provide the specified goods or service;
- the Group has inventory risk before the specified good or service has been transferred to a customer or after transfer of control to the customer; and
- the Group has discretion in establishing the price for the specified good or service.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

1. PRESENTATION OF FINANCIAL STATEMENTS continued

1.15 Revenue continued

Payments segment

Terminal rental income

The Group recognises revenue from terminal rental contracts with customers. In these contracts the goods and services are separately identifiable and separated into distinguishable performance obligations being the rental of the hardware and maintenance and support fees from terminals. The Group recognises revenue on the rental of hardware contracts over time on a straight line basis as the services are rendered.

Manufacturer/Dealer lessor

The Group leases payment terminals to customers as part of its regular sales operations, classifying these as finance leases under IFRS 16. As manufacturer/dealer and lessor, the Group transfers substantially all risks and rewards of ownership to the lessee. In line with IFRS 15, revenue is recognised at lease inception based on the present value of lease payments, with cost of sales reflecting the asset's production or acquisition cost. Any resulting profit or loss is recognised immediately.

The Group recognises revenue over time based on the input method i.e. costs incurred as a percentage of total estimated costs to completion, judgement is applied in determining the estimated costs to complete. The Group recognises contract assets and contract liabilities on these contracts depending on the billing milestones identified in the contracts.

Sale of terminals and related services

The Group sells terminals and other goods to its customers. The Group recognises revenue when control is transferred to the customer, being when the customer accepts delivery of the goods, at a point in time. General payment terms are 30–60 days from invoice date.

The Group, as a lessor enters into finance lease arrangements with customers in respect of the sales of certain goods. A finance lease asset is recognised when substantially all of the risks and rewards of ownership have transferred to the customer and a sale of the good is recognised at a point in time.

In addition, the Group sells goods to customers with related services included. Depending on the nature of the contract, the Group applies its judgement to conclude whether the goods and services should be treated as a single performance obligation or as two or more separate performance obligations.

Where the Group sells goods and related services to customers and these goods and services are not distinct, i.e. not separately identifiable, the contracts are treated as a single performance obligation. However, where the goods and services (for example monthly license and maintenance revenue) are distinct, i.e. separately identifiable, and the customer can benefit from the goods and services either on its own or together with other resources that are readily available, then the goods and services are treated as separate performance obligations.

Maintenance and support service fees from terminals

The Group provides a range of maintenance and support services to customers. The Group recognises revenue on these contracts over time on a straight-line basis as the services are rendered. The general payment terms are 30 – 60 days from invoice date. If applicable, contract assets are recognised when the services are rendered to the customers and contract liabilities are recognised when the customer pays for the services upfront over the period of the contract. This reflects the continuous nature of the service. This is because the customer simultaneously receives and consumes the benefit of the service as it is provided.

Terminal licence fees and related services

The Group recognises terminal licence fees and related services income (comprising monthly application licence fees and SIM fees per terminal) when the transaction is completed, at a point in time.

Determination of cost of sales

The cost of sales of imported terminals, spare parts and accessories is determined from the landed cost (purchase price plus shipping and other similar costs) of these products in our warehouse.

The cost of sales for maintenance services on terminals within the Payments segment, services and consultancy fees within the Payments segment are determined from the cost of direct labour, other direct costs and include an appropriate portion of overheads, but excludes interest expenses.

Software segment

Service and consultancy fees

These contracts are time-based and the revenue recognition is based on the actual time spent on the provision of the relevant services to the customer and is recognised over time.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

1. PRESENTATION OF FINANCIAL STATEMENTS continued

1.15 Revenue continued

Software segment continued

The performance obligation is based on the time allocated and expended on the software and consultancy project as delivered to the customer. The fees are based on a technical labour resource's role and experience.

There is no contractual obligation to provide an output that is deliverable in nature other than labour hours expended per month to a customer.

Licence and subscription and cloud resale services

Fees earned from licensing internally developed software, installed on the customer premises, is recognised at the point that the licence is granted to the customer. This licence is granted for a period of between 1 and 5 years and gives the customer the right to use the software as it exists at that date.

Fees earned from subscriptions to internally developed software, that is hosted on the Group's infrastructure, is recognised over the period that the licence is granted. This subscription gives the customer the right to access the entity's software as it exists throughout the licence period.

The Group recognises revenue relating to cloud sales as principal at a point in time when the product is transferred to the customer.

Where the Group sells on-premise software licences with the right to updates and such updates are not considered significant to the functionality of the software, the Group considers that such licences include two performance obligations:

- a licence to the current version of the software product, which is recognised on a principal basis at a point in time; and
- an entitlement to future updates, which is recognised on a principal basis over time on a straight-line basis as this is the Group's best estimate as to how these revenues are earned.

The performance obligation is the delivery and access to the software licence granted in an executable format to the customer.

Security hardware

Revenue from the sale of Hardware Security Modules is recognised at the point in time when control of the asset is transferred to the customer, i.e. when the hardware is delivered.

The Group acts as a principal in certain contracts and as an agent in other contracts, depending on the nature, scope and bundling of services of the contract performance obligations. Management has applied judgement in determining whether it acts as an agent or as a principal in these contracts.

Revenue is recognised at a point in time when control transfers to the customer, typically upon delivery. If the arrangement includes a bundled support component, the support is assessed as a distinct performance obligation and recognised over time. The entity acts as principal in these arrangements and recognises revenue on a gross basis.

Where the Group does not control the license before transfer and no additional services are provided to the customer to support the license, the Group acts as an agent and revenue is recognised at a point in time on a net basis.

Third party licence fees

Where the Group sells licences and maintenance services together, the Group applied its judgement to distinguish whether these arrangements consist of two separate performance obligations, being a subscription licence to the current version of the software product as well as a maintenance obligation. This conclusion is based on the fact that the Group controls delivery of such licences to its customers, and that the customer can benefit from the two performance obligations separately, with the performance obligations being separately identifiable. The Group recognises revenue on subscription licenses on a principal basis at a point in time and revenue from the current software version is recognised on a principal basis over time on a straight-line basis. In order to estimate the proportion of the total invoice value to be allocated between the 'licence' performance obligation and the "entitlement to updates" performance obligation, the Group considers the degree of homogeneity of products and solutions across different vendors and estimates such allocation based on a sample of price plans for various products and solutions.

Where software updates are considered critical to the functionality of the software, and such updates can only be delivered by the vendor, the Group has concluded that the sale of the on-premise licences with the right to significant updates are considered to be one performance obligation and that the Group acts as an agent for such software sales, resulting in revenue being recognised at a point in time.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

1. PRESENTATION OF FINANCIAL STATEMENTS continued

1.15 Revenue continued

Software segment continued

Post-sales support

The Group considers the value of basic post-sale support in relation to licences sold to be trivial. This conclusion was reached with reference to the fair value of such post-sale support delivered by the Group and by the Group's vendors on its behalf. The Group doesn't separate out the basic post-sale support performance obligation from the original license sale as it is not material. The Group recognises revenue from enhanced post sale support provided by vendors on an agent basis as the Group does not control delivery of such post-sale support.

Material customer rights

The Group considers that the value of material customer rights originating from various customer price bands under certain software programmes, and material rights related to software prices fixed at the beginning of certain long-term customer contracts, to be trivial. The Group's assessment is based on historical statistics of customer price band changes, which are normally linked to the volume of annual software spend and remain consistent year-on-year, as well as an assessment of the cancellation terms in the customer contracts, which allow the Group and the customers to cancel such contracts at short notice without penalty. The Group does not recognise such material customer rights on the grounds of materiality.

Capitalisation of costs incurred to fulfil contracts

The Group incurs certain costs to fulfil contracts with customers. These costs are directly attributable to the completion of a contract, generate or enhance resources of the entity that will be used in satisfying performance obligations in the future and are expected to be recovered, however the performance obligation to recognise the revenue has not yet been met. The capitalised costs are recognised in profit or loss when the Group has satisfied the related performance obligation in the contract with the customer, which is usually within 12 months after the end of the reporting period.

Contract liabilities

A contract liability is the obligation to transfer goods or services to a customer for which the Group has received consideration from the customer. If a customer pays consideration before the Group transfers goods or services to the customer, a contract liability is recognised when the payment is made. Contract liabilities are recognised as revenue when the Group performs under the contract.

1.16 Related parties

Related parties are entities which have the ability, directly or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions (Please see note 33 for further detail).

Key management is defined as individuals with the authority and responsibility for planning, directing and controlling the activities of the entity. Executive directors of the Board, managing directors of the major segments and those senior management members who are responsible to support the directors in fulfilling their duties, and who report directly or indirectly to such directors are defined as key management per the definition of the standard. Close family members of key management personnel are considered to be those family members who may be expected to influence, or be influenced by key management individuals in their dealings with the entity. Other related party transactions are also disclosed in terms of the requirements of IAS 24: *Related Party Disclosures* ("IAS 24").

1.17 Foreign currencies

Transactions in foreign currencies are translated at the rates of exchange ruling at the transaction date.

Monetary assets and liabilities in foreign currencies are translated at the rates of exchange ruling at the statement of financial position date. Translation differences are recognised in profit and loss.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

2. NEW STANDARDS AND INTERPRETATIONS

2.1 Standards and interpretations effective and adopted in the current year

In the current period, the Group has adopted the following standards and interpretations that are effective for the current financial period and that are relevant to its operations:

Amendments were made on 15 July 2020 on the Classification of Liabilities as Current or Non-current – Deferral of Effective Date (Amendment to IAS 1). The amendment defers the effective date of the January 2020 amendments by one year, so that entities would be required to apply the amendment for annual periods beginning on or after 1 January 2024. The amendment was aimed to clarify the classification of liabilities as current or non-current based on rights that are in existence at the end of the reporting period, and specified that classification is unaffected by expectations about whether an entity will exercise its right to defer settlement of a liability, explain that rights are in existence if covenants are complied with at the end of the reporting period, as well as introduce a definition of “settlement”.

2.2 Standards and interpretations not yet effective

Standard/amendment	For the Group effective for years on or after	Impact
Amendments to the Classification and Measurement of Financial Instruments, which amended IFRS 9 and IFRS 7 Financial Instruments: Disclosures	01 January 2026	The amendments primarily focus on clarity and consistency in accounting for financial instruments. Key changes include adjustments to derecognition of financial liabilities settled through electronic payment systems, improvements to the assessment of contractual cash flow characteristics of financial assets (particularly relevant for financial assets with environmental social and governance (ESG)-linked features or other contingent terms), and enhanced disclosure requirements for specific financial instruments (investments in equity instruments designated at fair value through other comprehensive income (FVOCI) and financial instruments with contingent features). Management does not expect this amendment to have material impact on the Group.
IFRS 18 Presentation and Disclosures in Financial Statements	01 January 2027	IFRS 18 introduces new presentation and disclosure requirements in the statement of profit or loss and on aggregation; as well as additional disclosures on management-defined performance measures. Management is still in the process of assessing the impact of the new standard, particularly on the structure of the Group's statement of profit or loss, the statement of cash flows and the additional disclosures required for Management-defined Performance Measures (MPMs). The full impact of IFRS 18 has not yet been assessed and an assessment of the requirements of this standard is planned for the succeeding financial period. Management does not intend to early adopt this standard.
IFRS 19 Subsidiaries without Public Accountability: Disclosures	01 January 2027	IFRS 19 permits an eligible subsidiary to provide reduced disclosures in its financial statements. The Group does not anticipate that IFRS 19 will be applied for purposes of the Group financial statements, and thus will have no impact.
IFRS 20 Regulatory Assets and Regulatory Liabilities	01 January 2029	IFRS 20 provides guidance for companies subject to rate regulation to recognise regulatory assets, liabilities, income and expenses, improving transparency and comparability. The Group's operations are not subject to rate regulation. Accordingly, the adoption of IFRS 20 is not expected to have a material impact on the Group's financial statements.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

3. PROPERTY, PLANT AND EQUIPMENT

Figures in R'000	2026		
	Cost	Accumulated depreciation	Carrying value
Office and IT equipment	40 897	(33 709)	7 188
Motor vehicles	573	(436)	137
Furniture and fixtures	4 816	(4 068)	749
Plant and machinery	2 327	(1 059)	1 269
Leasehold Improvements	16 048	(9 475)	6 573
Rental terminals	85 740	(46 603)	39 138
Total	150 401	(95 349)	55 053

Reconciliation of property plant and equipment

Figures in R'000	2026					
	Opening balance	Additions	Disposals	Depreciation	Foreign currency translation	Carrying value
Office and IT equipment	9 512	3 568	(181)	(5 712)	1	7 188
Motor vehicles	204	–	–	(67)	–	137
Furniture and fixtures	808	373	–	(433)	–	749
Plant and machinery	1 543	53	–	(328)	–	1 269
Leasehold improvements	6 399	2 411	–	(2 237)	–	6 573
Rental terminals	48 984	3 497	(973)	(12 370)	–	39 138
Total	67 450	9 902	(1 154)	(21 145)	1	55 053

Figures in R'000	2025		
	Cost	Accumulated depreciation	Carrying value
Office and IT equipment	40 429	(30 917)	9 512
Motor vehicles	573	(369)	204
Furniture and fixtures	4 443	(3 635)	808
Plant and machinery	2 274	(731)	1 543
Leasehold improvements	13 637	(7 238)	6 399
Rental terminals	86 451	(37 467)	48 984
Total	147 807	(80 357)	67 450

Reconciliation of property, plant and equipment

Figures in R'000	2025					
	Opening balance	Additions	Disposals	Depreciation	Foreign currency translation	Carrying value
Office and IT equipment	14 070	2 765	(136)	(7 183)	(4)	9 512
Motor vehicles	279	–	–	(75)	–	204
Furniture and fixtures	1 285	21	–	(498)	–	808
Plant and machinery	1 834	59	–	(350)	–	1 543
Leasehold improvements	7 889	488	–	(1 978)	–	6 399
Rental terminals	46 354	15 128	(886)	(11 612)	–	48 984
Total	71 711	18 461	(1 022)	(21 696)	(4)	67 450

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

4. INTANGIBLE ASSETS

	2026		
	Cost	Accumulated amortisation and impairment	Carrying value
Figures in R'000			
Computer software	167 217	(76 945)	90 272
Trademark	86	(29)	57
Intangible assets recognised on acquisition of businesses	133 389	(101 152)	32 237
Customer relationships	112 159	(82 946)	29 213
Computer software	18 830	(17 546)	1 284
Brand	2 400	(660)	1 740
Total	300 692	(178 126)	122 566

Reconciliation of intangible assets

	2026			
	Opening balance	Additions	Amortisation and impairment	Carrying value
Computer software	84 566	23 751	(18 045)	90 272
Trademark	67	–	(10)	57
Intangible assets recognised on acquisition of businesses	37 970	–	(5 733)	32 237
Customer relationships	33 973	–	(4 760)	29 213
Computer software	2 017	–	(733)	1 284
Brand	1 980	–	(240)	1 740
Total	122 603	23 751	(23 788)	122 566

	2025		
	Cost	Accumulated amortisation	Carrying value
Figures in R'000			
Computer software	143 466	(58 900)	84 566
Trademark	86	(19)	67
Intangible assets recognised on acquisition of businesses	133 209	(95 239)	37 970
Customer relationships	112 159	(78 186)	33 973
Computer software	18 830	(16 813)	2 017
Brand	2 220	(240)	1 980
Total	276 761	(154 158)	122 603

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

4. INTANGIBLE ASSETS continued

Reconciliation of intangible assets

	2025			
	Opening balance	Additions	Amortisation	Carrying value
Computer software	61 971	37 431	(14 836)	84 566
Trademark	76	–	(9)	67
Intangible assets recognised on acquisition of businesses	43 703	–	(5 733)	37 970
Customer relationships	38 733	–	(4 760)	33 973
Computer software	2 750	–	(733)	2 017
Brand	2 220	–	(240)	1 980
Total	105 750	37 431	(20 578)	122 603

5. RIGHT-OF-USE ASSETS

	2026		
	Cost	Accumulated depreciation	Carrying value
Figures in R'000			
Right-of-use assets	52 755	(30 946)	21 809

Reconciliation of right-of-use assets

	2026			
	Opening balance	Additions	Depreciation	Carrying value
Figures in R'000				
Office premises	20 396	9 386	(7 973)	21 809

	2025		
	Cost	Accumulated depreciation	Carrying value
Figures in R'000			
Office premises	43 369	(22 973)	20 396

Reconciliation of right-of-use assets

	2025				
	Opening balance	Acquisition through business combinations	Additions	Depreciation	Carrying value
Figures in R'000					
Office premises	27 746	–	–	(7 350)	20 396

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

5. RIGHT-OF-USE ASSETS continued

Synthesis entered into a five-year lease for the period 1 August 2023 to 30 July 2028 for premises measuring 1 522 m², located in Melrose Arch, Johannesburg. The rented premises is used for the purpose of administration offices.

The lease contains standard terms and conditions normally found in a lease providing facilities to meet the purpose of administration offices. The lease has an annual escalation of 7%.

Synthesis has an option to renew the leased premises for a further three-year period after the expiry of the initial five-year period, subject to rental and other charges for the renewable period being agreed by both the lessor and lessee.

Daniel software entered into a three-year lease for the period 1 March 2019 to 28 February 2024, which was extended for a further three-year period to 28 February 2027, for premises measuring 1 183 m², located in Bramley, Johannesburg. The lease contains standard terms and conditions normally found in a lease providing facilities to meet the purpose of administration offices. The lease has an annual escalation of 7%.

African Resonance, entered into a five-year lease for the period 1 February 2023 to 31 January 2028 for premises measuring 5 573 m², which are located in Linbro Business Park, Johannesburg. The rented premises is used for the purpose of administration offices, warehousing and distribution and servicing of customers point of sale terminals. The lease contains standard terms and conditions normally found in a lease providing facilities to meet the purpose recorded above. The lease has an annual escalation of 7%.

African Resonance has exercised their option to renew the leased premises for a further two-year period after the expiry of the initial five-year period.

6. GOODWILL

Figures in R'000

	2026	2025
Carrying value at the beginning of the year	840 252	840 252
Carrying value at the end of the year	840 252	840 252
Payment and Payment Infrastructure	603 604	603 604
Software and Services	156 624	142 594
Rethink	–	14 030
Daniel	80 024	80 024
Total	840 252	840 252

The Group performed an annual test for impairment of the CGUs noted above. The recoverable amount of the businesses (CGUs) has been determined based on a value-in-use calculation. The calculations use cash flow projections based on financial budgets approved by management and a discount rate, calculated using a risk free rate adjusted for risk factors such as market risk premium, Beta (Systematic risk), Industry and country risks, of 16.69% (2025: 18.27%) for the Payment and Payment Infrastructure CGU, 20.06% (2025: 20.89%) for the Software and Services CGU and 20.62% (2025: 21.53%) for Daniel. Comparable pre-tax discount rates for the purpose of impairment testing would be 21.34% (2025: 23.78%) for the Payment and Payment Infrastructure CGU, 25.51% (2025: 26.56%) for the Software and Services CGU and 27.20% (2025: 28.18%) for Daniel. Cash flows and trading forecasts have been projected for a period of five years. Compounded revenue growth over the next five-year period has been forecasted as 12.01% (2025: 9.44%) for the Payment and Payment Infrastructure CGU, 10.97 (2025: 3.64%) for the Software and Services CGU and 10.06% (2025: 8.20%) for Daniel.

Rethink has become increasingly integrated into the Software and Services CGU – such that it no longer generates independent cash inflows. It has been included in the Software and Services CGU, as its stand alone value in use could no longer be reliably determined.

Trading and operating margins have been assumed to improve slightly throughout the forecast period for payments due to increased contribution from recurring revenue streams, and will normalize for all software businesses to the 2023 financial year results. A terminal growth rate of 4.0% has been assumed for all CGUs.

In assessing for impairment of the CGUs, various sensitivity analyses were performed by adjusting the WACC, long-term growth rates and gross profit by increases and decreases of 1.0%, 1.0% and 0.25% respectively.

The cash flows are most sensitive to revenue projections assumptions.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

6. GOODWILL continued

A breakeven headroom value with no change in the other assumptions would then require a discount rate of 37.70% for the Payment and Payment Infrastructure CGU, 27.50% for the Software and Services CGU and 22.20% for Dariel.

Additionally, and assuming costs remain stable with no associated cost savings or change in other assumptions, a reduction in the assume revenue CAGR to 6.3% for the Payment and Payment Infrastructure CGU, 9.9% for the Software and Services CGU and 10.0% for Dariel would result in breakeven headroom.

Except for the Dariel CGU, management believe that no reasonable possible change in the above key assumptions would cause the carrying value of these CGUs to exceed their recoverable amounts. For the Dariel CGU, management notes that there currently is limited headroom of less than R5 million between the carrying value and the recoverable amount, and accordingly, there is a risk that the carrying value could exceed the recoverable amount if forecast assumptions are not achieved or WACC rates increase.

7. INVESTMENTS IN ASSOCIATES AND JOINT VENTURES

Unlisted investments

	2026	2025
GovChat Proprietary Limited		
The Group acquired a 35% interest in GovChat Proprietary Limited ("GovChat") on 21 May 2019. GovChat went into business rescue on 22 December 2022. GovChat exited business rescue in May 2024. It has ceased operations but continues to pursue its claims against Meta, alongside the Competition Commission, for abuse of market dominance. The principal business is in Cape Town and the Company is incorporated in South Africa.		
During the year, the Group increased its ownership interest in GovChat from 35% to 50%, resulting in the classification of the investment as a joint venture in terms of IFRS 11 due to joint control established through a shareholders' agreement. The consideration paid for the increase in shareholding was R33. The additional interests are treated as an increase in the investment carrying amount. Associates and joint ventures are accounted for using the equity method, so the accounting methodology for the investment remains unchanged.	*	*
LayUp Technologies Proprietary Limited		
The Group holds a 27.4% interest in LayUp Technologies Proprietary Limited ("LayUp"). LayUp is a fully digital Lay-By and recurring payments business. The principal place of business is in Johannesburg and the Company is incorporated in South Africa.	*	*
Regal Digital B.V.		
The Group subscribed, on 13 May 2022, for 392 shares, being 20% of the issued share capital of Regal Digital B.V., which is a technology company. The principal place of business is in Amsterdam, Netherlands, and the Company is incorporated in the Netherlands.	*	*

* Investments in associate in aggregate amounts to less than R1 000. There have been no equity accounted earnings for the current and prior year.

8. LOANS TO ASSOCIATES AND JOINT VENTURES

Figures in R'000	2026	2025
GovChat Proprietary Limited	*	*
LayUp Technologies Proprietary Limited	55 956	34 561
Regal Digital B.V.	14 197	10 407
	70 153	44 968
Non-current assets	9 658	9 811
Current assets	60 495	35 157
Total	70 153	44 968

* Loans to associate in aggregate amounts to less than R1 000.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

8. LOANS TO ASSOCIATES AND JOINT VENTURES continued

8.1 GovChat Proprietary Limited

Figures in R'000	2026	2025
Opening balance	80 954	79 890
Loan granted during the year	–	1 064
	80 954	80 954
Expected credit loss raised	(80 954)	(80 954)
Closing balance	*	*

The following table shows the movement in 12-month ECL that has been recognised for loans to associates classified at amortised cost.

Figures in R'000	2026	2025
Opening balance of loss allowance	80 954	79 890
Expected credit loss raised in the current year	–	1 064
Closing balance of loss allowance	80 954	80 954

* Loans to associate in aggregate amounts to less than R1 000.

GovChat has pledged as a security for the loan from Araxi Limited, all its rights, title and interest in and to all of GovChat's intellectual property and specifically including all the software rights, trade mark rights and technology source codes. The full amount due has been recognised as an ECL.

GovChat went into business rescue on 22 December 2022. GovChat exited business rescue in May 2024. It has ceased operations, but continues to pursue its claims against Meta, alongside the Competition Commission on 20 March 2025 for abuse of market dominance.

During the year, the Group increased its ownership interest in GovChat from 35% to 50%, resulting in the classification of the investment as a joint venture in terms of IFRS 11 due to joint control established through a shareholders' agreement. The consideration paid for the increase in shareholding was R33. The additional interests are treated as an increase in the investment carrying amount. Associates and joint ventures are accounted for using the equity method, so the accounting methodology for the investment remains unchanged.

8.2 LayUp Technologies Proprietary Limited

Figures in R'000	2026	2025
Opening balance	34 561	21 527
Loan granted during the year	7 501	9 007
Fair value adjustment	13 894	4 027
Closing balance	55 956	34 561

Nature of the Instruments

During the year ended 31 March 2026, the Group has increased its convertible loan investments as part of its strategy to enhance risk-adjusted returns. The Group's investment comprises convertible loans granted to LayUp Technologies Pty Ltd (herein after referred to as "LayUp").

These instruments combine a fixed income element (interest accrual on the principal) with an embedded conversion option that allows the Group to convert the investment into ordinary shares at maturity date. The conversion feature provides potential participation in the issuer's equity upside, while the fixed income aspect offers predictable returns.

On, or subsequent to the maturity, the Group is entitled to convert the outstanding principal plus accrued interest into ordinary shares based on a fixed pre-determined conversion price.

Changes in the fair value of the convertible loan are recognised in other fair value gains in the statement of comprehensive income. For the year ended 31 March 2026, fair value gains of R13.9 million (31 March 2025: R4.0 million) were recognised in the statement of comprehensive income.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

8. LOANS TO ASSOCIATES AND JOINT VENTURES continued

8.2 LayUp Technologies Proprietary Limited continued

Principal and interest

The principal amounts of the convertible Loan Assets ("CLAs"), maturity dates and interest rate of the loans are as follows:

Figures in R'000s	2026			
	Agreement date	Principal amount	Repayment date	Interest rate
Loan 1	20 October 2021	10 000	31 August 2026	Prime
Loan 2	15 May 2023	9 243	31 August 2026	Prime
Loan 3	15 June 2024	15 000	31 August 2026	Prime

Figures in R'000s	2025			
	Agreement date	Principal amount	Repayment date	Interest rate
Loan 1	20 October 2021	10 000	31 October 2025	Prime
Loan 2	15 May 2023	9 243	30 November 2025	Prime
Loan 3	15 June 2024	7 500	30 November 2025	Prime

Fair value measurement

Araxi entered into various CLAs with LayUp as disclosed above.

The CLA involves cumulative principal loan facilities of R34 242 957 (31 March 2025: R26 742 957) with a maturity date of 31 August 2026. The outstanding loan balances, including accumulated interest, at 31 March 2026 is R44 220 027 (31 March 2025: R32 742 240).

Interest accrues daily and compounded monthly, on the outstanding balance from the date on which the first advance is made.

The number of conversion shares issued to settle the outstanding loans at the date of conversion will be calculated by using a predetermined formula for the purposes of the valuation.

The fair value of the conversion option was determined using a Monte Carlo simulation incorporating the following key inputs:

- **Equity value of the underlying investee entity:** The value is primarily derived from utilising a discounted cash flow analysis, using appropriate venture capital discount rates. The rates applied are in line with the guidance per the December 2018 International Private Equity and Venture Capital Valuation Guidelines ("IPEV") and has been considered as the most appropriate basis in deciding on which valuation technique to apply. The conventional Capital Asset Pricing Model ("CAPM") approach used to determine the WACC does not fully encapsulate the risks, including, inter alia, product risk and execution risk, associated with an early-stage asset. The venture capital approach looks to determine a potential venture capitalist's target rates of return as a proxy for the discount rate, which factors in the probability of success. These calculations are also corroborated by using any available data from binding sales transactions, conducted at arm's-length, for similar assets or observable market prices, valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators. The recoverable amount is sensitive to the discount rate used for the DCF model as well as the expected future cash inflows and the growth rate used for extrapolation purposes.
- **Discount rate:** 40%
- **Risk-free rate:** 7.055%
- **Expected volatility:** 42.75%
- **Expected term:** 0.42 years

The fair value of the host contract was determined using a market participant view. The market participant view allows the inclusion of factors that the market would consider when valuing unlisted debt instruments, incorporating the following key inputs:

- **Rating:** RW22 – RW23
- **Rating model:** Moody's KMV RiskCalc
- **Expected term:** 0.42 years
- **Credit spread:** 19.36% – 23.41%

The instruments are classified as Level 3 in the fair value hierarchy due to the use of significant unobservable inputs.

Sensitivity analysis

Changes in key valuation assumptions have been evaluated, and the primary sensitivity has been determined to be the underlying equity valuation of the investee entities. A 5% increase or decrease in underlying equity value share price would result in an estimated R2.3 million decrease and R2.4 million increase respectively in the instrument's fair value.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

8. LOANS TO ASSOCIATES AND JOINT VENTURES continued

8.3 Regal Digital B.V.

Loan at amortised cost

Figures in R'000	2026	2025
Opening balance	10 407	10 064
Loan granted during the year	3 911	596
Loan repaid during the year	(4 507)	–
Foreign exchange movement	(153)	(253)
Closing balance	9 658	10 407

Loan at fair value through profit or loss

Figures in R'000	2026	2025
Opening balance	–	–
Loan granted during the year	5 570	–
Fair value adjustment	(1 128)	–
Foreign exchange movement	97	–
Closing balance	4 539	–

The Group granted Regal Digital B.V. a long term-loan of EUR493 822 (R9.7 million), which is non-interest-bearing and is repayable in 50 years from the date it was granted. The loan is mark to market at the foreign exchange rate of EUR1 = 19.56 at 31 March 2026 (2025: 19.87). The fair value of the loan approximates its carrying amount.

On 20 March 2025, the Group entered into a new bridge loan agreement with Regal Digital B.V. whereby the Group will loan a further EUR60 000 (R0.6 million), which bears interest at prime and is repayable within 60 days from the date that the first advance is made to Regal Digital B.V. The loan is mark to market at the foreign exchange rate of EUR1 = 19.56 at 31 March 2026. This loan was fully repaid during the current year.

On 14 January 2025, the Group entered into a new convertible agreement with Regal Digital B.V. whereby the Group will loan EUR420 000 (R9 million), which bears interest at prime and is convertible one year from the date that the first advance is made to Regal Digital B.V. The loan is mark to market at the foreign exchange rate of EUR1 = 19.56 at 31 March 2026. To date EUR289 988 (R5.6 million) has been advanced.

9. OTHER FINANCIAL ASSETS

Loan at amortised cost

Figures in R'000	2026	2025
Opening balance	1 020	–
Amortised loan granted during the year	1 000	1 000
Accretion of interest	232	20
Closing balance	2 252	1 020

Loan at fair value through profit or loss

Figures in R'000	2026	2025
Opening balance	40 316	23 153
Convertible loan granted during the year	–	4 000
Fair value adjustment	25 586	13 163
Closing balance	65 902	40 316

Nature of the loan at amortised cost

On 10 January 2025, a loan facility was granted to Asset Pool Proprietary Limited for R2 million. At 31 March 2026, a cumulative amount of R2 million of the principal amount was drawn down. The loan bears interest at prime plus 3% and is repayable no later than 15 March 2028. This loan does not have a conversion option and is measured at amortised cost. The fair value of the loan approximates its carrying amount.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

9. OTHER FINANCIAL ASSETS continued

Nature of the convertible loan asset through profit and loss

The Group's investment comprises a convertible loan granted to Asset Pool Proprietary Limited (herein after referred to as "Asset Pool").

The instrument combines a fixed income element (interest accrual on the principal) with an embedded conversion option that allows the Group to convert the investment into ordinary shares at maturity date. The conversion feature provides potential participation in the issuer's equity upside, while the fixed income aspect offers predictable returns.

On, or prior to maturity, the Group is entitled to convert the outstanding principal plus accrued interest into ordinary shares based on a fixed pre-determined conversion price.

Changes in the fair value of the convertible loan are recognised in other fair value gains in the statement of comprehensive income. For the year ended 31 March 2026, fair value gains of R25.6 million (31 March 2025: R13.2 million) were recognised in the statement of comprehensive income.

Principal and interest

The principal amounts of the CLAs, maturity dates and interest rate of the loans are as follows:

Figures in R'000s	2026			
	Agreement date	Principal amount	Repayment date	Interest rate
Loan 1	15 June 2023	15 000	30 June 2026	Prime

Figures in R'000s	2025			
	Agreement date	Principal amount	Repayment date	Interest rate
Loan 1	15 June 2023	15 000	6 April 2026	Prime

Fair value measurement

Araxi entered into a CLA with Asset Pool as disclosed above.

The CLA involves a loan facility of R15 million (31 March 2025: R15 million) with a 36-month availability period starting from the commencement date, with an outstanding balance of R19 566 768 as at 31 March 2026 (31 March 2025: R17 610 677).

Interest accrues daily and compounded monthly, on the outstanding balance from the date on which the first advance is made.

The number of conversion shares issued to settle the outstanding loan at the date of conversion will be calculated by using a predetermined equity value for the purposes of the valuation.

The fair value of the conversion option was determined using a Monte Carlo simulation incorporating the following key inputs:

- **Equity value of the underlying investee entity:** The value is primarily derived from utilising a discounted cash flow analysis, using appropriate venture capital discount rates. The rates applied are in line with the guidance per the December 2018 International Private Equity and Venture Capital Valuation Guidelines ("IPEV") and has been considered as the most appropriate basis in deciding on which valuation technique to apply. The conventional Capital Asset Pricing Model ("CAPM") approach used to determine the WACC does not fully encapsulate the risks, including, inter alia, product risk and execution risk, associated with an early-stage asset. The venture capital approach looks to determine a potential venture capitalist's target rates of return as a proxy for the discount rate, which factors in the probability of success. These calculations are also corroborated by using any available data from binding sales transactions, conducted at arm's-length, for similar assets or observable market prices, valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators. The recoverable amount is sensitive to the discount rate used for the DCF model as well as the expected future cash inflows and the growth rate used for extrapolation purposes.
- **Discount rate:** 35%
- **Risk-free rate:** 6.95%
- **Expected volatility:** 41.66%
- **Expected term:** 0.25 years

The fair value of the host contract was determined using a market participant view. The market participant view allows the inclusion of factors that the market would consider when valuing unlisted debt instruments, incorporating the following key inputs:-

- **Rating:** RW22 – RW23
- **Rating model:** Moody's KMV RiskCalc
- **Expected term:** 0.25 years
- **Credit spread:** 19.43% – 23.60%

The instrument is classified as Level 3 in the fair value hierarchy due to the use of significant unobservable inputs.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

9. OTHER FINANCIAL ASSETS continued

Sensitivity analysis

Changes in key valuation assumptions have been evaluated, and the primary sensitivity has been determined to be the underlying equity valuation of the investee entity. A 5% increase or decrease in underlying equity value share price would result in an estimated R3.3 million increase or decrease in the instrument's fair value.

10. FINANCE LEASE RECEIVABLES

	2026					
Figures in R'000	Within 1 year	In second year	In third year	In fourth year	In fifth year	Total
Minimum lease payments receivable	21 699	21 699	21 699	16 311	814	82 223
Lease payments receivable	(8 411)	(6 464)	(4 232)	(1 653)	(69)	(20 828)
Unearned finance income	–	–	–	3 843	1 870	5 713
Unguaranteed residual value	–	–	–	–	–	–
Present value of minimum lease income (Lease receivables)	13 289	15 236	17 468	18 501	2 615	67 108
Expected credit loss	–	–	–	–	–	–
Carrying amount	13 289	15 236	17 468	18 501	2 615	67 108

	2025					
Figures in R'000	Within 1 year	In second year	In third year	In fourth year	In fifth year	Total
Minimum lease payments receivable	14 768	14 768	14 768	14 768	9 382	68 454
Lease payments receivable	(6 710)	(5 531)	(4 179)	(2 629)	(830)	(19 879)
Unearned finance income	–	–	–	–	3 842	3 842
Unguaranteed residual value	–	–	–	–	–	–
Present value of minimum lease income (Lease receivables)	8 058	9 238	10 589	12 140	12 390	52 417
Expected credit loss	–	–	–	–	–	–
Carrying amount	8 058	9 237	10 589	12 139	12 394	52 417

Reconciliation of the net investment in leases

Figures in R'000	2026	2025
Opening balance	52 417	–
Interest Income	9 671	2 678
Lease payments	(20 886)	(5 388)
Lease additions during year	25 906	55 127
Carrying amount	67 108	52 417
Non-current	53 819	44 359
Current	13 289	8 058
Carrying amount	67 108	52 417

Finance leases

Amounts due from lessees are recognised from commencement date at an amount equal to the Group's net investment in the lease. They are presented as finance lease receivables on the statement of financial position.

In managing the risks associated with rights retained in underlying assets, the Group has implemented a risk management strategy that includes retaining ownership of the asset at the end of the lease term. This allows the Group to benefit from the residual value of the asset and to control its future use or resale.

Additionally, lease agreements include fair wear and tear provisions, which ensure that assets are returned in an acceptable condition, thus preserving the residual value and limiting unexpected deterioration or damage.

The interest rate implicit in the lease is used to measure the net investment in the lease.

The Group is not exposed to credit risk as the customer is a major financial institution with low credit risk profile.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

11. TRADE AND OTHER RECEIVABLES

Figures in R'000	2026	2025
Gross trade receivables	99 164	169 025
Expected credit loss raised	(149)	–
Net trade receivables	99 014	169 025
Staff loans	125	555
Dividends receivable	–	7 351
Accrued income	3 885	1 400
Contract assets	11 767	–
Other*	2 525	300
B-BBEE enterprise development loans	9 670	8 018
Gross B-BBEE enterprise development loans	11 800	11 812
Expected credit loss raised	(2 130)	(3 794)
B-BBEE supplier development prepayment	7 735	8 421
VAT receivable	150	–
Prepayments	13 685	11 031
	148 556	206 101

* Other includes work in progress relating to partially completed projects and services rendered not yet invoiced at the reporting date.

The enterprise and supplier development loans were made in accordance with the Group's transformation programme and spend in terms of the B-BBEE codes. The loan is interest free and repayable 90 days after the expiry date unless the lender agrees to extend the expiry date.

The repayment terms for trade receivables are between 30 and 60 days and are interest free.

Categorisation of trade and other receivables

Figures in R'000	2026	2025
Non-current	9 959	13 101
Current	138 597	193 000
	148 556	206 101

Trade and other receivables are categorised in accordance with IFRS 9 are as follows:

Figures in R'000	2026	2025
At amortised cost	131 560	185 127
At fair value through profit and loss	1 235	–
Non-financial instruments	15 761	20 974
	148 556	206 101

Fair value of trade and other receivables

Due to the short-term nature of trade and other receivables, the carrying value approximates fair value.

Expected credit loss

The expected credit loss relates to the B-BBEE enterprise developments loans to GovChat through K2017220477 (South Africa) NPC.

There is limited exposure to credit risk as 70% of the trade receivables are financial institutions with a low credit risk profile.

Exposure to currency risk

The majority of trade and other receivables are denominated in South African Rand and therefore, have no material exposure to foreign currency fluctuations.

The following net carrying amounts, in Rand, of trade and other receivables, which are exposed to foreign currency, have been presented in Rand by converting the foreign currency amount at the closing rate at the reporting date.

Figures in R'000	2026	2025
Carrying amount in US Dollars ('000)	168	81
Carrying amount in SGD ('000)	–	679
Carrying amount in GBP ('000)	16	–
Carrying amount in EUR ('000)	116	–
Carrying amount in Rand ('000)	5 545	11 057

US Dollar converted at USD1 = R17.17 (2025: R18.45). SGD converted at SGD1 = R13.11 (2025: R13.77). GBP converted at GBP1 = R22.70. EUR converted at

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

EUR1 = R19.71.

12. DEFERRED TAX

Figures in R'000	2026	2025
Analysis of deferred taxation		
Temporary differences	(19 904)	(20 889)
Finance lease receivable	(17 395)	(14 153)
Accelerated asset allowances for tax purposes	(5 418)	(19 950)
Trade and other payables	2 909	13 214
Amortisation of intangible assets	(16 497)	(10 252)
Deferred revenue	1 775	1 417
Fair value assets	(12 543)	(6 622)
Recognition of deferred tax on assessed tax loss	6 800	4 975
Leave pay	1 582	–
Bonus provision	156	–
Right-of-use asset	(3 601)	–
Lease liabilities	4 237	–
Prepayments	229	–
	(37 767)	(31 371)
Reconciliation of deferred taxation		
At beginning of year	(31 371)	(11 246)
Temporary differences	(4 313)	(17 835)
Amortisation of intangible assets	(1 590)	(3 773)
Deferred revenue	(264)	(283)
Recognition of deferred tax on assessed tax loss	5 692	1 766
Fair value assets	(5 921)	–
At end of year	(37 767)	(31 371)
Disclosed in the statement of financial position as follows:		
Deferred tax asset	7 473	8 408
Deferred tax liability	(45 240)	(39 779)
	(37 767)	(31 371)

The assessed loss of R6.8 million is mainly attributable to Synthesis Labs B.V. and Synthesis Software Technologies (2025: R4.95 million), of which the utilisation depends on future taxable profits based on the approval plans and budgets for the subsidiaries. A deferred tax asset is recognised only to the extent it is considered probable that there will be sufficient future taxable profits against which the loss can be utilised. Management assesses the recoverability of the deferred tax asset arising from assessed losses at each reporting period. This has been done specifically by looking at the entity's five-year profit forecast and latest budget as approved by the Board of Directors (which reflects improved trading performance); together with past performance and market movements.

13. INVENTORIES

Figures in R'000	2026	2025
Spare parts	28 262	17 368
Terminals	10 014	20 758
Terminals – Goods in transit	53 690	7 207
	91 967	45 333

The value of inventory that has been expensed to cost of sales of R173 million represents the landed cost of goods sold.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

R39 748 of inventory has been written down to its net realisable value during the current year (2025: Nil). There has been no impairment for obsolete inventory (2025: Nil).

14. CASH AND CASH EQUIVALENTS

Figures in R'000	2026	2025
Cash and cash equivalents consist of:		
Bank balances	88 753	131 875
Bank call and notice deposits	238 814	270 437
	327 567	402 312

Cash and cash equivalents comprise call and notice deposits with banks maturing within three months. These attract interest at market-related rates. Cash and cash equivalents are measured at amortised cost. The maximum exposure to credit risk at the reporting date is the carrying amount. The Group only has deposits with major banks with high-quality ratings assigned by internationally recognised credit rating agencies. For this reason, the credit quality at year-end of cash and cash equivalents is considered to be high, therefore no expected credit loss is recorded, the credit risk is regarded as low.

15. SHARE CAPITAL

Figures in R'000	2026	2025
Ordinary shares of no par value	936 074	976 455

	Number of shares	Number of shares
Authorised shares		
Ordinary shares of no par value	10 000 000 000	10 000 000 000
Constituent ordinary shares of no par value	4 000	4 000
Issued shares		
Ordinary shares of no par value in issue at beginning of the year	1 310 000 000	1 310 000 000
Ordinary shares of no par value cancelled during the year	(18 039 829)	–
Ordinary shares of no par value in issue at end of year	1 291 960 171	1 310 000 000
Ordinary shares of no par value repurchased (treasury shares)	(68 168 769)	(63 846 580)
Ordinary shares of no par value, CAET Holdings Proprietary Limited (treasury shares)	(75 000 000)	(75 000 000)
Ordinary shares of no par value, net of treasury shares at the end of the year	1 148 791 402	1 171 153 420
Reconciliation of movement of issued ordinary shares		
Ordinary shares, net of treasury shares at the beginning of the year	1 171 153 420	1 183 038 172
Ordinary shares of no par value repurchased during the year (treasury shares)	(28 901 704)	(32 045 855)
Ordinary shares allotted for contingent consideration	7 618 735	–
Ordinary shares of no par value sold during the year from treasury shares to settle vested share options	5 447 193	4 642 453
Ordinary shares of no par value delivered during the year from treasury shares to settle vested conditional share awards	11 513 587	15 518 650
Ordinary shares of no par value repurchased and cancelled during the year	(18 039 829)	–
Number of issued ordinary shares, net of treasury shares at end of the year	1 148 791 402	1 171 153 420

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

16. SHARE-BASED PAYMENTS RESERVE

The Group has two Incentive Schemes:

- 16.1** The Group's Share Incentive Scheme ("Scheme"), which was introduced on the date the Company was listed on 16 October 2015, grants share options to employees of the Group. The Scheme has been classified as an equity-settled scheme and therefore, an equity-settled share-based payment reserve has been recognised in terms of IFRS 2: Share-based payment ("IFRS 2").
- 16.2** The Group's Conditional Share Plan ("CSP") was introduced on 11 March 2020, and grants share awards to executive directors and senior management of the Group. The CSP has been classified as an equity-settled scheme and therefore, an equity-settled share-based payment reserve has been recognised in terms of IFRS 2.

Figures in R'000	2026	2025
Group share incentive scheme reserve	12 115	12 973
Group conditional share plan reserve	20 272	7 546
Total share-based payment reserve	32 387	20 519

	2026	
Group's Share Incentive Scheme	Number of share options	Exercise price
The number and fair value of the share options are:		
Beginning of the year	73 754 166	116 cents
Forfeited	(7 712 333)	139 cents
Exercised	(16 521 000)	95 cents
Granted	12 070 000	180 cents
End of the year	61 590 833	129 cents

These share options are exercisable over the period 1 September 2020 to 2 December 2030.

The weighted average remaining contractual life for share options outstanding was 34 months (2025: 37 months).

The weighted average fair value of share options granted during the year was 40 cents per share (2025: 40 cents per share).

The range of exercise prices for share options outstanding at the end of the year was 75 cents to 183 cents per share (2025: 75 cents to 144 cents per share).

The weighted average share price for the year ended 31 March 2026 was 171 cents per share (2025: 143 cents per share). The Group recognised an expense of R2 808 300 (2025: R3 464 500) for the share options granted during the financial year.

	2025	
	Number of share options	Exercise price
Beginning of the year	84 972 500	112 cents
Forfeited	(11 518 333)	133 cents
Exercised	(9 100 000)	83 cents
Granted	9 399 999	121 cents
End of the year	73 754 166	116 cents

Number of share options

Details of directors' and prescribed officers' outstanding share options	2026	2025
M Shapiro	2 300 000	2 300 000
D Engelbrecht	–	1 000 000
	2 300 000	3 300 000

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

16. SHARE-BASED PAYMENTS RESERVE continued

Vesting conditions

The terms and conditions of the share options are the following:

Share option holders are entitled to exercise their share options if they are in the employment of the Group in accordance with the terms hereafter.

Share option holders in the scheme may exercise their share options at such times as the share option holder deems fit, but not to result in the following proportions of the holders' total number of instruments being purchased prior to:

- 20% of the total number of instruments at the vesting of three years;
- 50% of the total number of instruments at the vesting of four years; and
- 100% of the total number of instruments at the vesting of five years.

All share options must be exercised no later than the 15th anniversary from the date they were granted.

The fair value of services received in return for shares allotted is determined with use of the Actuarial Binomial option-pricing Model.

Figures in R'000	2026	2025
1. Fair value at measurement date (cents)	54.47	39.81
2. Exercise price at end of period (cents)	130.57	115.51
3. Expected volatility (%)	34.69	34.85
4. Option life (years)	5.00	5.00
5. Distribution yield (%)	5.00	5.00
6. Risk-free rate (based on National Bond Curve) (%)	7.86	9.89

The volatility is based on historic volatility which is not expected to differ materially from the expected volatility.

16.3 Group's conditional share plan

	2026	
	Number of share awards	Award price
The number and fair value of share awards are:		
Beginning of the year	28 970 097	139 cents
Exercised	(9 292 411)	144 cents
Granted	8 571 735	160 cents
End of the year	28 249 421	143 cents

These share awards are exercisable between 8 June 2026 and 2 December 2028.

The weighted average remaining contractual life for share awards outstanding was 15 months (2025: 17 months).

The weighted average fair value of share awards granted during the year was 139 cents per share (2025: 119 cents per share).

The range of award prices for the conditional share awards outstanding at the end of the year was 121 cents to 164 cents per share (2025: 121 cents to 150 cents per share).

The weighted average share price for the year ending 31 March 2026 was 171 cents per share (2025: 143 cents per share).

The Group recognised an expense of R13 429 600 (2025: R13 433 400) for the share awards granted.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

16. SHARE-BASED PAYMENTS RESERVE continued

16.3 Group's conditional share plan continued

The number and fair value of share awards are:

	2025	
	Number of share awards	Exercise price
The number and fair value of share awards are:		
Beginning of the year	33 754 910	135 cents
Forfeited	(2 433 333)	135 cents
Exercised	(13 029 166)	119 cents
Granted	10 677 686	124 cents
End of the year	28 970 097	139 cents

Details of directors' and prescribed officers' outstanding conditional share plan awards

	Number of share awards	
	2026	2025 [#]
M Pimstein	3 740 327	4 484 814
B Sacks	3 740 327	4 484 814
A Salomon	–	4 484 814
M Shapiro	2 214 144	2 443 802
D Engelbrecht	2 360 160	2 526 446
S Douwenga	2 855 513	2 000 000
	14 910 471	20 424 690

[#] The prior year amounts have been represented to enhance disclosure

Vesting conditions

The terms and conditions of the Conditional Share Plan is based on share awards, which have a three-year vesting period, subject to performance and employment vesting conditions.

The performance metrics consists of financial objectives, non-financial objectives and key individual performance indicators, details of which are disclosed in the Remuneration Report in the Group 2025 Integrated Report.

All share awards will be exercised on the vesting date, being the third anniversary of the date upon which the awards were granted.

The fair value of service received in return for shares allotted is determined with use of the Actuarial binomial option-pricing model.

Figures in R'000	2026	2025
1. Fair value at measurement date (cents)	146.24	118.70
2. Exercise price at end of period (cents)	143.24	138.56
3. Expected volatility (%)	33.99	35.28
4. Option life (years)	3.00	3.00
5. Distribution yield (%)	5.00	5.00
6. Risk-free rate (based on National Bond Curve) (%)	7.34	8.45

The volatility is based on historic volatility which is not expected to differ materially from the expected volatility.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

17. CONTINGENT CONSIDERATION LIABILITY

Figures in R'000	2026	2025
Cash-settled consideration (present valued)	–	13 932
Share-settled consideration (fair valued)	–	9 896
Total – Fair value of contingent liability	–	23 828

Fair value measurements of contingent consideration

On 3 July 2023, the Group acquired 100% of the issued share capital of Dariel Solutions Proprietary Limited which holds 100% of the issued share capital of Dariel Software Proprietary Limited (Dariel).

The Dariel profit warranties consideration has been included as part of the purchase consideration. In aggregate, should Dariel achieve their profit warranties, the previous shareholders would receive R25 260 716 in cash and an allotment out of shares of 13 592 804 ordinary shares. The period of the warranties is 24 months from 1 April 2023 to 31 March 2025. The fair value of the contingent consideration is reassessed at each year.

During the current period, the contingent consideration was settled and an amount of R14.2 million was paid and 7 618 735 shares were issued to the previous shareholders of Dariel.

Cash-settled consideration

The Group's cash-settled liability was measured at fair value in accordance with IFRS 13: *Fair Value Measurement* ("IFRS 13"), with the measurement classified within Level 3 of the fair value hierarchy. The valuation was principally based on management's judgement whether the contingent consideration targets would be met, as well as prime interest rates, which served as the primary inputs in determining the present value of the expected future cash outflows. The fair value measurement process involved discounting the estimated contractual cash flows of the liability using a discount rate that reflected current market prime lending rate for instruments with similar characteristics, including credit quality and term. This classification as a Level 3 measurement highlighted that the fair value was not derived from directly quoted prices (Level 3), and it included unobservable market data.

Share-settled consideration

The Group's share-settled liability was measured at fair value in accordance with IFRS 13, with the measurement classified within Level 3 of the fair value hierarchy. The valuation was based on quoted market prices of the Araxi Limited's shares as at 31 March and principally based on management's judgement whether the contingent consideration targets would be met. Since the share price was directly observable from an active market with frequent and transparent trading, it requires no further estimation or modelling adjustments. The Araxi Limited share price at 31 March 2025 and 31 March 2026 was R1.33 and R1.67 respectively.

18. CONTRACT LIABILITIES

Contract liabilities to be realised

Figures in R'000	Within one year	In second year	In third to fifth year	Total
2026	15 640	1 774	758	18 171
2025	10 900	3 775	3 145	17 820

Figures in R'000	2026	2025
Non-current contract liabilities	2 531	6 920
Current contract liabilities	15 640	10 900
	18 171	17 820

Contract liabilities arise from advanced payments from customers in respect of future professional services and licenced software and maintenance services. The amount of revenue recognised in the current year was R39.7 million (2025: R16.1 million).

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

19. LEASE LIABILITY

Set out below are the carrying amounts of lease liabilities and the movements during the period:

Figures in R'000	2026	2025
Opening balance	26 497	32 899
Additions	9 386	–
Interest accrual	3 085	3 311
Payments	(11 152)	(9 713)
Closing balance	27 816	26 497
Non-current liabilities	18 615	18 540
Current liabilities	9 201	7 957
Closing balance	27 816	26 497

The maturity analysis of lease liabilities is disclosed in note 37.

Refer to note: 5. Right-of-use assets for terms of the lease agreements.

20. PROVISION FOR SHARE REPURCHASE

Figures in R'000	2026	2025
Opening balance	32 331	28 838
Remeasurement of provision for share repurchase	2 345	–
Interest accrual	5 998	3 493
Payment*	(40 675)	–
Closing balance	–	32 331

* The payment of R40.7 million consists of the repurchase of shares of R21.5 million and finance costs paid of R7.7 million and a non-cash element of finance costs of R11.5 million.

During 2025 financial year, the Group determined a minimum obligation to acquire Rozendal shares when the Appeals Court affirmed dissenting shareholder rights, in terms of section 164 of the Companies Act, in 2019 and met all the requirements to enforce their appraisal rights. After a lengthy appeals process the matter was finally heard and judgement delivered, in the current financial year. In terms of the judgement, the value of the shares was determined to be R1.19 per share as of 27 August 2019. The respondents were awarded interest on the fair value of the shares from the period of 27 August 2019 to date of payment at the prescribed rate as at the same date as well as costs incurred.

In addition, respondents were directed to repay all dividends received from December 2019 including interest from the date of receipt of the dividends at the prescribed rate on December 2019. This obligation was settled during the current year. The costs awarded to the respondents are yet to be determined and finalised.

21. TRADE AND OTHER PAYABLES

Figures in R'000	2026	2025
Trade payables	57 881	26 417
Audit fee accrual	2 516	2 533
Bonus accrual	10 588	13 181
Leave pay accrual	12 651	13 934
Accrued expenses*	22 114	24 844
Other	5 789	1 572
VAT	7 218	11 845
	118 756	94 326

* Included are expenses relating to cloud consumption and SARS (PAYE).

Trade and other payables are non-interest-bearing and are normally settled on 30- to 90-day terms.

Figures in R'000	2026	2025
At amortised cost	88 299	80 909
At fair value through profit or loss	–	565
Non-financial instruments	30 457	12 852
	118 756	94 326

Fair value of trade and other payables

Due to the short-term nature of trade and other payables, the carrying value approximates fair value.

Included in trade and other payables are foreign exchange contract liabilities of Rnil (2025: R564 757) which are carried at fair value.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

22. OTHER FINANCIAL LIABILITIES

Investec Bank

Figures in R'000	2026	2025
Opening balance	71 892	68 640
Interest accrual	7 090	7 720
Repayment	(8 700)	(4 468)
	70 282	71 892

The debt is non-recourse to the Group. The fair value of the loan approximates its carrying amount.

A loan agreement between CAET Holdings Proprietary Limited and Investec Bank was entered into on 27 November 2023. The loan is a 12-month loan bearing interest at the rate of prime less 0.25%.

The loan is secured by a cession and pledge of all current and future Araxi Limited shares held by CAET Holdings. The loan was extended for a further period of 24 months during the 2025 financial year and the capital amount is repayable in full on 18 November 2026. Interest incurred is capitalised over 12 months and is repayable annually.

23. REVENUE

Figures in R'000	2026	2025
Payment segment		
Terminal rental income ²	56 195	64 287
Sale of terminals ¹	230 017	307 864
Maintenance and support service fees from terminals	195 862	190 641
Terminal licence fees and related services	165 743	126 423
	647 816	689 215
Software segment		
Services and consultancy fees	348 512	373 871
Licence and subscription fees	76 962	118 524
Security hardware, third-party licence and cloud resale services	74 702	56 620
	500 176	549 015
International segment		
Services and consultancy fees	18 164	12 503
Total revenue	1 166 157	1 250 733
Timing of revenue recognition		
– Over time	775 819	757 390
– At a point in time	390 338	493 343
Total revenue	1 166 157	1 250 733
Revenue by category		
– As the principal	1 161 600	1 247 764
– As an agent	4 557	2 969
Total revenue	1 166 157	1 250 733

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

23. REVENUE continued

Disaggregation of revenue from contracts with customers

The Group disaggregates revenue from customers as follows:

Figures in R'000	2026	2025
Sale of goods		
Sale of terminals ¹	230 017	307 864
Security hardware and third-party licence and cloud resale services	74 702	56 620
	304 719	364 484
Rendering of services		
Services and consultancy fees	366 676	386 374
Licence and subscription fees	76 962	118 524
Terminal rental income ²	56 195	64 287
Maintenance and support service fees from terminals	195 862	190 641
Terminal licence fees and related services	165 743	126 423
	861 438	886 249
Total revenue	1 166 157	1 250 733

¹ Sales of terminal also include amounts due from lessees which are recognised from commencement date at an amount equal to the company's net investment in the lease. They are presented as lease receivables on the statement of financial position See note 10.

² The Group has entered into operating leases on its rental terminals (refer note 3). These operating leases have terms of three years. Rental income recognised by the Group during the year is R56.2 million (2025: R64.3 million).

Group as a lessor

Future minimum rentals receivable under the operating leases as at 31 March 2026 are as follows:

Figures in R'000	2026	2025
Within year one	7 163	43 395
Within year two	3 910	22 388
Within year three	384	4 660
	11 457	70 443

24. OTHER INCOME

Figures in R'000	2026	2025
Insurance claim	158	104
Foreign exchange gains	1 029	–
Sundry income	2 060	904
Grant income	3 921	–
Profit on disposal of property, plant and equipment and intangibles	119	221
Bad debts recovered	12	100
	7 299	1 329

25. OTHER FAIR VALUE GAIN

Figures in R'000	2026	2025
Fair value adjustment – contingent consideration	(4 044)	19 511
Fair value adjustment – convertible loan asset	38 352	17 190
	34 308	36 701

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

26. OPERATING PROFIT

Figures in R'000	2026	2025
The following items are charged within operating profit:		
Advertising and marketing expenses	2 313	3 753
Audit fees	7 284	4 288
Audit fees – Current	4 300	4 100
Audit fees – Prior year	1 961	–
Audit fees – Non-audit services	850	–
Audit fees – Predecessor	173	188
Internal audit fees	907	243
Employee costs relating to operating expenses	161 491	197 213
Employee costs	479 495	533 372
Employee costs reallocate to intangible assets	(13 763)	–
Employee costs reallocate to cost of sales	(304 240)	(336 159)
Share-based payment expense	16 238	16 898
Depreciation: property, plant and equipment	21 145	21 696
Depreciation: right-of-use assets	7 973	7 350
Amortisation and impairment of intangibles	23 788	20 578
Transformation costs	5 485	4 086
Acquisition costs	8 869	–
Legal fees	6 425	2 950
Loss on disposals of property, plant and equipment and intangibles	12	–
Executive directors' emoluments	23 570	26 153
Non-executive directors' emoluments	2 833	1 622

27. FINANCE INCOME

Figures in R'000	2026	2025
Bank	22 960	30 359
Loans to other financial assets	232	20
Net investment in rental assets	9 671	2 678
Other	2 910	423
	35 773	33 480

28. FINANCE COSTS

Figures in R'000	2026	2025
Present value of the contingent consideration	–	3 897
Other financial liability	7 090	7 720
SARS	4	1 570
Lease liability	3 086	3 311
Interest on repurchase of shares	5 998	3 493
Bank	12	53
	16 190	20 044

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

29. TAXATION

Figures in R'000	2026	2025
Major components of the tax expense		
Current		
Local income tax current year	77 263	73 190
Local income tax prior year	90	–
Deferred		
Originating and reversing temporary differences	9 040	17 835
Originating and reversing temporary differences on assessed tax loss	(5 692)	(185)
South African normal tax	80 701	90 840
Figures in R'000	2026	2025 %
Reconciliation of rate of taxation		
South African normal tax	27.00	27.00
<i>Adjusted for:</i>		
Non-deductible expenses on ECL	–	0.15
Capital gains tax	1.28	(0.29)
S12H learnership allowances	(1.13)	(0.28)
Share-based payments	0.65	–
Expenses not deductible	0.80	–
Assessed losses not utilised	4.01	–
Prior year tax adjustments	(0.93)	–
Other non-deductible expenses	(0.84)	–
Other	1.96	3.92
Effective tax rate	32.81	30.50

30. CASH GENERATED FROM OPERATIONS

Figures in R'000	2026	2025
Profit before taxation	246 000	297 745
<i>Adjustments for:</i>		
Share-based payment	(1 171)	9 532
Depreciation: property, plant and equipment	21 145	21 696
Depreciation: right-of-use assets	7 973	7 350
Amortisation and impairment of intangibles	23 788	20 578
Finance income	(35 773)	(33 480)
Finance costs	16 190	20 044
Unrealised foreign exchange loss/(profit)	824	(400)
Profit on disposals of property, plant and equipment and intangibles	(106)	(221)
Other fair value gain	(34 308)	(36 701)
Expected credit loss	–	1 064
Bad debts written-off	4 475	–
Changes in working capital		
Increase in inventory	(46 635)	(26 707)
Decrease/(increase) in trade and other receivables	30 547	(65 551)
Increase/(decrease) in trade and other payables	28 117	(4 194)
Increase in contract liabilities	(1 951)	(2 530)
Decrease in foreign taxation receivable	(116)	(277)
	258 999	207 948

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

31. CONTINGENT LIABILITIES

No additional contingent considerations, other than those disclosed in note 20, have been identified for the current financial year.

32. POST-RETIREMENT OBLIGATIONS

The Group provides no retirement benefits to its permanent employees and therefore, has no-post retirement obligations.

33. RELATED PARTIES

33.1 In terms of IAS 24: *Related Parties* ("IAS 24"), the Group is obliged to disclose parties that directly or indirectly fall within the scope and definition of a related party.

33.2 The Group established the CAET with the object of facilitating economic empowerment of, and advancing the interests of Black Persons, by conferring vested interests in ordinary shares held by the Trust. The Trust initially subscribed for 50 000 000 ordinary shares and 25 000 000 founders initial ordinary shares in the Group. These shares are currently held by CAET Holdings Proprietary Limited, of which the Trust is a 100% shareholder. The funding for the initial subscription was facilitated through loans granted to CAET Holdings Proprietary Limited. The Trust has been included as a related party due to the Group having indirect control over the trust in terms of IFRS 10.

33.3 Given the 25.7% (2025: 25.0%) shareholding by the Government Employees Pension Fund in the Group, their interest is deemed to enable them to exercise significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the Group. Accordingly, the Government Employees Pension Fund falls within the definition of a related party.

33.4 Transactions with directors

The transactions with directors have been disclosed in the directors' report and directors' emoluments (note 34).

33.5 Relationships

	2026	2025
Subsidiaries		
African Resonance Business Solutions Proprietary Limited	100.0%	100.0%
Rinwell Investments Proprietary Limited	100.0%	100.0%
Dashpay Proprietary Limited	100.0%	100.0%
Synthesis Software Technologies Proprietary Limited	100.0%	100.0%
CAPPREC Management Services Proprietary Limited	100.0%	100.0%
Synthesis Europe B.V.	100.0%	100.0%
Synthesis Labs B.V.	100.0%	100.0%
Responsive Tech Proprietary Limited	100.0%	100.0%
Responsive Digital Proprietary Limited	100.0%	100.0%
Rethink Digital Solutions Proprietary Limited	71.0%	71.0%
Dariel Solutions Proprietary Limited	100.0%	100.0%
Dariel Software Proprietary Limited	100.0%	100.0%
Capital Appreciation Empowerment Trust*	–	–
CAET Holdings Proprietary Limited*	–	–
Albanta Trading (RF) Proprietary Limited*	–	–
Associates and joint ventures		
GovChat Proprietary Limited [#]	50.0%	35.0%
LayUp Technologies Proprietary Limited	27.4%	27.4%
Regal Digital B.V.	20.0%	20.0%

* Indirect control in terms of IFRS 10

[#] Refer to note 7 for further information

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

33. RELATED PARTIES continued

33.6 Directors

M Pimstein
B Sacks
M Shapiro
S Douwenga
B Bulu
K Dlamini
R Maqache
V Sekese
A Dambuza

33.7 Prescribed officers and key management

D Engelbrecht
B Powell
A McNamara
T Wells
B Kruger
L Tshoagong
M Rabson
G Vercelotti

33.8 Companies with common directors

Centric Capital Ventures LLC is a company registered in the USA and is owned by B Sacks
K2017220477 (South Africa) NPC
LayUp Technologies Proprietary Limited
Regal Digital B.V.
Capital Appreciation Empowerment Trust
CAET Holdings Proprietary Limited
Albanta Trading (RF) Proprietary Limited
GovChat Proprietary Limited

33.9 Transactions with related parties

Figures in R'000	2026	2025
Loans to associates		
GovChat Proprietary Limited	*	*
Loan granted	80 954	80 954
Expected credit loss raised	(80 954)	(80 954)
LayUp Technologies Proprietary Limited	55 956	34 561
Regal Digital B.V.	14 197	10 407
Related-party transactions		
Enterprise Development loans by Synthesis and Dashpay to GovChat through:	*	*
Loan granted	3 880	3 880
Expected credit loss raised	(3 880)	(3 880)
Revenue received by Synthesis from GovChat Proprietary Limited	–	34
Araxi Limited to Centric Capital Ventures LLC ¹	7 296	7 962
Sundry income received from GovChat Proprietary Limited	–	–
Directors' emoluments to non-executive directors	2 833	1 622
Interest received from LayUp Technologies Proprietary Limited	–	3 118

¹ Payments relate to emoluments and operating expenses paid to B Sacks.

* In aggregate amounts are less than R1 000

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

34. DIRECTORS' EMOLUMENTS

	Salary		Bonus		Vested conditional shares exercised		Total	
	2026	2025	2026	2025	2026	2025	2026	2025
Figures in R'000								
Directors' and prescribed officers' emoluments								
M Pimstein	1 258	1 800	4 550	4 200	3 727	6 110	9 535	12 110
B Sacks ¹	1 800	1 800	4 550	4 200	3 727	6 110	10 077	12 110
A Salomon (Retired 31 December 2024)	–	1 350	–	4 200	–	6 110	–	11 660
M Shapiro	4 270	4 270	–	1 500	1 864	1 697	6 134	7 467
D Engelbrecht	4 400	4 250	3 500	2 000	1 864	1 528	9 764	7 778
S Douwenga (Appointed 31 December 2024)	4 942	2 833	2 200	–	–	–	7 142	2 833
Total	16 670	16 303	14 800	16 100	11 182	21 555	42 651	53 958
Emoluments of key management ²	22 731	20 311	3 025	2 725	4 076	4 405	29 832	27 441
Total emoluments paid to directors and key management	39 401	36 614	17 825	18 825	15 258	25 960	72 484	81 399

1 Emoluments paid to Centric Capital Ventures LLC.

Bonuses paid to executive directors in 2026, relate to the 2025 financial year performance. Directors receive no fringe benefits from the Group. Directors have long-term incentives which are reflected in note 16.

No directors have employment terms that exceed six months' notice. The Group is not under any obligation to make exit payments for directors leaving the Group.

2 Other key management individuals have been identified as those senior management members who are responsible to support the prescribed officers in fulfilling their duties, and report directly or indirectly to such directors and prescribed officers. These individuals' functions, although part of the Araxi Limited's executive team, are functionally required to support day-to-day operational requirements as well as long-term strategies set by the directors and prescribed officers of the Group.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

34. DIRECTORS' EMOLUMENTS continued

Key management of Araxi Limited:

B Powell (Chief Technology Officer of the Payments division)
A McNamara (Group Executive: Human Capital)
T Wells (Group Disruption Officer Software)
B Kruger (CFO of Software division)
L Tshoagong (Group Financial Executive)
M Rabson (Managing Director Dariel)
G Vercelotti (Commercial Director Dariel)

	Total	
Figures in R'000	2026	2025
Non-executive directors		
B Bulu	676	315
D Dlamini	676	385
E Kruger (deceased 28 April 2025)	68	174
R Maqache	294	203
V Sekese	710	418
A Dambuza	410	127
Total	2 833	1 622

The non-executive directors' remuneration and was approved by special resolution at the Annual General Meeting held on 3 September 2025.

Details of non-executive directors' attendance at meetings is recorded in the directors' report.

Figures in R'000	2026	2025
Share-based payment expense to directors and prescribed officers		
M Pimstein	1 778	2 080
B Sacks	1 778	2 080
A Salomon (Retired 31 December 2024)	–	1 560
M Shapiro	1 053	1 241
D Engelbrecht	1 122	1 218
S Douwenga	1 357	927
	7 088	9 106

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

34. DIRECTORS' EMOLUMENTS continued

Number	Opening balance 1 April 2025	Exercised shares	New share awards 2026	Closing balance 31 March 2026
Details of directors' and prescribed officers' outstanding share options				
M Shapiro	2 300 000	–	–	2 300 000
Details of directors' and prescribed officers' outstanding conditional share plan awards				
M Pimstein	4 484 814	(1 600 000)	855 513	3 740 327
B Sacks	4 484 814	(1 600 000)	855 513	3 740 327
A Salomon (retired 31 December 2024)	4 484 814	(1 600 000)	–	2 884 814
M Shapiro	2 443 802	(800 000)	570 342	2 214 144
D Engelbrecht	2 450 000	(723 554)	633 714	2 360 160
S Douwenga (appointed 31 December 2024)	2 000 000	–	855 513	2 855 513
	20 348 244	(7 323 554)	3 770 595	20 095 285

35. DIRECTORS' AND PRESCRIBED OFFICERS' SHAREHOLDING

The individual direct interests declared by the directors and prescribed officers held in the Group share capital as at 31 March, are as follows:

	2026		2025	
	Number of ordinary shares		Number of ordinary shares	
	Direct	Indirect	Direct	Indirect
Beneficial shareholdings				
M Pimstein	67 864 363	–	65 881 913	–
B Sacks	11 681 792	70 833 333	9 699 342	70 833 333
A Salomon (retired 31 December 2024)	–	–	62 516 457	–
M Shapiro	27 074 507	–	26 727 970	–
D Engelbrecht	1 884 528	–	893 303	–
Total	108 505 190	70 833 333	165 718 985	70 833 333

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

36. EARNINGS PER SHARE

The following table reflects the information used in the calculation of the basic, headline and diluted earnings per share:

Figures in R'000	2026	2025
Profit for the year attributable to ordinary shareholders	164 954	207 064
Profit on disposal of property, plant and equipment and intangible assets	(106)	(211)
Tax on loss on disposal of property, plant and equipment and intangible assets	29	57
Headline earnings	164 877	206 910

	Number of shares	Number of shares
Number of ordinary shares in issue ('000)	1 291 960	1 310 000
Weighted average number of ordinary shares in issue ('000)	1 147 176	1 177 561
Diluted weighted average number of ordinary shares in issue ('000)	1 168 079	1 232 266

Figures in R'000	2026	2025
Calculation of weighted average number of shares		
Opening balance of number of ordinary shares	1 171 153	1 183 038
Weighted number of ordinary shares repurchased	(32 060)	(13 657)
Weighted number of ordinary shares options and conditional share awards exercised	7 985	8 180
Weighted average number of ordinary shares cancelled	99	–
Weighted average number of shares in issue	1 147 176	1 177 561
Weighted average number of shares in issue	1 147 176	1 177 561
Dilutive number of shares	20 903	54 705
Diluted weighted average number of shares in issue	1 168 079	1 232 266

	2026 Cents per share	2025 Cents per share
Earnings per share		
Basic earnings per share	14.38	17.58
Headline earnings per share	14.37	17.57
Diluted earnings per share	14.12	16.80
Diluted headline earnings per share	14.12	16.79

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

37. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT

Categories of financial instruments

Figures in R'000	Notes	Amortised cost	Fair value through profit and loss	Other non-financial assets and liabilities	Total
2026					
Trade and other receivables	11	131 560	1 235	15 761	148 556
Loan to associates	8	9 658	60 495	–	70 153
Other financial assets	9	2 252	65 902	–	68 154
Finance lease receivable	10	67 108	–	–	67 108
Cash and cash equivalents	14	327 567	–	–	327 567
Other non-financial assets		–	–	1 146 627	1 146 627
Total assets		538 145	127 632	1 162 388	1 828 165
Lease liability	19	27 816	–	–	27 816
Trade and other payables	21	88 299	–	30 457	118 756
Other financial liability	22	70 282	–	–	70 282
Other non-financial liabilities		–	–	70 114	70 114
Total liabilities		186 397	–	100 572	286 969
2025					
Trade and other receivables	11	185 127	–	–	206 101
Loan to associates	8	10 407	34 561	–	44 968
Other financial assets	9	1 020	40 316	–	41 336
Finance lease receivable	10	52 417	–	–	52 417
Cash and cash equivalents	14	402 312	–	–	402 312
Total assets		651 283	74 877	–	726 160
Lease liability	19	26 497	–	–	26 497
Trade and other payables	21	66 975	565	–	94 326
Other financial liability	22	71 892	–	–	71 892
Contingent consideration liability	17	–	32 331	–	32 331
Total liabilities		165 364	32 896	–	198 260

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

37. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT continued

Pre-tax gains and losses on financial instruments

Figures in R'000	Notes	Amortised cost	Fair value through profit and loss	Total
Gains on financial assets				
2026				
Recognised in the statement of comprehensive income:				
Finance income		35 773	–	35 773
Other fair value gains	25	–	34 308	34 308
		35 773	34 308	70 081
Gains on financial assets				
2025				
Recognised in the statement of comprehensive income:				
Finance income		33 480	–	33 480
Other fair value gains	25	–	36 701	36 701
		33 480	36 701	70 181
Losses on financial liabilities				
2026				
Recognised in the statement of comprehensive income:				
Finance costs	28	16 190	–	16 190
		16 190	–	16 190
Losses on financial liabilities				
2025				
Recognised in the statement of comprehensive income:				
Finance costs	28	20 044	–	–
		20 044	–	–

Capital risk management

For the purpose of the Group's capital management, capital includes issued share capital and all other equity reserves attributable to the equity shareholders of the parent. The primary objective of the Group's capital management is to maximise the shareholders' value.

The Group manages its capital structure and makes adjustments in light of changes in economic conditions. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. Although the Group has limited debt, should the need to raise further debt, capital risk management will be monitored on a formula to be determined by the Board at the appropriate time.

Figures in R'000	Note	2026	2025
Interest-bearing loans and borrowings		70 282	71 892
Lease liability		27 816	26 497
Less: Cash and cash equivalents		(327 567)	(402 312)
Net cash		(229 469)	(303 923)
Equity		1 541 197	1 534 964
Total capital		1 541 197	1 534 964
Net cash to capital (%)		15%	20%

In order to achieve this overall objective, the Group's capital management, among other things, aims to ensure that it meets its financial obligations attached to the interest-bearing loans and borrowings that define capital structure requirements. The Group's interest-bearing loans and borrowings during the reporting period has no breaches of any financial obligations in the reporting period.

No changes were made in the objectives, policies or processes for managing capital during the years ended 31 March 2026 and 2025.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

37. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT continued

Financial risk management

The Group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the Group's financial performance. The Board provides written principles for overall risk management, as well as policies covering specific areas, such as interest rate risk, credit risk and investment of excess liquidity.

Currency risk management

The Group is exposed to currency risk as a result of revenues and costs in United States Dollars, Euros, Great British Pound and Singapore Dollars, which are currencies other than the Group's reporting currency. The Group enters into various types of foreign exchange contracts as part of the management of its foreign exchange exposure arising from its current and anticipated business activities.

It is estimated that a general increase of 25 cents in the value of the Rand against other foreign currencies would decrease the Group's profit before and after tax for the year by approximately R658 591 and R480 772 respectively (31 March 2025: R866 082 and R632 240 respectively). A decrease of 25 cents would have an equal, but opposite effect.

Interest rate risk

Cash flow interest rate risk arises on cash balances held, loans receivables, finance lease receivables, contingent consideration liabilities and other financial liabilities. At the reporting date, the Group cash deposits were accessible immediately or had maturity dates up to three months.

The interest earned on these deposits closely approximate the market rates prevailing. The directors have determined that a fluctuation in an interest rate of 50 basis points is reasonably possible. An increase in 50 basis points in interest rates as at the reporting date would have increased the profit before and after tax for the year by approximately R1.6 million and R1.2 million respectively (31 March 2025: R2.0 million and R1.5 million respectively). A decrease of 50 basis points would have an equal, but opposite effect. The analysis assumes that all other variables remain constant.

Liquidity risk

Liquidity risk is the risk where the Group fails to maintain adequate levels of financial resources to enable it to meet its financial obligations as they fall due. Liquidity risk arises because of the possibility that the Group could be required to pay its liabilities earlier than expected or because of any inability to realise assets in order to meet obligations as they fall due or is only able to realise assets by suffering financial loss.

The Group's liquidity risk derives from the need to have sufficient funds available to cover future commitments. The Group manages liquidity risk through an ongoing review of future cash requirements.

Cash flow forecasts are compared to cash available.

The maturity profile of contractual cash flows of non-derivative financial liabilities, and financial assets held to mitigate the risk, are presented in the below table. The cash flows are undiscounted contractual amounts.

Figures in R'000	Notes	0-6 months	7-12 months	1-5 years	Total	Finance costs	Carrying amount
2026							
Trade and other payables	21	79 995	–	–	79 995	–	79 995
Lease liability	19	5 894	5 811	21 001	32 706	(4 890)	27 816
Other financial liability	22	–	74 854	–	74 854	(4 572)	70 282
		85 890	80 665	21 001	187 555	(9 463)	178 093
2025							
Trade and other payables	21	51 261	–	–	51 261	–	51 261
Lease liability	19	3 979	3 978	18 540	26 497	(3 311)	23 186
Other financial liability	22	–	78 866	–	78 866	(6 974)	71 892
Contingent consideration liability	17	23 828	–	–	23 828	–	23 828
		79 068	82 844	18 540	180 452	(10 285)	170 167

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

37. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT continued

Credit risk

Credit risk refers to the risk that a counterparty will default on its contractual obligations, resulting in financial loss to the Group. It primarily arises from the Group's exposures to cash and cash equivalents, deposits with banks and other financial institutions, and trade and other receivables. The Group manages this risk by maintaining strict policies that limit counterparty exposure to financial institutions with high creditworthiness, as determined by internationally recognised credit rating agencies. Only institutions with credit ratings of at least investment grade are engaged. The Group continuously monitors the credit quality of counterparties and reviews credit limits regularly, taking into account both historical performance and forward-looking information.

For cash and short-term deposits, the Group places funds only with reputable financial institutions that have a minimum long-term credit rating of "A-" or equivalent. For trade receivables, credit risk is managed through formal approval processes, credit limits, and, where necessary, credit insurance. The Group assesses credit risk on a collective and individual basis, applying the expected credit loss ("ECL") model under IFRS 9. The ECL assumptions incorporate forward-looking variables including interest rate forecasts, unemployment trends, and industry-specific risks. Trade receivables are grouped by customer type and aging, and the Group assesses significant increases in credit risk using both quantitative and qualitative factors.

As at the reporting date, the Group has not experienced material credit losses and considers its exposure to credit risk to be well managed and within acceptable thresholds.

The carrying amount of financial assets represents the Group's maximum exposure to credit risk. The maximum exposure of each class of financial asset are as follows:

Figures in R'000	Notes	Gross carrying amount	ECL allowance	Amortised cost/fair value
2026				
Trade and other receivables	11	135 074	(2 279)	132 795
Loans to associates and joint ventures	8	151 107	(80 954)	70 153
Other financial assets	9	68 154	–	68 154
Finance lease receivable	10	67 108	–	67 108
		421 443	(83 233)	338 210
2025				
Trade and other receivables	11	188 921	(3 794)	185 127
Loans to associates	8	125 922	(80 954)	44 968
Other financial assets	9	18 630	–	18 630
Finance lease receivable	10	52 417	–	52 417
		385 890	(84 748)	301 142

Where credit ratings are not available, the Group does not expect certain trade and other receivables counterparties to fail to meet their obligations.

Trade and other receivables

The credit quality of trade and other receivables is assessed by reference to historical information about counterparty default rates. Historical levels of customers' defaults are minimal and, as a result, the credit quality of year-end trade and other receivables is considered to be high.

Loans to associates

The purpose of the loans is to allow the associates to utilise the funding for software and other development costs which will, in due course, be revenue generating and generate profitability and from this profitability, the loans will be repaid.

Cash and cash equivalents

The maximum exposure to credit risk at the reporting date is the carrying amount. The Group only deposits funds with major banks with high-quality credit ratings assigned by internationally recognised credit rating agencies. For this reason, the credit quality at year-end of cash and cash equivalents is considered to be high.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

37. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT continued

Expected credit loss allowance

The Group's definition of default are the amounts that will not be repaid in terms of the terms of all financial assets in future timing periods. The amounts are written-off as and when the amounts are not recoverable. The ECL is initially based on the Group's historical observed default rates. The Group calibrates the matrix to adjust the historical credit loss experience with forward-looking information, like for example, forecast economic conditions and other related micro and macro economic factors. The Group calculates the ECL allowance by comparing the year-end balance against the future expected amount receivable as per the terms of the agreements and recording the difference between the two.

GovChat went into business rescue on 22 December 2022. GovChat exited business rescue in May 2024. It has ceased operations, but continues to pursue its claims against Meta, alongside the Competition Commission, for abuse of market dominance.

38. GROUP INFORMATION

		% Equity interest
Holding Company		
Araxi Limited	Holding Company	
Subsidiaries	Principal Activities	
Capprec Management Services Proprietary Limited	Corporate administration	100
African Resonance Business Solutions Proprietary Limited	Payment solutions	100
Rinwell Investments Proprietary Limited	Payment solutions	100
Dashpay Proprietary Limited	Payment solutions	100
Synthesis Software Technologies Proprietary Limited	Software solutions	100
Synthesis Europe B.V.	Software solutions	100
Synthesis Labs B.V.	Software solutions	100
Responsive Tech Proprietary Limited	Software solutions	100
Responsive Digital Proprietary Limited	Software solutions	100
Rethink Digital Proprietary Limited	Software solutions	71
Dariel Software Proprietary Limited	Software solutions	100
Dariel Solutions Proprietary Limited	Software solutions	100
Capital Appreciation Empowerment Trust		*
CAET Holdings Proprietary Limited		*
Albanta Trading (RF) Proprietary Limited		*
Associates and joint ventures		
GovChat Proprietary Limited	Software solutions	50
Regal Digital B.V. (Netherlands)	Software solutions	20
LayUp Technologies Proprietary Limited	Payment solutions	27

* Indirect control.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

39. FAIR VALUE

Financial instruments are normally held by the Group until they close out in the normal course of business. The fair values of the Group's financial instruments, which principally comprise forward exchange contracts approximate their carrying value. The maturity profile of those financial instruments fall due within 12 months.

There are no significant differences between carrying fair value and fair value of financial assets and liabilities.

Loans to associates, trade and other receivables, and trade and other payables carried on the statements of financial position approximate the fair values.

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

- Level 1: Quoted (unadjusted) prices in active markets for identical assets or liabilities.
- Level 2: Other techniques for which all inputs that have a significant effect on the recorded fair value are observable, either directly or indirectly.
- Level 3: Techniques which use inputs which have a significant effect on the recorded fair value that are not based on observable market data.

The foreign exchange contract liabilities are recognised at fair value under level 2. The inputs into the valuation include the market interest rates and foreign exchange rates, as well as yield curves. There have been no transfers between the levels during the year.

Figures in R'000	2026	Level 1	Level 2	Level 3
Financial instrument				
Foreign exchange forward contracts	1 235	–	1 235	–
Contingent consideration liabilities	–	–	–	–
Convertible loans	126 397	–	–	126 397

Figures in R'000	2025	Level 1	Level 2	Level 3
Financial instrument	–			
Foreign exchange forward contracts	(565)	–	(565)	–
Contingent consideration liabilities	(23 828)	–	–	(23 828)
Convertible loans	–	–	–	40 316

The Group has an established control framework with respect to the measurement of fair values. This includes the Group Chief Financial and Value Enhancement Officer who oversees all significant fair value measurements.

Contingent consideration liabilities at fair value through profit or loss

Financial liabilities measured at fair value through profit or loss, in terms of the hierarchy, are classified as level 3 as the valuation techniques used are based on unobservable inputs for the liability.

The balance in respect of contingent consideration liabilities relate to business combinations that are subject to profit warranties that are settled with a combination of cash and shares. The profit warranties allow for a defined adjusted value to the consideration payable in the event that the warranted EBITDA is not achieved, or in the event that it is achieved, is capped. The fair value of the contingent arrangement is initially estimated by applying the income approach, assuming that the relevant profit warrant will be achieved. Subsequent measurement uses the income approach to calculate the present value of the expected settlement payment using the latest approved budgeted results and reasonable growth rates for the remainder of the relevant warranty periods taking into account any specific circumstances.

Profit warrant periods normally extend over a 24-month period.

Unobservable inputs include budgeted results based on EBITDA for the profit warranty period, adjusted at each reporting period. The applicable discount rate for the cash component is prime interest rate, discounting the estimated liability over the remaining period to the final measurement date. For component of profit warranty to be settled in equity, the prevailing share price at each reporting date is used to remeasure fair value.

Changing the percentage achievement of EBITDA relative to the warranted profit directly changes the fair value of the contingent consideration liability.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

39. FAIR VALUE continued

Convertible loan assets at fair value through profit or loss

Financial assets measured at fair value through profit or loss, in terms of the hierarchy, are classified as level 3 as the valuation techniques used are based on unobservable inputs for the liability. Please refer to notes 8 and 9 for detailed assumptions and sensitivities.

Financial assets/ financial liabilities	Valuation techniques used and key inputs	Significant unobservable inputs	Relationship and sensitivity of the unobservable input to fair value
Contingent consideration (note 17)	Present value (discounted at prime interest rate) of the expected future contingent consideration payable on the achievement on an agreed earnings (EBITDA) ratio.	Profit warranty expectation is based on budgeted 24-month EBITDA performance, relative to the agreed target of R62.2 million.	A lower actual EBITDA performance during the 24 months has a direct impact on the liability.
Convertible loan assets: AssetPool (note 9)	Discounted cash flow method was used to capture the value of the issuer entity as a key input in determining the value of the convertible instrument.	Discount rate of 35% using the venture capital approach which determines target rates of return as a proxy for the discount rate, which factors in the probability of success.	The higher the discount rate, the lower the fair value. If the equity value was 5% higher/lower while other variables were held constant, the fair value would increase and decrease by R3.3 million.
Convertible loan to associate assets: LayUp (note 8)	Equity value of the issuer entity, using discounted cash flow method.	Discount rate of 40% using the venture capital approach which determines target rates of return as a proxy for the discount rate, which factors in the probability of success.	The higher the discount rate, the lower the fair value. If the equity value was 5% higher/lower while other variables were held constant, the fair value would increase by R2.4 million and decrease by R2.3 million.
Convertible loan to associate assets: Regal Digital B.V. (note 8)	Equity value of the issuer entity, using discounted cash flow method.	Discount rate of 45% using the venture capital approach which determines target rates of return as a proxy for the discount rate, which factors in the probability of success.	The higher the discount rate, the lower the fair value. If the equity value was 5% higher/lower while other variables were held constant, the fair value would increase and decrease by R2.3 million.

Contingent consideration liability

Figures in R'000	2026	2025
Fair value adjustment	(4 044)	19 511
Reconciliation		
Opening balance	23 828	39 442
Fair value adjustment	4 044	(19 511)
Present value of contingent consideration	–	3 897
Settlement of contingent consideration	(27 872)	–
Closing balance	–	23 828

There have been no amounts of transfers into and out of level 3.

Notes to the Group financial statements continued

FOR THE YEAR ENDED 31 MARCH 2026

39. FAIR VALUE continued

Convertible loan asset

Figures in R'000	2026	2025
Fair value adjustment	25 586	13 163
Reconciliation		
Opening balance	40 316	23 153
Loan granted during the year	–	4 000
Fair value adjustment	25 586	13 163
Closing balance	65 902	40 316

Loan to associate

Figures in R'000	2026	2025
Fair value adjustment	12 766	4 027
Reconciliation		
Opening balance	34 561	21 527
Loan granted during the year	13 071	9 007
Fair value adjustment	12 766	4 027
Foreign exchange movement	97	–
Closing balance	60 495	34 561

40. DIVIDENDS

A final dividend for the year ended 31 March 2025 of 7.50 cents per ordinary share was declared on 24 June 2025 amounting to R85.8 million. An interim dividend for the year ended 31 March 2026 of 4.50 cents per ordinary share was declared on 2 December 2025 amounting to R52.4 million. The total dividends paid during the year amounted to R138.2 million (2025: R134.3 million).

41. GOING CONCERN

The financial statements have been prepared on the basis of accounting policies applicable to a going concern.

42. POST-YEAR-END EVENTS

In February 2026, the Group entered into agreements that will result in its wholly-owned subsidiary, African Resonance Proprietary Limited, acquiring 80% of Pay At Holdings Proprietary Limited ("Pay@") and its affiliate International Payment Holdings Limited ("IPHL"), which includes all of their respective subsidiaries (collectively the "Pay@ Group"), for an aggregate consideration of R1 billion. The transaction closed in May 2026 following the completion of all conditions precedent. The purchase price allocation was incomplete by the date of issue of these financial statements. Accordingly, the group could not disclose the fair value of the identifiable assets and liabilities, including the factors that make up goodwill. This information will be disclosed in the next reporting period.

The significant estimates, judgments and assumptions made in preparing the Group's results have remained consistent. The Group is currently not exposed to credit risk and at the time of reporting, no significant change in this credit risk position has been noted. Management will, however, continue to actively monitor this. At this stage, no significant impairments of the Group's assets are expected to arise. Further assessment of this will be conducted as the new financial year unfolds.

Subsequent to year end the Board has declared a final gross cash dividend for the year ended 31 March 2026 of 7.50 cents, 6.00 cents net of dividend withholding tax, payable to shareholders recorded in the register of the company at the close of business on 31 July 2026.

Company statement of financial position

AS AT 31 MARCH 2026

Figures in R'000	Notes	2026	2025
ASSETS			
Property, plant and equipment	1	241	185
Investment in subsidiaries	2	1 090 068	1 090 068
Investment in associates and joint ventures	3	*	*
Loans to associates and joint ventures	4	9 658	44 372
Other financial assets	5	2 252	41 336
Other receivables	6	–	7 351
Deferred tax	7	–	171
Non-current assets		1 102 219	1 183 483
Other receivables	6	845	1 161
Taxation receivable		3 995	5 167
Loans to associates and joint ventures	4	60 496	–
Other financial assets	5	84 676	19 667
Cash and cash equivalents	8	162 166	233 768
Current assets		312 178	259 763
Total assets		1 414 397	1 443 246
EQUITY AND LIABILITIES			
Capital and reserves		829 060	884 983
Share capital	9	1 031 230	1 038 973
Share-based payment reserve	10	12 274	7 471
Retained loss		(214 444)	(161 461)
Total equity		829 060	884 983
Deferred tax	7	12 227	6 622
Non-current liabilities		12 227	6 622
Contingent consideration liability	11	–	23 828
Provision for share repurchase	12	–	32 331
Trade and other payables	13	13 365	6 491
Other financial liabilities	14	559 745	488 991
Current liabilities		573 110	551 641
Total equity and liabilities		1 414 397	1 443 246

* Amounts are less than R1 000.

Company statement of comprehensive income

FOR THE YEAR ENDED 31 MARCH 2026

Figures in R'000	Notes	2026	2025
Revenue	15	143 862	125 189
Other fair value gains	16	34 308	36 701
Operating expenses		(77 414)	(57 475)
Operating profit before items noted below	17	100 756	104 415
Finance income	18	17 763	23 835
Finance costs	19	(6 178)	(7 665)
Expected credit loss raised	5	–	(1 064)
Profit before taxation		112 341	119 521
Taxation	20	(5 775)	(1 451)
Profit after taxation		106 566	118 070
Other comprehensive income		–	–
Total comprehensive income for the year		106 566	118 070

Company statement of cash flows

FOR THE YEAR ENDED 31 MARCH 2026

Figures in R'000	Notes	2026	2025
Cash utilised from operations	21	(41 850)	(30 360)
Finance income received		14 765	23 763
Finance costs paid		(7 737)	–
Dividends received		3 400	5 000
Dividends paid		(156 388)	(134 275)
Taxation received		1 170	–
Taxation paid		–	(273)
Net cash outflow from operating activities		(186 641)	(136 145)
Cash flows from investing activities			
Acquisition of property, plant and equipment	1	(183)	(72)
Loans to associates and joint ventures	4	(13 071)	(10 071)
Other financial assets loans granted	5	(1 000)	(5 000)
Net cash outflow from investing activities		(14 254)	(15 143)
Cash flows from financing activities			
Contingent consideration settlement	11	(14 159)	–
Funds advanced to group companies		(94 139)	296 800
Funds received from group companies		259 058	(282 986)
Settlement of share repurchase liability		(21 467)	–
Net cash outflow from financing activities		129 293	13 814
Net decrease in cash and cash equivalents		(71 602)	(137 474)
Cash and cash equivalents at beginning of year		233 768	371 242
Cash and cash equivalents at end of year	8	162 166	233 768

Company statement of changes in equity

FOR THE YEAR ENDED 31 MARCH 2026

	Ordinary share capital	Share-based payment reserve	Retained loss	Total equity attributable to shareholders of the Company
Figures in R'000				
Balance at 1 April 2024	1 038 973	10 738	(139 210)	910 501
Total comprehensive income for the year ended 31 March 2025	–	–	118 070	118 070
Share-based payment expense	–	7 855	–	7 855
Settlement of vested share options	–	(76)	–	(76)
Settlement of vested conditional share awards	–	(11 046)	–	(11 046)
Allotment of conditional share awards	–	–	(7 895)	(7 895)
Cash dividends paid	–	–	(132 426)	(132 426)
At 31 March 2025	1 038 973	7 471	(161 461)	884 983
Profit for the year	–	–	106 566	106 566
Other comprehensive income	–	–	–	–
Total comprehensive income for the year ended 31 March 2026	–	–	106 566	106 566
Share-based payment expense	–	7 052	–	7 052
Remeasurement of provision for share repurchase	(2 345)	–	–	(2 345)
Settlement of vested conditional share awards and share option awards	(5 398)	(2 249)	–	(7 647)
Allotment of conditional share awards	–	–	(4 514)	(4 514)
Cash dividends paid	–	–	(155 035)	(155 035)
Balance at 31 March 2026	1 031 230	12 274	(214 444)	829 060

Notes to the Company financial statements

FOR THE YEAR ENDED 31 MARCH 2026

1. PROPERTY, PLANT AND EQUIPMENT

	2026		
	Cost	Accumulated depreciation	Carrying value
Figures in R'000			
Computer hardware	373	(201)	172
Computer software	12	(8)	4
Furniture and fixtures	34	(23)	11
Leasehold improvements	135	(81)	54
Total	554	(313)	241

Reconciliation of property, plant and equipment

	2026			
Figures in R'000	Opening balance	Additions	Depreciation	Carrying value
Computer hardware	79	183	(90)	172
Computer software	8	–	(4)	4
Furniture and fixtures	17	–	(6)	11
Leasehold improvements	81	–	(27)	54
Total	185	183	(127)	241

	2025		
	Cost	Accumulated depreciation	Carrying value
Figures in R'000			
Computer hardware	190	(111)	79
Computer software	12	(4)	8
Furniture and fixtures	34	(17)	17
Leasehold improvements	135	(54)	81
Total	371	(186)	185

Reconciliation of property, plant and equipment

	2025			
Figures in R'000	Opening balance	Additions	Depreciation	Carrying value
Computer hardware	73	60	(55)	78
Computer software	–	12	(4)	8
Furniture and fixtures	34	–	(17)	17
Leasehold improvements	109	–	(27)	82
Total	216	72	(103)	185

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

2. INVESTMENTS IN SUBSIDIARIES

Figures in R'000

	2026	2025
Balance at 31 March	1 090 068	1 090 068

On 5 May 2017, the Company acquired 100% of the shares in African Resonance Proprietary Limited, Rinwell Investments Proprietary Limited, Dashpay Proprietary Limited, Synthesis Software Technologies Proprietary Limited and CAPPREC Management Services Proprietary Limited. Investments in subsidiaries are valued at cost, which in aggregate amounts to R890.5 million.

On 21 June 2021, the Company acquired 100% of the shares in Synthesis Europe B.V., a company registered in the Netherlands. Synthesis Europe B.V. is the holding Company of Synthesis Labs B.V which is an operating company in the Netherlands. The investment in the subsidiary is valued at cost of EUR 1 = (R17.00).

On 1 March 2022, the Company acquired:

- 100% of the issued share capital of Responsive Tech Proprietary Limited and 100% of the issued share capital of Responsive Digital Proprietary Limited (collectively called "Responsive Build");
- 71% of the issued share capital of Rethink Digital Solutions Proprietary Limited ("Rethink Digital Solutions"); and
- Investments in the Responsive Group are valued at cost which in aggregate amounts to R48.4 million.

On 3 July 2023, the Company acquired:

- 100% of the issued share capital of Dariel Solutions Proprietary Limited ("Dariel") which holds 100% of the issued share capital of Dariel Software Proprietary Limited. Investments in Dariel are valued at cost, which in aggregate amounts to R151.1 million. See note 6 of the Group financial statements.

Accounting Policy

Investments in subsidiaries are accounted for at cost in the Company's financial statements, less any accumulated impairment losses. Dividends received from subsidiaries are recognised in profit or loss when the right to receive payment is established.

3. INVESTMENTS IN ASSOCIATES AND JOINT VENTURES

Unlisted investments

	2026	2025
GovChat Proprietary Limited		
The Company acquired a 35% interest in GovChat Proprietary Limited ("GovChat") on 21 May 2019. GovChat went into business rescue on 22 December 2022. GovChat exited business rescue in May 2024. It has ceased operations, but continues to pursue its claims against Meta, alongside the Competition Commission, for abuse of market dominance. The principal business is in Cape Town and the Company is incorporated in South Africa.		
During the year, the Company increased its ownership interest in GovChat from 35% to 50%, resulting in the classification of the investment as a joint venture in terms of IFRS 11 due to joint control established through a shareholders' agreement. The consideration paid for the increase in shareholding was R33. The additional interests are treated as an increase in the investment carrying amount. Associates and joint ventures are accounted for using the equity method, so the accounting methodology for the investment remains unchanged.	*	*
LayUp Technologies Proprietary Limited (herein after referred to as "LayUp")		
The Company holds a 27.4% interest in LayUp. LayUp is a fully digital Lay-By and recurring payments business. The principal place of business is in Johannesburg and the Company is incorporated in South Africa.	*	*
Regal Digital B.V.		
The Company subscribed, on 13 May 2022, for 392 shares, being 20% of the issued share capital of Regal Digital B.V., which is a technology company. The principal place of business is in Amsterdam, Netherlands, and the company is incorporated in the Netherlands.	*	*

* Investments in associate in aggregate amounts to less than R1 000. There have been no equity accounted earnings for the current and prior year.

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

4. LOANS TO ASSOCIATES AND JOINT VENTURES

Figures in R'000	2026	2025
GovChat Proprietary Limited	*	*
LayUp Technologies Proprietary Limited	55 956	34 561
Regal Digital B.V.	14 197	9 811
	70 153	44 372
Non-current assets	9 658	44 372
Current assets	60 495	–
Total	70 153	44 372

4.1 GovChat Proprietary Limited

Figures in R'000	2026	2025
Opening balance	80 954	79 890
Loan granted during the year	–	1 064
	80 954	80 954
Expected credit loss raised	(80 954)	(80 954)
Closing balance	*	*

The following table shows the movement in 12-month expected credit loss ("ECL") that has been recognised for loans to associates classified at amortised cost.

Figures in R'000	2026	2025
Opening balance of loss allowance	80 954	79 890
ECL raised in the current year	–	1 064
Closing balance of loss allowance	80 954	80 954

* Loans to associate in aggregate amounts to less than R1 000.

GovChat has pledged as a security for the loan from Araxi Limited, all its rights, title and interest in and to all of GovChat's intellectual property and specifically including all the software rights, trade mark rights and technology source codes. The full amount due has been recognised as an ECL.

GovChat went into business rescue on 22 December 2022. GovChat exited business rescue in May 2024. It has ceased operations, but continues to pursue its claims against Meta, alongside the Competition Commission on 20 March 2025 for abuse of market dominance.

During the year, the Company increased its ownership interest in GovChat from 35% to 50%, resulting in the classification of the investment as a joint venture in terms of IFRS 11 due to joint control established through a shareholders' agreement. The consideration paid for the increase in shareholding was R33. The additional interests are treated as an increase in the investment carrying amount. Associates and joint ventures are accounted for using the equity method, so the accounting methodology for the investment remains unchanged.

4.2 LayUp Technologies Proprietary Limited

Figures in R'000	2026	2025
Opening balance	34 561	21 527
Loan granted during the year	7 501	9 007
Fair value adjustment	13 894	4 027
Closing balance	55 956	34 561

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

4. LOANS TO ASSOCIATES AND JOINT VENTURES continued

4.2 LayUp Technologies Proprietary Limited continued

Nature of the instruments

During the year ended 31 March 2026, the Company has increased its convertible loan investments as part of its strategy to enhance risk-adjusted returns. The Company's investment comprises convertible loans granted to LayUp Technologies Proprietary Limited.

These instruments combine a fixed income element (interest accrual on the principal) with an embedded conversion option that allows the Company to convert the investment into ordinary shares at maturity date. The conversion feature provides potential participation in the issuer's equity upside, while the fixed income aspect offers predictable returns.

On, or subsequent to maturity, the Company is entitled to convert the outstanding principal plus accrued interest into ordinary shares based on a fixed pre-determined conversion price.

Changes in the fair value of the convertible loan are recognised in other fair value gains in the statement of comprehensive income. For the year ended 31 March 2026, fair value gains of R13.9 million (31 March 2025: R4 million) were recognised in the statement of comprehensive income.

Principal and interest

The principal amounts of the Convertible Loan Assets ("CLAs"), maturity dates and interest rate of the loans are as follows:

Figures in R'000s	2026			
	Agreement date	Principal amount	Repayment date	Interest rate
Loan 1	20 October 2021	10 000	31 August 2026	Prime
Loan 2	15 May 2023	9 243	31 August 2026	Prime
Loan 3	15 June 2024	15 000	31 August 2026	Prime
Figures in R'000s	2025			
	Agreement date	Principal amount	Repayment date	Interest rate
Loan 1	20 October 2021	10 000	31 October 2025	Prime
Loan 2	15 May 2023	9 243	30 November 2025	Prime
Loan 3	15 June 2024	7 500	30 November 2025	Prime

Fair value measurement

Araxi entered into various CLAs with LayUp as disclosed above.

The CLA involves cumulative principal loan facilities of R34 242 957 (31 March 2025: R26 742 957) with maturity date of 31 August 2026. The outstanding loan balances, including accumulated interest, at 31 March 2026 was R44 220 027 (31 March 2025: R32 742 240).

Interest accrues daily and compounded monthly, on the outstanding balance from the date on which the first advance is made.

The number of conversion shares issued to settle the outstanding loans at the date of conversion will be calculated by using a predetermined formula for the purposes of the valuation.

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

4. LOANS TO ASSOCIATES AND JOINT VENTURES continued

4.2 LayUp Technologies Proprietary Limited continued

The fair value of the conversion option was determined using a Monte Carlo simulation incorporating the following key inputs:

- **Equity value of the underlying investee entity:** The value is primarily derived from utilising a discounted cash flow analysis, using appropriate venture capital discount rates. The rates applied are in line with the guidance per the December 2018 International Private Equity and Venture Capital Valuation Guidelines ("IPEV") and has been considered as the most appropriate basis in deciding on which valuation technique to apply. The conventional Capital Asset Pricing Model ("CAPM") approach used to determine the WACC does not fully encapsulate the risks, including, inter alia, product risk and execution risk, associated with an early-stage asset. The venture capital approach looks to determine a potential venture capitalist's target rates of return as a proxy for the discount rate, which factors in the probability of success. These calculations are also corroborated by using any available data from binding sales transactions, conducted at arm's-length, for similar assets or observable market prices, valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators. The recoverable amount is sensitive to the discount rate used for the DCF model as well as the expected future cash inflows and the growth rate used for extrapolation purposes.
- **Discount rate:** 40%
- **Risk-free rate:** 7.055%
- **Expected volatility:** 42.75%
- **Expected term:** 0.42 years

The fair value of the host contract was determined using a market participant view. The market participant view allows the inclusion of factors that the market would consider when valuing unlisted debt instruments, incorporating the following key inputs:

- **Rating:** RW22 – RW23
- **Rating model:** Moody's KMV RiskCalc
- **Expected term:** 0.42 years
- **Credit spread:** 19.36% – 23.41%

The instruments are classified as Level 3 in the fair value hierarchy due to the use of significant unobservable inputs.

Sensitivity analysis

Changes in key valuation assumptions have been evaluated, and the primary sensitivity has been determined to be the underlying equity valuation of the investee entities. A 5% increase or decrease in underlying equity value share price would result in an estimated R2.3 million decrease and R2.4 million increase, respectively, in the instrument's fair value.

4.3 Regal Digital B.V.

Loan at amortised cost

Figures in R'000	2026	2025
Opening balance	9 811	10 064
Foreign exchange movement	(153)	(253)
Closing balance	9 658	9 811

Loan at fair value through profit or loss

Figures in R'000	2026	2025
Opening balance	–	–
Loan granted during the year	5 570	–
Fair value adjustment	(1 128)	–
Foreign exchange movement	97	–
Closing balance	4 539	–

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

4. LOANS TO ASSOCIATES AND JOINT VENTURES continued

4.3 Regal Digital B.V. continued

The Company granted Regal Digital B.V. a long-term loan of EUR493 822 (R9.7 million), which is non-interest-bearing and is repayable in 50 years from the date it was granted. The loan is mark to market at the foreign exchange rate of EUR1 = 19.56 at 31 March 2026 (2025: 19.87).

On 14 January 2025, the Company entered into a new convertible agreement with Regal Digital B.V., whereby the Company will loan EUR420 000 (R9 million), which bears interest at prime and is convertible 1 year from the date that the first advance is made to Regal Digital B.V. The loan is mark to market at the foreign exchange rate of EUR1 = 19.56 at 31 March 2026. EUR289 988 (R5.6 million) has been advanced during the current financial year.

5. OTHER FINANCIAL ASSETS

Figures in R'000	2026	2025
Loan to subsidiary: Synthesis Labs B.V.	18 774	19 667
Loan to Asset Pool Proprietary Limited	68 154	41 336
	86 928	61 003
Current	84 676	19 667
Non-current	2 252	41 336
Closing balance	86 928	61 003

5.1 Loan to subsidiary: Synthesis Labs B.V.

Figures in R'000	2026	2025
Opening balance	19 667	14 224
Loan granted during the year	4 689	5 735
Loan repayment during the year	(5 075)	–
Foreign exchange movement	(507)	(292)
Closing balance	18 774	19 667

Current loans receivable are interest-free and repayable on demand.

5.2 Loan to Asset Pool Proprietary Limited

5.2.1 Loan at amortised cost

Figures in R'000	2026	2025
Opening balance	1 020	–
Amortised loan granted during the year	1 000	1 000
Accretion of interest	232	20
Closing balance	2 252	1 020

5.2.2 Loan at fair value through profit or loss

Figures in R'000	2026	2025
Opening balance	40 316	23 153
Convertible loan granted during the year	–	4 000
Fair value adjustment	25 586	13 163
Closing balance	65 902	40 316

Nature of the loan at amortised cost

On 10 January 2025, a loan facility was granted to Asset Pool Proprietary Limited for R2 million. At 31 March 2026, R2 000 000 of the principle amount was drawn down. The loan bears interest at prime plus 3% and is repayable no later than 15 March 2028. This loan does not have a conversion option and is measured at amortised cost.

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

5. OTHER FINANCIAL ASSETS continued

5.2 Loan to Asset Pool Proprietary Limited continued

Nature of the convertible loan asset through profit and loss

During the year ended 31 March 2026, the Company has increased its convertible loan investments as part of its strategy to enhance risk-adjusted returns. The Company's investment comprises convertible loans granted to Asset Pool Proprietary Limited (herein after referred to as "Asset Pool").

The instrument combines a fixed income element (interest accrual on the principal) with an embedded conversion option that allows the Company to convert the investment into ordinary shares at maturity date. The conversion feature provides potential participation in the issuer's equity upside, while the fixed income aspect offers predictable returns.

On, or prior to maturity, the Company is entitled to convert the outstanding principal plus accrued interest into ordinary shares based on a fixed pre-determined conversion price.

Changes in the fair value of the convertible loan are recognised in other fair value gains in the statement of comprehensive income. For the year ended 31 March 2026, fair value gains of R25.6 million (31 March 2025: R13.2 million) were recognised in the statement of comprehensive income.

Principal and interest

The principal amounts of the CLAs, maturity dates and interest rate of the loans are as follows:

Figures in R'000s	2026			
	Agreement date	Principal amount	Repayment date	Interest rate
Loan 1	15 June 2023	15 000	30 June 2026	Prime

Figures in R'000s	2025			
	Agreement date	Principal amount	Repayment date	Interest rate
Loan 1	15 June 2023	15 000	6 April 2026	Prime

Fair Value Measurement

Araxi entered into a CLA with Asset Pool as disclosed above.

The CLA involves a loan facility of R15 000 000 (31 March 2025: R15 000 000) with a 36-month availability period starting from the commencement date, with an outstanding balance of R19 566 768 as at 31 March 2026 (31 March 2025: R17 610 677).

Interest accrues daily and compounded monthly, on the outstanding balance from the date on which the first advance is made.

The number of conversion shares issued to settle the outstanding loan at the date of conversion will be calculated by using a predetermined equity value for the purposes of the valuation.

The fair value of the conversion option was determined using a Monte Carlo simulation incorporating the following key inputs:

- **Equity value of the underlying investee entity:** The value is primarily derived from utilising a discounted cash flow analysis, using appropriate venture capital discount rates. The rates applied are in line with the guidance per the December 2018 International Private Equity and Venture Capital Valuation Guidelines ("IPEV") and has been considered as the most appropriate basis in deciding on which valuation technique to apply. The conventional Capital Asset Pricing Model ("CAPM") approach used to determine the WACC does not fully encapsulate the risks, including, inter alia, product risk and execution risk, associated with an early-stage asset. The venture capital approach looks to determine a potential venture capitalist's target rates of return as a proxy for the discount rate, which factors in the probability of success. These calculations are also corroborated by using any available data from binding sales transactions, conducted at arm's-length, for similar assets or observable market prices, valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators. The recoverable amount is sensitive to the discount rate used for the DCF model as well as the expected future cash inflows and the growth rate used for extrapolation purposes.
- **Discount rate:** 35%
- **Risk-free rate:** 6.95%
- **Expected volatility:** 41.66%
- **Expected term:** 0.25 years

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

5. OTHER FINANCIAL ASSETS continued

5.2 Loan to Asset Pool Proprietary Limited continued

The fair value of the host contract was determined using a market participant view. The market participant view allows the inclusion of factors that the market would consider when valuing unlisted debt instruments, incorporating the following key inputs:

- **Rating:** RW22 – RW23
- **Rating model:** Moody's KMV RiskCalc
- **Expected term:** 0.25 years
- **Credit spread:** 19.43% – 23.60%

The instrument is classified as Level 3 in the fair value hierarchy due to the use of significant unobservable inputs.

Sensitivity analysis

Changes in key valuation assumptions have been evaluated, and the primary sensitivity has been determined to be the underlying equity valuation of the investee entity. A 5% increase or decrease in underlying equity value share price would result in an estimated R3.3 million increase or decrease in the instrument's fair value.

6. OTHER RECEIVABLES

Figures in R'000	2026	2025
Staff loans	–	275
Dividends receivable*	–	7 351
Deposits	6	6
B-BBEE supplier development loan	206	206
Prepayments	633	674
	845	8 512

* Non cash element of dividends receivable of R8.7 million as a result of the settlement of the share repurchase liability.

The supplier development loans were made in accordance with the Company's transformation programme and spend in terms of the B-BBEE codes. The loan is interest free and repayable 90 days after the expiry date unless the lender agrees to extend the expiry date.

The repayment terms for trade receivables are between 30 and 60 days and are interest free. Categorisation of trade and other receivables.

Figures in R'000	2026	2025
Non-current	–	7 351
Current	845	1 161
	845	8 512

Trade and other receivables are categorised in accordance with IFRS 9 are as follows:

Figures in R'000	2026	2025
At amortised cost	6	7 632
Non-financial instruments	839	880
	845	8 512

Fair value of trade and other receivables

Due to the short-term nature of trade and other receivables, the carrying value approximates fair value.

Expected credit loss

There is no estimated credit losses related to other receivables.

Exposure to currency risk

Other receivables are denominated in South African Rand and therefore, have no exposure to foreign currency fluctuations.

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

7. DEFERRED TAX

Figures in R'000	2026	2025
Analysis of deferred taxation		
Fair value assets	(12 543)	(6 622)
Temporary differences on provisions	316	171
	(12 227)	(6 451)
Reconciliation of deferred taxation		
At beginning of year	(6 451)	82
Fair value assets	(5 921)	(6 622)
Temporary differences on provisions	146	89
At end of year	(12 227)	(6 451)

8. CASH AND CASH EQUIVALENTS

Figures in R'000	2026	2025
Cash and cash equivalents consist of:		
Bank balances	16 277	16 563
Bank call and notice deposits	145 889	217 205
	162 166	233 768

Cash and cash equivalents comprise call and notice deposits with banks maturing within three months. These attract interest at market-related rates. Cash and cash equivalents are measured at amortised cost. The maximum exposure to credit risk at the reporting date is the carrying amount. The Company only has deposits with major banks with high-quality ratings assigned by internationally recognised credit rating agencies. For this reason, the credit quality at year-end of cash and cash equivalents is considered to be high, therefore no expected credit loss is recorded, the credit risk is regarded as low.

9. SHARE CAPITAL

Figures in R'000	2026	2025
Ordinary shares of no par value	1 058 981	1 058 981
Shares – related to share repurchase obligation	(21 467)	(19 122)
Shares – related to Responsive Group	(886)	(886)
Settlement of vested conditional share awards and share option awards	(5 398)	–
	1 031 230	1 038 973
	Number of shares	Number of shares
Authorised shares		
Ordinary shares of no par value	10 000 000 000	10 000 000 000
Constituent ordinary shares of no par value	4 000	4 000
Issued shares		
Ordinary shares of no par value in issue at beginning of the year	1 310 000 000	1 310 000 000
Ordinary shares of no par value repurchased and cancelled during the year*	(18 039 829)	–
Ordinary shares of no par value in issue at end of year	1 291 960 171	1 310 000 000

* Following the exercise of Appraisal Rights of a shareholder, the Company repurchased a total of 18 039 829 shares at a price of R1.19 per share.

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

10. SHARE-BASED PAYMENTS RESERVE

The Company has two Incentive Schemes:

Figures in R'000	2026	2025
Company share incentive scheme reserve	938	527
Company conditional share plan reserve	11 336	6 944
Total share-based payment reserve	12 274	7 471

10.1 Company's Share Incentive Scheme

The Company's Share Incentive Scheme ("Scheme"), which was introduced on the date the Company was listed on 16 October 2015, grants share options to employees of the Company. The Scheme has been classified as an equity-settled scheme and therefore, an equity-settled share-based payment reserve has been recognised in terms of IFRS 2 Share-based payment ("IFRS 2").

	2026	
	Number of share options	Exercise price
The number and fair value of the share options are:		
Beginning of the year	73 754 166	114 cents
Forfeited	(7 712 333)	139 cents
Exercised	(16 521 000)	95 cents
Granted	12 070 000	180 cents
End of the year	61 590 833	129 cents

These share options are exercisable over the period 1 September 2020 to 2 December 2030.

The weighted average remaining contractual life for share options outstanding was 34 months (2025: 37 months).

The weighted average fair value of share options granted during the year was 40 cents per share (2025: 40 cents per share).

The range of exercise prices for share options outstanding at the end of the year was 75 cents to 183 cents per share (2025: 75 cents to 144 cents per share).

The weighted average share price for the year ended 31 March 2026 was 171 cents per share (2025: 119 cents per share). The Company recognised an expense of R2 808 300 (2025: R201 987) for the share options granted.

	2025	
	Number of share options	Exercise price
Beginning of the year	84 972 500	114 cents
Forfeited	(11 518 333)	130 cents
Exercised	(9 100 000)	80 cents
Granted	9 399 999	121 cents
End of the year	73 754 166	114 cents

Number of share options

Details of directors and prescribed officers outstanding share options	2026	2025
M Shapiro	2 300 000	2 300 000
	2 300 000	2 300 000

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

10. SHARE-BASED PAYMENTS RESERVE continued

10.1 Company's Share Incentive Scheme continued

Vesting conditions

The terms and conditions of the share options are the following:

Share option holders are entitled to exercise their share options if they are in the employment of the Company in accordance with the terms hereafter.

Share option holders in the scheme may exercise their share options at such times as the share option holder deems fit, but not to result in the following proportions of the holders total number of instruments being purchased prior to:

- 20% of the total number of instruments at the vesting of three years;
- 50% of the total number of instruments at the vesting of four years; and
- 100% of the total number of instruments at the vesting of five years.

All share options must be exercised no later than the 15th anniversary from the date they were granted.

The fair value of services received in return for shares allotted is determined with use of the Actuarial Binomial option-pricing Model.

Figures in R'000	2026	2025
1. Fair value at measurement date (cents)	54.47	39.81
2. Exercise price at end of period (cents)	130.57	115.51
3. Expected volatility (%)	34.69	34.85
4. Option life (years)	5.00	5.00
5. Distribution yield (%)	5.00	5.00
6. Risk-free rate (based on National Bond Curve) (%)	7.86	9.89

The volatility is based on historic volatility which is not expected to differ materially from the expected volatility.

10.2 Company's Conditional Share Plan

The Company's Conditional Share Plan ("CSP") was introduced on 11 March 2020, and grants share awards to executive directors and senior management of the Company. The CSP has been classified as an equity-settled scheme and therefore, an equity-settled share-based payment reserve has been recognised in terms of IFRS 2.

	2026	
	Number of share awards	Award price
The number and fair value of share awards are:		
Beginning of the year	28 970 097	139 cents
Exercised	(9 292 411)	144 cents
Granted	8 571 735	160 cents
End of the year	28 249 421	143 cents

These share awards are exercisable between 8 June 2026 and 2 December 2028.

The weighted average remaining contractual life for share awards outstanding was 15 months (2025: 17 months).

The weighted average fair value of share awards granted during the year was 139 cents per share (2025: 119 cents per share).

The range of award prices for the conditional share awards outstanding at the end of the year was 121 cents to 164 cents per share (2025: 121 cents to 150 cents per share).

The weighted average share price for the year ending 31 March 2026 was 171 cents per share (2025: 143 cents per share).

The Company recognised an expense of R6 807 756 (2025: R7 653 426) for the share awards granted during the current financial year.

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

10. SHARE-BASED PAYMENTS RESERVE continued

10.2 Company's Conditional Share Plan continued

The number and weighted average exercise price of share awards are:

	2025	
	Number of share awards	Exercise price
The number and weighted average exercise price of share awards are:		
Beginning of the year	33 754 910	150 cents
Forfeited	(2 433 333)	135 Cents
Exercised	(13 029 166)	119 cents
Granted	10 677 686	124 cents
End of the year	28 970 097	139 cents

Details of directors outstanding conditional share plan awards

	Number of share awards	
	2026	2025
M Pimstein	3 740 327	4 484 814
B Sacks	3 740 327	1 322 314
A Salomon (Retired 31 December 2024)	–	1 322 314
M Shapiro	2 214 144	743 802
S Douwenga	2 855 513	2 000 000
	12 550 311	9 873 244

Vesting conditions

The terms and conditions of the Conditional Share Plan is based on share awards, which have a three-year vesting period, subject to performance and employment vesting conditions.

The performance metrics consists of financial objectives, non-financial objectives and key individual performance indicators, details of which are disclosed in the remuneration report in the Group 2025 integrated report.

All share awards will be exercised on the vesting date, being the third anniversary of the date upon which the awards were granted.

The fair value of services received in return for shares allotted is determined with use of the Actuarial Binomial option-pricing Model.

Figures in R'000	2026	2025
1. Fair value at measurement date (cents)	146.24	118.70
2. Exercise price at end of period (cents)	143.24	
3. Expected volatility (%)	33.99	35.28
4. Option life (years)	3.00	3.00
5. Distribution yield (%)	5.00	5.00
6. Risk-free rate (based on National Bond Curve) (%)	7.34	8.45

The volatility is based on historic volatility which is not expected to differ materially from the expected volatility.

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

11. CONTINGENT CONSIDERATION LIABILITY

Figures in R'000	2026	2025
Cash settled consideration (present valued)	–	13 932
Share settled consideration (fair valued)	–	9 896
Total – Fair value of contingent liability	–	23 828

Fair value measurements of contingent consideration

On 3 July 2023, the Company acquired 100% of the issued share capital of Dariel Solutions Proprietary Limited which holds 100% of the issued share capital of Dariel Software Proprietary Limited (Dariel).

The Dariel profit warranties consideration had been included as part of the purchase consideration. In aggregate, should Dariel achieve their profit warranties in full, the previous shareholders would receive R25 260 716 in cash and an allotment out of shares of 13 592 804 ordinary shares. The period of the warranties was 24 months from 1 April 2023 to 31 March 2025. The fair value of the contingent consideration was re-assessed each year. During the current year, management re-assessed the profit warranty and the contingent consideration was settled with an amount of R14.2 million being paid and 7 618 735 shares provided to the previous shareholders of Dariel.

Cash-settled consideration

The Company's cash-settled liability was measured at fair value in accordance with IFRS 13: *Fair Value Measurement* ("IFRS 13"), with the measurement classified within Level 3 of the fair value hierarchy. The valuation was principally based on management's judgement whether the contingent consideration targets would be met, as well as prime interest rates, which served as the primary inputs in determining the present value of the expected future cash outflows. The fair value measurement process involved discounting the estimated contractual cash flows of the liability using a discount rate that reflected current market prime lending rate for instruments with similar characteristics, including credit quality and term. This classification as a Level 3 measurement highlighted that the fair value was not derived from directly quoted prices (Level 3), and it included unobservable market data.

Share-settled consideration

The Company's share-settled liability was measured at fair value in accordance with IFRS 13, with the measurement classified within Level 3 of the fair value hierarchy. The valuation was based on quoted market prices of the Araxi Limited's shares as at 31 March and principally based on management's judgement whether the contingent consideration targets would be met. Since the share price was directly observable from an active market with frequent and transparent trading, it required no further estimation or modelling adjustments. The Araxi Limited share price at 31 March 2025 and 31 March 2026 was R1.33 and R1.67 respectively.

12. PROVISION FOR SHARE REPURCHASE

Figures in R'000	2026	2025
Opening balance	32 331	28 838
Remeasurement of provision for share repurchase	2 345	–
Interest accrual	5 998	3 493
Settlement of share repurchase liability*	(40 674)	–
Closing balance	–	32 331

* The payment of R40.7 million consists of the repurchase of shares of R21.5 million and finance costs paid of R7.7 million and a non-cash element of finance costs of R11.5 million.

During the 2025 financial year, the Company determined a minimum obligation to acquire Rozendal shares when the Appeals Court affirmed dissenting shareholder rights, in terms of section 164 of the Companies Act, in 2019 and met all the requirements to enforce their appraisal rights. After a lengthy appeals process the matter was finally heard and judgement delivered, in the current financial year. In terms of the judgement, the value of the shares was determined to be R1.19 per share as of 27 August 2019. The respondents were awarded interest on the fair value of the shares from the period of 27 August 2019 to date of payment, at the prescribed rate as at the same date, as well as costs incurred.

In addition, respondents were directed to repay all dividends received from December 2019, including interest from the date of receipt of the dividends at the prescribed rate on December 2019. This obligation was settled during the current year. The costs awarded to the respondents are yet to be determined and finalised.

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

13. TRADE AND OTHER PAYABLES

Figures in R'000	2026	2025
Trade payables	4 921	2 034
Audit fee accrual	881	1 350
Bonus accrual	2 242	1 415
Leave pay accrual	1 173	630
Accrued expenses	3 981	1 026
VAT	167	36
	13 365	6 491

Trade and other payables are non-interest-bearing and are normally settled on 30- to 90-day terms.

Figures in R'000	2026	2025
At amortised cost	9 783	5 825
Non-financial instruments	3 582	666
	13 365	6 491

14. OTHER FINANCIAL LIABILITIES

Figures in R'000	2026	2025
Capprec Management Services Proprietary Limited	839	8 534
African Resonance Business Solutions Proprietary Limited	423 332	347 990
Dashpay Proprietary Limited	87 097	68 562
ReThink Digital Solutions Proprietary Limited	2 480	2 300
Responsive Tech Proprietary Limited	13 330	5 748
Responsive Digital Proprietary Limited	2 352	2 452
Synthesis Software Technologies Proprietary Limited	3 642	26 805
Daniel Solutions Proprietary Limited	1 673	1 600
Daniel Software Proprietary Limited	25 000	25 000
	559 745	488 991
Non-current liabilities	–	–
Current liabilities	559 745	488 991
Total	559 745	488 991

These are interest free loans with no repayment terms.

15. REVENUE

Figures in R'000	2026	2025
Administration fees received from subsidiaries	20 462	19 489
Dividends received from subsidiaries	123 400	105 700
	143 862	125 189

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

16. OTHER FAIR VALUE GAINS

Figures in R'000	2026	2025
Fair value adjustment – contingent consideration	(4 044)	19 511
Fair value adjustment – convertible loan asset	38 352	17 190
	34 308	36 701

17. OPERATING PROFIT

Figures in R'000	2026	2025
The following items are charged within operating profit:		
Foreign exchange loss	563	545
Audit fees	3 617	1 659
Audit fees – Current	1 171	1 400
Audit fees – Prior year	1 423	–
Audit fees – non-audit services	850	–
Audit fees – Predecessor	173	259
Internal audit fees	907	243
Employee costs	14 772	11 853
Share-based payment expense	7 052	7 855
Depreciation: property, plant and equipment	127	103
Transformation costs	128	129
Acquisition costs	8 786	–
Legal fees	6 393	2 783
JSE expense	416	432
Administration fees paid to subsidiary	316	300
Public relations	1 105	1 027
Executive directors' emoluments	19 300	20 383
Non-executive directors' emoluments	2 834	1 622

18. FINANCE INCOME

Figures in R'000	2026	2025
Bank	14 621	23 763
Loans to other financial assets	231	20
Other	2 911	52
	17 763	23 835

19. FINANCE COSTS

Figures in R'000	2026	2025
Present value of the contingent consideration	–	3 897
Interest on repurchase of shares	5 998	3 493
Interest paid to Rethink	180	275
	6 178	7 665

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

20. TAXATION

Figures in R'000	2026	2025
Major components of the tax expense		
Current		
Local income tax current year	–	(1 771)
Deferred		
Originating and reversing temporary differences	5 775	3 222
South African normal tax	5 775	1 451

Figures in R'000	2026 %	2025 %
Reconciliation of rate of taxation		
South African normal tax	27.00	27.00
Adjusted for:		
Exempt dividend received	(29.66)	(23.9)
Non-deductible expenses on expected credit losses	–	0.2
Legal expenses not deductible	2.11	–
Capital gains taxed at reduced rate	(0.87)	–
Assessed loss not utilised*	8.79	–
Other	(2.23)	(2.09)
Effective tax rate	5.14	1.21

* Group has unutilised tax losses amounting to R36.58 million. These tax losses are available for offset against future taxable income, subject to the requirements of the tax legislation. No deferred tax asset has been recognised in respect of these losses as it is not considered probable, at this stage, that sufficient taxable profits will be available against which the losses can be utilised.

21. CASH GENERATED FROM OPERATIONS

Figures in R'000	2026	2025
Profit before taxation	112 341	119 521
Adjusted for:		
Dividends received from subsidiaries	(123 400)	(105 700)
Share-based payment expense	6 785	7 780
Depreciation: property, plant and equipment	127	103
Finance income	(17 763)	(23 835)
Finance costs	6 178	7 665
Unrealised foreign exchange loss	563	545
Other fair value gain	(34 308)	(36 701)
Expected credit loss	–	1 064
Changes in working capital		
Decrease/(increase) in trade and other receivables	1 135	(415)
Increase/(decrease) in trade and other payables	6 492	(387)
	(41 850)	(30 360)

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

22. DIRECTORS' EMOLUMENTS

	Salary		Bonus		Vested conditional shares exercised		Total	
Figures in R'000	2026	2025	2026	2025	2026	2025	2026	2025
Directors' and prescribed officers' emoluments								
M Pimstein	1 258	1 800	4 550	4 200	3 727	6 110	9 535	12 110
B Sacks ¹	1 800	1 800	4 550	4 200	3 727	6 110	10 077	12 110
A Salomon (Retired 31 December 2024)	–	1 350	–	4 200	–	6 110	–	11 660
M Shapiro ³	4 270	–	–	–	1 864	–	6 134	–
S Douwenga (Appointed 31 December 2024)	4 942	2 833	2 200	–	–	–	7 142	2 833
Total	12 270	7 783	11 300	12 600	9 318	18 331	32 888	38 714
Emoluments of key management ²	7 147	5 983	1 275	1 125	699	611	9 121	7 719
Total emoluments paid to directors and key management	19 417	13 766	12 575	13 725	10 017	18 942	42 009	46 433

¹ Emoluments paid to Centric Capital Ventures LLC.

² Key management: L Tshoagong (Group Financial Executive), A McNamara (Group Executive: Human Capital) and B Kruger (CFO of Software division). Key management individuals have been identified as those senior management members who are responsible to support the directors and prescribed officers in fulfilling their duties, and report directly or indirectly to such directors and prescribed officers. These individuals' functions, although part of the Araxi Limited's executive team, are functionally required to support day-to-day operational requirements as well as long-term strategies set by the directors and prescribed officers of the Company.

³ The remuneration for M Shapiro was paid by Synthesis for the year ended 31 March 2026.

Bonuses paid to executive directors in 2026, relate to the 2025 financial year performance. Directors receive no fringe benefits from the Company. Directors have long-term incentives which are reflected in note 10.

No directors have employment terms that exceed six months' notice. The Company is not under any obligation to make exit payments for directors leaving the Company.

	Total	
Figures in R'000	2026	2025
Non-executive directors		
B Bulo	676	315
K Dlamini	676	385
E Kruger (deceased 28 April 2025)	68	174
R Maqache	294	203
V Sekese	710	418
A Dambuza	410	127
Total	2 833	1 622

The non-executive directors' remuneration excludes VAT and was approved by special resolution at the Annual General Meeting held on 3 September 2025. Details of non-executive directors' attendance at meetings is recorded in the Directors' Report.

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

22. DIRECTORS' EMOLUMENTS continued

Figures in R'000	2026	2025
Share-based payment expense to directors and prescribed officers		
M Pimstein	1 778	2 080
B Sacks	1 778	2 080
A Salomon (Retired 31 December 2024)	-	1 560
M Shapiro	1 053	1 241
S Douwenga	1 357	927
	5 966	7 888

Number	Opening balance 1 April 2025	Exercised shares	New share awards 2026	Closing balance 31 March 2026
Details of directors' and prescribed officers' outstanding share options				
M Shapiro	2 300 000	-	-	2 300 000
Details of directors' and prescribed officers' outstanding conditional share plan awards				
M Pimstein	4 484 814	(1 600 000)	855 513	3 740 327
B Sacks	4 484 814	(1 600 000)	855 513	3 740 327
A Salomon (retired 31 December 2024)	4 484 814	(1 600 000)	-	2 884 814
M Shapiro	2 443 802	(800 000)	570 342	2 214 144
S Douwenga	2 000 000	-	855 513	2 855 513
	17 898 244	(5 600 000)	3 136 881	15 435 125

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

23. RELATED PARTIES

Refer to the Group Related Parties in Note 33.

23.1 Transactions with related parties

Figures in R'000	2026	2025
Loans to associates		
GovChat Proprietary Limited	–	–
Loan granted	80 953	80 954
Expected credit loss raised	(80 953)	(80 954)
LayUp Technologies Proprietary Limited	55 956	32 742
Regal Digital B.V.	14 197	9 811
Loans to/(from) subsidiaries		
Araxi to Synthesis Labs B.V.	18 774	19 667
Capprec Management Services to Araxi	(839)	(8 534)
African Resonance Business Solutions to Araxi	(423 332)	(347 990)
Dashpay to Araxi	(87 097)	(68 562)
ReThink Digital Solutions to Araxi	(2 480)	(2 300)
Responsive Tech Proprietary Limited to Araxi	(13 330)	(5 748)
Responsive Digital Proprietary Limited to Araxi	(2 352)	(2 452)
Synthesis Software Technologies to Araxi	(3 642)	(26 805)
Daniel Solutions to Araxi	(1 673)	(1 600)
Daniel Software to Araxi	(25 000)	(25 000)
Loan to key management	–	275
Group treasury management		
Interest received by ReThink Digital Solutions from Araxi	180	275
Dividends received from subsidiaries		
African Resonance Business Solutions to Araxi	101 700	69 900
Synthesis Software Technologies to Araxi	3 700	1 900
Dashpay to Araxi	10 900	21 000
Responsive Tech to Araxi	3 700	1 800
Daniel Solutions to Araxi	3 400	11 100
Administration fees received and (costs paid) to related parties		
African Resonance Business Solutions to Araxi	8 147	7 759
Synthesis Software Technologies to Araxi	11 651	7 770
Dashpay to Araxi	3 539	3 371
Araxi to Capprec Management Services	(316)	(300)
Responsive Tech to Araxi	–	480
Rethink Digital Solutions to Araxi	126	120
Araxi to Centric Capital Ventures LLC*	(7 296)	(7 962)
Directors' fees paid to non-executive directors	2 833	1 622
Interest received from LayUp Technologies Proprietary Limited	–	(3 118)
Araxi to Rethink Digital Solutions	(725)	–
Synthesis Labs B.V. to Araxi	(5 075)	–

* Payments to B Sacks relate to directors emoluments, amounting to R6 350 000 (2025: R6 000 000) and reimbursements of expenses, amounting to R945 501 (2025: R1 512 000).

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

24. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT

Categories of financial instruments

Figures in R'000	Notes	Amortised cost	Fair value through profit and loss	Other non-financial assets and liabilities	Total
2026					
Other receivables	6	6	–	839	845
Loan to associates	4	9 658	60 495	–	70 153
Other financial assets	5	21 026	65 902	–	86 928
Cash and cash equivalents	8	162 166	–	–	162 166
Other non-financial assets		–	–	1 094 305	1 094 305
Total assets		192 856	126 397	1 095 144	1 414 397
Trade and other payables	13	9 783	–	3 582	13 365
Other financial liability	14	559 745	–	–	559 745
Other non-financial liabilities		–	–	12 227	12 227
Total liabilities		569 528	–	15 809	585 337

Figures in R'000	Note	Amortised cost	Fair value through profit and loss	Other assets and liabilities	Total
2025					
Other receivables	6	7 632	–	–	7 632
Loan to associates	4	20 687	40 316	–	61 003
Other financial assets	5	9 811	34 561	–	44 372
Cash and cash equivalents	8	233 768	–	–	233 768
Total assets		271 898	74 877	–	346 775
Trade and other payables	13	5 825	–	–	5 825
Other financial liability	14	488 991	–	–	488 991
Contingent consideration liability	11	–	23 828	–	23 828
Total liabilities		494 816	23 828	–	518 644

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

24. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT continued

Pre-tax gains and losses on financial instruments

Figures in R'000	Notes	Amortised cost	Fair value through profit and loss	Total
Gains on financial assets				
2026				
Recognised in the statement of comprehensive income:				
Finance income	18	17 763	–	17 763
Other fair value gains	16	–	34 308	34 308
		17 763	34 308	52 071
Gains on financial assets				
2025				
Recognised in the statement of comprehensive income:				
Finance income	18	23 835	–	23 835
Other fair value gains	16	36 701	–	36 701
		60 536	–	60 536

Figures in R'000	Note	Amortised cost	Fair value through profit and loss	Total
Losses on financial liabilities				
2026				
Recognised in the statement of comprehensive income:				
Finance cost	19	6 178	–	6 178
		6 178	–	6 178
Losses on financial liabilities				
2025				
Recognised in the statement of comprehensive income:				
Finance cost	19	7 665	–	7 665
		7 665	–	7 665

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

24. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT continued

Capital risk management

For the purpose of the Company's capital management, capital includes issued share capital and all other equity reserves attributable to the equity shareholders of the parent. The primary objective of the Company's capital management is to maximise the shareholders' value.

The Company manages its capital structure and makes adjustments in light of changes in economic conditions. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. Although the Company has limited debt, should the need to raise further debt, capital risk management will be monitored on a formula to be determined by the Board at the appropriate time.

Figures in R'000	Note	2026	2025
Interest-bearing loans and borrowings		–	–
Less: Cash and cash equivalents		(162 166)	(233 768)
Net cash		(162 166)	(233 768)
Equity		829 060	884 983
Total capital		829 060	884 983
Net cash to capital (%)		20%	33%

In order to achieve this overall objective, the Company's capital management, among other things, aims to ensure that it meets its financial obligations attached to the interest-bearing loans and borrowings that define capital structure requirements. The Company's interest-bearing loans and borrowings during the reporting period has no breaches of any financial obligations in the reporting period.

No changes were made to the objectives, policies or processes for managing capital during the years ended 31 March 2026 and 2025.

Financial risk management

The Company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the Company's financial performance. The Board provides written principles for overall risk management, as well as policies covering specific areas, such as, interest rate risk, credit risk and investment of excess liquidity.

Currency risk management

The Company is exposed to currency risk as a result of revenues and costs in United States Dollars and Euros, which are currencies other than the Company's reporting currency. The Company enters into various types of foreign exchange contracts as part of the management of its foreign exchange exposure arising from its current and anticipated business activities.

It is estimated that a general increase of 25 cents in the value of the Rand against other foreign currencies would decrease the Company's profit before and after tax for the year by approximately R200 301 and R146 220 respectively (31 March 2025: R741 876 and R541 569 respectively). A decrease of 25 cents would have an equal, but opposite effect.

Interest rate risk

Cash flow interest rate risk arises on cash balances held, loans receivables, finance lease receivables, contingent consideration liabilities and other financial liabilities. At the reporting date, the Company cash deposits were accessible immediately or had maturity dates up to three months.

The interest earned on these deposits closely approximate the market rates prevailing. The directors have determined that a fluctuation in an interest rate of 50 basis points is reasonably possible. An increase in 50 basis points in interest rates as at the reporting date would have increased the profit before and after tax for the year by approximately R810 828 and R591 904 million respectively (31 March 2025 R1.2 million and R0.9 million respectively). A decrease of 50 basis points would have an equal, but opposite effect. The analysis assumes that all other variables remain constant.

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

24. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT continued

Liquidity risk

Liquidity risk is the risk where the Company fails to maintain adequate levels of financial resources to enable it to meet its financial obligations as they fall due. Liquidity risk arises because of the possibility that the Company could be required to pay its liabilities earlier than expected or because of any inability to realise assets in order to meet obligations as they fall due or is only able to realise assets by suffering financial loss.

The Company's liquidity risk derives from the need to have sufficient funds available to cover future commitments. The Company manages liquidity risk through an ongoing review of future cash requirements.

Cash flow forecasts are compared to cash available.

The maturity profile of contractual cash flows of non-derivative financial liabilities, and financial assets held to mitigate the risk, are presented in the below table. The cash flows are undiscounted contractual amounts.

Figures in R'000	Note	0-6 months	7-12 months	1-5 years	Total	Finance costs	Carrying amount
2026							
Trade and other payables	13	13 365	–	–	13 365	–	13 365
Other financial liability	14	559 747	–	–	559 747	–	559 747
		573 111	–	–	573 111	–	573 111
2025							
Trade and other payables	13	6 491	–	–	6 491	–	6 491
Other financial liability	14	489 226	–	–	489 226	(275)	488 991
Contingent consideration liability		23 828	–	–	23 828	–	23 828
		519 545	–	–	519 545	(275)	519 310

Credit risk

Credit risk refers to the risk that a counterparty will default on its contractual obligations, resulting in financial loss to the Company. It primarily arises from the Company's exposures to cash and cash equivalents, deposits with banks and other financial institutions, and trade and other receivables. The Company manages this risk by maintaining strict policies that limit counterparty exposure to financial institutions with high creditworthiness, as determined by internationally recognised credit rating agencies. Only institutions with credit ratings of at least investment grade are engaged. The Company continuously monitors the credit quality of counterparties and reviews credit limits regularly, taking into account both historical performance and forward-looking information.

For cash and short-term deposits, the Company places funds only with reputable financial institutions that have a minimum long-term credit rating of 'A-' or equivalent. For trade receivables, credit risk is managed through formal approval processes, credit limits, and, where necessary, credit insurance. The Company assesses credit risk on a collective and individual basis, applying the expected credit loss (ECL) model under IFRS 9. The ECL assumptions incorporate forward-looking variables including interest rate forecasts, unemployment trends, and industry-specific risks. Trade receivables are grouped by customer type and aging, and the Company assesses significant increases in credit risk using both quantitative and qualitative factors.

As at the reporting date, the Company has not experienced material credit losses and considers its exposure to credit risk to be well managed and within acceptable thresholds.

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

24. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT continued

The carrying amount of financial assets represents the Company's maximum exposure to credit risk. The maximum exposure of each class of financial asset are as follows:

Figures in R'000	Notes	Gross carrying amount	Expected credit loss allowance	Amortised cost/fair value
2026				
Other receivables	6	6	–	6
Loans to associates and joint ventures	4	151 107	(80 954)	70 153
Other financial assets	5	86 928	–	86 928
		238 041	(80 594)	157 087
2025				
Other receivables	6	7 632	–	7 632
Loans to associates and joint ventures	4	123 147	(80 594)	42 553
Other financial assets	5	61 003	–	61 003
		191 782	(80 594)	111 188

Where credit ratings are not available, the Company does not expect certain other receivables counterparties to fail to meet their obligations.

Other receivables

The credit quality of other receivables is assessed by reference to historical information about counterparty default rates. Historical levels of customers' defaults are minimal and, as a result, the credit quality of year-end trade and other receivables is considered to be high.

Loans to associates

The purpose of the loans is to allow the associates to utilise the funding for software and other development costs which will, in due course, be revenue generating and generate profitability and from this profitability, the loans will be repaid.

Cash and cash equivalents

The maximum exposure to credit risk at the reporting date is the carrying amount. The Company only deposits funds with major banks with high-quality credit ratings assigned by internationally recognised credit rating agencies. For this reason, the credit quality at year-end of cash and cash equivalents is considered to be high.

Expected credit loss allowance

The Company's definition of default are the amounts that will not be repaid in terms of the terms of all financial assets in future timing periods. The amounts are written-off as and when the amounts are not recoverable. The expected credit loss is initially based on the Company's historical observed default rates. The Company calibrates the matrix to adjust the historical credit loss experience with forward-looking information, like for example, forecast economic conditions and other related micro and macro economic factors. The Company calculates the expected credit loss allowance by comparing the year-end balance against the future expected amount receivable as per the terms of the agreements and recording the difference between the two.

GovChat went into business rescue on 22 December 2022. GovChat exited business rescue in May 2024. It has ceased operations but continues to pursue its claims against Meta, alongside the Competition Commission, for abuse of market dominance.

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

25. FAIR VALUE

Financial instruments are normally held by the Group until they close out in the normal course of business. The fair values of the Group's financial instruments, which principally comprise forward exchange contracts approximate their carrying value. The maturity profile of those financial instruments fall due within 12 months.

There are no significant differences between carrying fair value and fair value of financial assets and liabilities.

Loans to associates, trade and other receivables and trade and other payables carried on the statements of financial position approximate the fair values.

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

- Level 1: Quoted (unadjusted) prices in active markets for identical assets or liabilities.
- Level 2: Other techniques for which all inputs that have a significant effect on the recorded fair value are observable, either directly or indirectly.
- Level 3: Techniques which use inputs which have a significant effect on the recorded fair value that are not based on observable market data.

The foreign exchange contract liabilities are recognised at fair value under level 2. The inputs into the valuation include the market interest rates and foreign exchange rates, as well as yield curves. There have been no transfers between the levels during the year.

Figures in R'000	2026	Level 1	Level 2	Level 3
Financial instrument				
Convertible loans	126 397	–	–	126 397

Figures in R'000	2025	Level 1	Level 2	Level 3
Financial instrument	–			
Foreign exchange forward contracts	(565)	–	(565)	–
Contingent consideration liabilities	(23 828)	–	–	(23 828)
Convertible loans	40 316	–	–	40 316

The Company has an established control framework with respect to the measurement of fair values. This includes the Group Chief Financial and Value Enhancement Officer who oversees all significant fair value measurements.

Contingent consideration liabilities at fair value through profit or loss

Financial liabilities measured at fair value through profit or loss, in terms of the hierarchy, are classified as level 3 as the valuation techniques used are based on unobservable inputs for the liability.

The balance in respect of contingent consideration liabilities relate to business combinations that are subject to profit warranties that are settled with a combination of cash and shares. The profit warranties allow for a defined adjusted value to the consideration payable in the event that the warranted EBITDA is not achieved, or in the event that it is achieved, is capped. The fair value of the contingent arrangement is initially estimated by applying the income approach assuming that the relevant profit warrant will be achieved. Subsequent measurement uses the income approach to calculate the present value of the expected settlement payment using the latest approved budgeted results and reasonable growth rates for the remainder of the relevant warranty periods taking into account any specific circumstances.

Profit warranty periods normally extend over a 24-month period.

Unobservable inputs include budgeted results based on EBITDA for the profit warranty period, adjusted at each reporting period. The applicable discount rate for the cash component is prime interest rate, discounting the estimated liability over the remaining period to the final measurement date. For the component of profit warranty to be settled in equity, the prevailing share price at each reporting date is used to remeasure fair value.

Changing the % achievement of EBITDA relative to the warranted profit directly changes the fair value of the contingent consideration liability.

Convertible loan assets at fair value through profit or loss

Financial assets measured at fair value through profit or loss, in terms of the hierarchy, are classified as level 3 as the valuation techniques used are based on unobservable inputs for the liability. Please refer to note 4 and 5 for detailed assumptions and sensitivities.

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

25. FAIR VALUE continued

Financial assets/financial liabilities	Valuation techniques used and key inputs	Significant unobservable inputs	Relationship and sensitivity of the unobservable input to fair value
Contingent consideration (note 11)	Present value (discounted at prime interest rate) of the expected future contingent consideration payable on the achievement on an agreed earnings (EBITDA) ratio.	Profit warranty expectation is based on budgeted 24 month EBITDA performance, relative to the agreed target of R62.2m	A lower actual EBITDA performance during the 24 months has a direct impact on the liability. If EBITDA would decrease by 10%, the liability would decrease by c.15%.
Convertible loan assets: AssetPool (note 5)	Discounted cash flow method was used to capture the value of the issuer entity as a key input in determining the value of the convertible instrument.	Discount rate of 35% using the venture capital approach which determines target rates of return as a proxy for the discount rate, which factors in the probability of success	The higher the discount rate, the lower the fair value. If the equity value was 5% higher/lower while other variables were held constant, the fair value would increase and decrease by R3.3 million
Convertible loan to associate assets: LayUp (note 4)	Equity value of the issuer entity, using discounted cash flow method.	Discount rate of 40% using the venture capital approach which determines target rates of return as a proxy for the discount rate, which factors in the probability of success.	The higher the discount rate, the lower the fair value. If the fair value was 5% higher/lower while other variables were held constant, the fair value would increase by R2.3 million and decrease by R2.4 million
Convertible loan to associate assets: Regal Digital B.V. (note 4)	Equity value of the issuer entity, using discounted cash flow method.	Discount rate of 45% using the venture capital approach which determines target rates of return as a proxy for the discount rate, which factors in the probability of success.	The higher the discount rate, the lower the fair value. If the equity value was 5% higher/lower while other variables were held constant, the fair value would increase and decrease by R2.3 million.

Contingent consideration liability

Figures in R'000	2026	2025
Fair value adjustment	(4 044)	19 511
Reconciliation		
Opening balance	23 828	39 442
Fair value adjustment	4 044	(19 511)
Present value of contingent consideration	(27 872)	3 897
Closing balance	–	23 828

There have been no amounts of transfers into and out of level 3

Notes to the Company financial statements

(continued)

FOR THE YEAR ENDED 31 MARCH 2026

25. FAIR VALUE continued

Convertible loan asset

Figures in R'000	2026	2025
Fair value adjustment	25 586	13 163
Reconciliation		
Opening balance	40 316	23 153
Loan granted during the year	–	4 000
Fair value adjustment	25 586	13 163
Closing balance	65 902	40 316

Loan to associate

Figures in R'000	2026	2025
Fair value adjustment	12 766	4 027
Reconciliation		
Opening balance	34 561	21 527
Loan granted during the year	13 071	9 007
Fair value adjustment	12 766	4 027
Foreign exchange movement	97	–
Closing balance	60 495	34 561

26. CONTINGENT LIABILITIES

No additional contingent considerations, other than those disclosed in note 12, have been identified for the current financial year.

27. POST-RETIREMENT OBLIGATIONS

The Company provides no retirement benefits to its permanent employees and therefore, has no-post retirement obligations.

28. DIVIDENDS

A final dividend for the year ended 31 March 2025 of 7.50 cents per ordinary share was declared on 24 June 2025 amounting to R98.25 million. An interim dividend for the year ended 31 March 2026 of 4.50 cents per ordinary share was declared on 2 December 2025 amounting to R58.14 million. The total dividends paid during the year amounted to R156.39 million (2025: R134.3 million).

29. GOING CONCERN

The financial statements have been prepared on the basis of accounting policies applicable to a going concern.

30. POST-YEAR-END EVENTS

The Company has not experienced any material operating and servicing disruptions or any material deterioration in trading performance for the period from the financial year-end, dated 31 March 2026, to the date of this report.

The significant estimates, judgments and assumptions made in preparing the Company's results have remained consistent. The Company is currently not exposed to credit risk and at the time of reporting, no significant change in this credit risk position has been noted. Management will, however, continue to actively monitor this. At this stage, no significant impairments of the Company's assets are expected to arise. Further assessment of this will be conducted as the new financial year unfolds.

Subsequent to year end the Board has declared a final gross cash dividend for the year ended 31 March 2026 of 7.50 cents, 6.00 cents net of dividend withholding tax, payable to shareholders recorded in the register of the company at the close of business on 31 July 2026.

Shareholders information

Issued Share Capital:

SHAREHOLDER SPREAD	No of shareholdings	%	No of shares	%
1-1 000 shares	5 178	62.70	582 562	0.05
1 001-10 000 shares	1 285	15.56	5 705 634	0.44
10 001-100 000 shares	1 370	16.59	52 618 514	4.07
100 001-1 000 000 shares	338	4.09	94 588 138	7.32
1 000 001-10 000 000 shares	70	0.85	237 449 250	18.38
10 000 001 shares and over	18	0.21	901 016 073	69.74
Totals	8 259	100.00	1 291 960 171	100.00

DISTRIBUTION OF SHAREHOLDERS	No of shareholdings	%	No of shares	%
Banks/brokers	23	0.28	151 734 006	11.74
Close corporations	22	0.27	3 733 829	0.29
Endowment funds	11	0.13	2 641 600	0.20
Individuals	7 719	93.47	380 347 986	29.44
Insurance companies	7	0.08	6 363 572	0.49
Investment companies	2	0.02	8 659 228	0.67
Mutual funds	24	0.29	102 031 507	7.90
Other corporations	31	0.38	563 292	0.04
Private companies	135	1.63	126 444 504	9.79
Retirement funds	122	1.48	391 048 028	30.27
Treasury stock	2	0.02	68 285 436	5.29
Trusts	161	1.95	50 107 183	3.88
Totals	8 259	100.00	1 291 960 171	100.00

PUBLIC/NON – PUBLIC SHAREHOLDERS	No of shareholdings	%	No of shares	%
Non-public shareholders	18	0.22	358 089 017	27.72
Directors of the company	7	0.08	177 453 995	13.74
Company related holdings	8	0.10	37 349 586	2.89
Treasury shares	3	0.04	143 285 436	11.09
Public shareholders	8 241	99.78	933 871 154	72.28
Totals	8 259	100.00	1 291 960 171	100.00

BENEFICIAL SHAREHOLDERS HOLDING 5% OR MORE	No of Shares	%
Government Employees Pension Fund	331 419 687	25.65
Capital Appreciation Empowerment Trust	75 000 000	5.81
Centric Capital Ventures LLC	70 833 333	5.48
Capprec Management Services Proprietary Limited	68 285 436	5.29
Pimstein, MR	67 864 363	5.25
Totals	613 402 819	47.48

Corporate information

Araxi Limited

Incorporated in the Republic of South Africa

Registration number: 2014/253277/06

Tax number: 9591281176

JSE share code: AXX

A2X share code: AXXJ

ISIN: ZAE000209245

FTSE Industrial Classification sector:

Software and Computer Services

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